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SECTION 1 INTRODUCTION

This version of the Uniform Chart of Accounts is a full revision of the entire chart of accounts. All previous versions are now obsolete and should be destroyed.

The Uniform Chart of Accounts for Local Units of Government (Counties, Cities, Villages and Townships; and Authorities and Commissions established by counties, cities, villages, and townships) has been developed by the Local Audit and Finance Division of the Michigan Department of Treasury with the assistance of the Michigan Committee on Governmental Accounting and Auditing.

All local units of government in Michigan must use the Uniform Chart of Accounts. However, some governments may choose to implement a chart of accounts that is more complex than this chart (use of additional digits, etc.). This is acceptable as long as the chart used is consistent with this Chart of Accounts.

The Local Audit and Finance Division is responsible for general oversight of the financial administration and related audits of local units of government. The Division issues guidance to assist local units in implementing new legislation that affects the accounting and auditing responsibilities of the units and provides instruction on the appropriate methods and procedures to be used when filing statutorily mandated financial reports. These responsibilities are established primarily by the Uniform Budgeting and Accounting Act, 1968 Public Act (PA) 2 and 1919 PA 71.

1968 PA 2, Michigan Compiled Laws (MCL) 141.421 states:

(1) The state treasurer shall prescribe uniform charts of accounts for all local units of similar size, function, or service designed to fulfill the requirements of good accounting practices relating to general government. Such chart of accounts shall conform as nearly as practicable to the uniform standards as set forth by the governmental accounting standards board or by a successor organization that establishes national generally accepted accounting standards and is determined acceptable to the state treasurer. The official who by law or charter is charged with the responsibility for the financial affairs of the local unit shall insure that the local unit accounts are maintained and kept in accordance with the chart of accounts. The state treasurer may also publish standard operating procedures and forms for the guidance of local units in establishing and maintaining uniform accounting.

To access the full text of any Michigan Public Act or MCL section, go to the Michigan Legislature Web site at legislature.mi.gov.

The Uniform Chart of Accounts provides a systematic arrangement and means for the uniform accumulation, recording, and reporting of financial information and transactions for all local units of government in Michigan. This system follows Generally Accepted Accounting Principles (GAAP) and Michigan law. If used consistently and properly, it will facilitate the preparation of prescribed reports and will assure responsible local officials and the general public that similar transactions are recorded in the same manner, not only within a local unit but also among local units.

The Uniform Chart of Accounts is designed to serve basic legislative, budgetary, and accounting objectives. In addition, it provides a means for local units to meet additional legal requirements of the unit for budgeting and uniform accounting and reporting, regardless of the size of the unit.

SECTION 1 INTRODUCTION

BUDGETS AND THE UNIFORM CHART OF ACCOUNTS

1968 PA 2 established budgeting requirements and prohibits deficit spending by local units of government in Michigan. Further, legislation concerning the requirement of local units to adopt a budget resulted in the enactment of 1978 PA 621, an amendment to 1968 PA 2.

The Budget Act requires all local units of government in Michigan to adopt balanced budgets, to establish responsibilities and define the procedure for the preparation, adoption, and maintenance of the budget, and to require certain information for the budget process.

Proper accounting and auditing in accordance with the Uniform Chart of Accounts greatly enhances the ability of the local unit to prepare and approve a budget that accurately reflects the financial condition of the unit to ensure that services are provided within available means.

For specific legal requirements pertaining to budgets, please refer to the Budget Manual for Local Units of Government. This manual is available on Treasury's website at https://www.michigan.gov/treasury/0,4679,7-121-1751_2194-171570--,00.html under Manuals for Accounting Guidance.

FINANCIAL REPORTING AND THE UNIFORM CHART OF ACCOUNTS

In addition to budget requirements, local governments are required to prepare annual (biennial for certain local units) financial statements in accordance with Generally Accepted Accounting Principles and obtain an audit of these financial statements. Local units of government will find that adhering to the Uniform Chart of Accounts will facilitate the preparation and audit of the required financial statements.

The [Governmental Accounting Standards Board \(GASB\)](#) is the primary standard-setting body for acceptable accounting principles for state and local government entities.

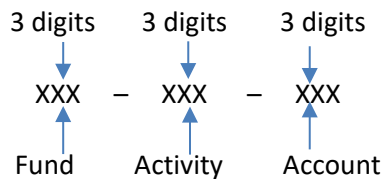
Local governments must follow the GASB standards and consider the applicability of the other accounting guidance to receive an unmodified opinion on the audited financial statements. Detailed information concerning basic financial records, documents, and procedures applicable to all local units of government in Michigan may be found in the "Michigan "which was developed under the authority of 1968 PA 2 and 1919 PA 71.

SECTION 2 CREATING AN ACCOUNT NUMBER

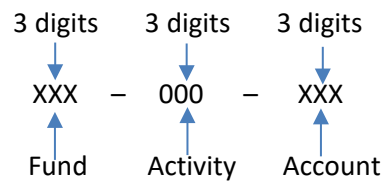
In the section, the concept of three sets of three digits is introduced. The definitions of fund, activities, and account numbers and how to create an account are provided. Several examples demonstrating how to create an account number are provided. A local unit of government should seek the counsel of their certified public accountant or the Local Audit and Finance Division of the Michigan Department of Treasury if assistance with the Uniform Chart of Accounts is needed.

What an Account Number should look like:

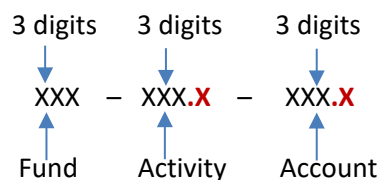
- 1) The major structure of an account number is comprised of three sets of three digits, which are a three-digit fund number, a three-digit activity number, and a three-digit account number. Please see below:



- 2) For funds that do not need detailed activity information (explained in the following paragraphs), the activity number can be replaced with three zeros as the second set of three digits. Please see below:



- 3) For local units that do have needs for tracking detailed information on activities and accounts, they could use the POINT OFF¹ option (explained in the following paragraphs). They may choose to POINT OFF activity and/or account numbers. Please see below:



¹ There is no limit to the number of digits or letters to use. Also, the actual use of the decimal is optional.

SECTION 2 CREATING AN ACCOUNT NUMBER

First Set of Three Digits: Funds

A summary table of the fund numbers is provided as follows:

Fund Type	Category	Fund Number
Governmental Fund Types	General Funds	101-149
	Permanent Funds	151-199
	Special Revenue Funds	201-299
	Debt Service Funds	301-399, 851-899
	Capital Projects Funds	401-499, 801-850
Proprietary Fund Types	Enterprise Funds	501-599
	Internal Service Funds	600-699
Fiduciary Fund Types	Custodial Funds	701-725
	Pension (and other employee benefit) Trust Funds	726-750
	Investment Trust Funds	751-755
	Private Purpose Trust Funds	756-799
Year-End Government-Wide Full Accrual		900-975

A fund is an independent accounting entity with a self-balancing set of accounts, created for the purpose of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations. A fund number must be used in an account number.

OPEN Fund Numbers: Certain fund numbers are not designated with a specific fund name. Instead, they are marked as OPEN in the Uniform Chart of Accounts and are available for local units to use if a local unit's accounting system requires certain funds and the Uniform Chart of Accounts does not contain a designated fund number that is suitable. They should be used under the proper fund types that the Uniform Chart of Accounts indicates.

RESERVED Fund Numbers: Certain fund numbers are not available for local units and are for Michigan Department of Treasury use only. They are marked as RESERVED in the Uniform Chart of Accounts. The department will use these for future state-wide funds.

Please refer to the table of fund numbers in Section 3 and the descriptions of fund numbers in Section 4 for detailed information.

SECTION 2 CREATING AN ACCOUNT NUMBER

Second of set of Three Digits: Activity Numbers

A summary table of functions/activities is provided as follows:

Function	Control Activity Number	Detailed Activity Number
General Government	100	101-128, 171-274
Judicial	275	276-299
Public Safety	300	301-439
Public Works	440	441-599
Health and Welfare	600	601-699
Community and Economic Development	700	701-749
Recreation and Culture	750	751-849
Capital Outlay	900	901-904
Debt Service	905	906-929
Transfers in and Other Financing Sources	930	931-964
Transfers (Out) and Other Financing Uses	965	966-999

An **ACTIVITY** is an office or department to which specific revenues and expenditures/expenses are to be allocated.

A group of related activities intended to accomplish a major service or regulatory program is a **FUNCTION**, such as general government function and public safety function. The activities listed in this manual are grouped into eleven functions.

There are two levels of activity numbers in the Uniform Chart of Accounts. They are control activity numbers and detailed activity numbers.

CONTROL Activity Numbers: They are the higher-level activity numbers. The balance of each control activity number must at all times equal the total balance of the detailed activities numbers under that control activity number.

DETAILED Activity Numbers: They are the lower-level activity numbers. Using them would provide local units with more detailed accounting information.

OPEN Activity Numbers: Within the detailed activity numbers, certain activities numbers are not designated with a specific activity name. Instead, they are marked as OPEN activity number in the Uniform Chart of Accounts and are available for local units to use if a local unit's accounting system requires detailed classification and the Uniform Chart of Accounts does not contain a designated number that is suitable. They should be used under the proper control activity numbers or function classification that the Uniform Chart of Accounts indicates.

RESERVED Activity Numbers: Within the detailed activity numbers, certain numbers are not available for local units and are for Michigan Department of Treasury use only. They are marked as RESERVED in the Uniform Chart of Accounts. The department will use these for future state-wide accounts.

SECTION 2 CREATING AN ACCOUNT NUMBER

POINT OFF: Local units are encouraged to point off for activity numbers to record detailed accounting information if needed. Local units can use numbers or letters for point off. Please see Example 4 under the Examples of Creating an Account Number in this section.

WHEN TO USE An Activity Number: An activity number must be used for expenditure accounts in the General Fund or the primary fund and is not required to be used in special revenue funds. A special revenue fund usually accounts for a special activity and the fund number itself provide sufficient definition of the activities it accounts for. For funds that provides sufficient definition of

the activities they account for, activity numbers are also not required. For example, if capital fund 401 is designated to account for sidewalk projects, then a specific activity number may not be needed as the fund number was designated for one specific activity. It is not necessary to use an activity number (the second set of three digits) for balance sheet accounts although they may be used. When an activity number does not apply or is not used, three zeros (000) are used as the second set of three digits in the 9-digit account number. Revenue defined by GASB Statement 34 as program revenue may use an activity number or may use another method of accumulating the information for the government-wide financial statements.

The purpose of aggregating costs by activities is to better understand the cost of providing the various functions of government. The intent is to assign costs to the function or activity that benefits from those costs, not to the individuals who control them. For instance, consider the cost of health care for police officers. The benefit package may have been chosen by the governing body, but since this represents part of the costs of providing police services, these costs should be assigned to the police activity or public safety function (not to the governing body that made the decision to incur those costs).

In general, all costs should be assigned to the functions or activities that benefit from the costs. However, in order to be cost-beneficial, it is acceptable to allocate small dollar costs to a general government function. An example would be a telephone bill that is not separated by individual departments might be assigned to the building and grounds activity.

Please refer to the table of activity numbers in Section 3 and descriptions of the activity numbers in Section 4 for detailed information.

SECTION 2 CREATING AN ACCOUNT NUMBER

Third Set of Three Digits: Account Numbers

1) Balance Sheet /Statement of Net Position Accounts

A summary table of balance sheet/statement of net position accounts is provided as follows:

Account Type	Account Name	Account Number	Detailed Account Names
Current Assets	Cash and Investments	001-017	Cash and Investments
	Receivables	018-100	Accounts Receivables, Taxes Receivable, etc.
		031-100	Various Types of Receivables
	Inventory	101-110	Inventory
	Other Current Assets	111-129	Prepaid Expenses, Assets Held for Sale, etc.
Non-Current Assets	Capital Assets	130-179	Land, Equipment, etc.
	Other Non-Current Assets	180-194	Investment of Surplus Funds, Derivative Contracts, etc.
	Deferred Outflows	195-199	Deferred Outflows
Current Liabilities	Current Liabilities	200-299	Vouchers Payable, Accounts Payable, etc.
Long-Term Liabilities	Long-Term Liabilities	300-359	Bonds Payable, Leases Payable, etc.
Deferred Inflows	Deferred Inflows	360-369	Deferred Inflows
Fund Balance and Net Position	Fund Balance and Net Position	370-399	Fund Balance-Non-spendable, Net Position-Restricted, etc.

These are the asset, liability, deferred inflows and outflows, and fund balance/net position accounts that make up the balance sheet/statement of net position. These accounts are not closed out at the end of an accounting period.

OPEN Account Numbers: Certain account numbers are not designated with a specific account name. Instead, they are marked as OPEN account numbers in the Uniform Chart of Accounts and are available for local units to use if a local unit's accounting system requires detailed classification and the Uniform Chart of Accounts does not contain a designated number that is suitable. They should be used under the proper classification that the Uniform Chart of Accounts indicates.

RESERVED Account Numbers: Certain account numbers are not available for local units and are for Michigan Department of Treasury use only. They are marked as RESERVED in the Uniform Chart of Accounts. The department will use these for future state-wide accounts.

POINT OFF: Local units are encouraged to point off for account numbers to record detailed accounting information if needed. Local units can use numbers or letters for point off. Please see Example 5 under the Examples of Creating an Account Number in this section. Please refer to the table of balance sheet/statement of net position accounts in Section 3 and the descriptions of account numbers in Section 4 for detailed information.

SECTION 2 CREATING AN ACCOUNT NUMBER

2) Revenue and Other Financing Source Accounts

A summary table for revenues and other financing sources is provided as follows:

Control Account	Sub-Control Account Number	Sub-Control Account Name	Detailed Account Number	Detailed Account Name
400	401	Taxes	402-449	Current Real Property Taxes, Current Personal Property Taxes, etc.
	450	Special Assessments	451-474	Special Assessments
	475	Licenses and Permits	476-500	Business Licenses and Permits, Cable TV Franchise Fees, etc.
	501	Federal Grants	502-538	Federal Grants - General Government, Federal Grants-Sanitation, etc.
	539	State Grants	540-579	State Grants – Recreational and Cultural, etc.
	580	Contribution from Local Units	581-599	Contribution from Local Units
	600	Charges for Services	601-654	Court Related Charges, Court Filing Fees, etc.
	655	Fines and Forfeits	656-663	Traffic Violations, Ordinance Fines and Costs, etc.
	664	Interest and Rentals	665-670	Interest, Dividends, etc.
	672	Other Revenue	673-689	Gain/Loss on Sale of Assets, Refunds/Rebates, etc.
	690	Other Financing Sources	691-699	Sale of Capital Assets, Proceeds from Sale of Bonds/Notes, etc.

There are three levels of detail provided for revenue and other financing source accounts. They are control account, sub-control accounts, and detailed accounts. The levels of detail each local unit uses are at the discretion of the individual units according to its needs. Smaller units may find that using only the control and sub-control numbers provides them with all the information necessary.

CONTROL Account Number: Account number 400 is the highest-level revenue account number. The balance of it must at all times equal the total balance of all the revenue accounts.

SUB-CONTROL Account Numbers: They are the second highest-level account numbers. The balance of each revenue sub-control account must at all times equal the total balance of all the detailed revenue accounts under that sub-control account. For example, the total balance of 401 must equal the total of 402 through 449.

DETAILED Account Numbers: They are the lowest-level revenue account numbers. Using them would provide more detailed accounting information for local units.

OPEN Account Numbers: Within the detailed revenue account numbers, certain account numbers are not designated with a specific account name. Instead, they are marked as OPEN account numbers in the Uniform Chart of Accounts and are available for local units to use if a local unit's accounting system

SECTION 2 CREATING AN ACCOUNT NUMBER

requires detailed classification and the Uniform Chart of Accounts does not contain a designated number that is suitable. They should be used under the proper classification that the Uniform Chart of Accounts indicates.

RESERVED Account Numbers: Within the detailed revenue account numbers, certain numbers are not available for local units and are for Michigan Department of Treasury use only. They are marked as RESERVED in the Uniform Chart of Accounts. The department will use these for future state-wide accounts.

POINT OFF: Local units are encouraged to point off for account numbers to record detailed accounting information if needed. Local units can use numbers or letters for point off. Please see Example 5 under the Examples of Creating an Account Number in this section.

Please refer to the table of accounts for revenues and other financing sources in the Section 3 and the descriptions of those accounts in Section 4 for detailed information.

3) Expenditure/Expense and Other Financing Use Accounts

A summary table for expenditures/expenses and other financing uses is provided as follows:

Control Account	Sub-Control Account Number	Sub-Control Account Name	Detailed Account Number	Detailed Account Name
700	701	Personnel Services	702-725	Salaries & Wages, Overtime, etc.
	726	Supplies	727-799	Office Supplies, Medical Supplies, etc.
	800	Other Services and Charges	801-969	State Institutions, Hospitalization, etc.
	970	Capital Outlay	971-989	Capital Outlay, etc.
	990	Debt Service	991-994	Principal, Interest, etc.
		Other Financing Uses	995	Transfers Out
			996	Discount on Bonds or Notes
			997	Transfer to Escrow for Bond Refunding
			998	Open
			999	Unusual or Infrequent Items

There are three levels of detail provided for local units to record expenditures/expenses and other financing uses. They are control account, sub-control accounts, and detailed accounts. The levels of detail that each local unit uses are at the discretion of the individual unit according to its needs. Smaller units may find that using only the control and sub-control numbers provides them with all the information necessary.

CONTROL Account Number: Account number 700 is the highest-level account number. The balance of it must at all times equal the total balance of all the expenditures/expenses, other financing uses, and unusual or infrequent items.

SECTION 2 CREATING AN ACCOUNT NUMBER

SUB-CONTROL Account Numbers: They are the second highest-level account numbers for expenditures/expenses and other financing uses. The balance of each sub-control account must at all times equal the total balance of all the detailed accounts under that sub-control account. For example, the total balance of 701 must equal the total of 702 through 725.

DETAILED Account Numbers: They are the lowest-level account numbers. Using them would provide more detailed accounting information for local units.

OPEN Account Numbers: Within the detailed account numbers, certain account numbers are not designated with a specific account name. Instead, they are marked as OPEN account numbers in the Uniform Chart of Accounts and are available for local units to use if a local unit's accounting system requires detailed classification and the Uniform Chart of Accounts does not contain a designated number that is suitable. They should be used under the proper classification that the Uniform Chart of Accounts indicates.

POINT OFF: Local units are encouraged to point off for account numbers to record detailed accounting information if needed. Local units can use numbers or letters for point off. Please see Example 5 under the Examples of Creating an Account Number in this section.

Please refer to the table of accounts for expenditures/expenses and other financing uses in Section 3 and the descriptions of those accounts in Section 4 for detailed information.

SECTION 2 CREATING AN ACCOUNT NUMBER

Examples of Creating an Account

The following examples illustrate the “three sets of three digits” concept for creating an account.

Example 1: To determine an account number for the purchase of office supplies for the Office of the Treasurer of the local unit. This is accounted for in the General fund.

Sample Account No.: 101-253-727

- 101: The table of fund numbers indicates that the General fund is 101. Therefore, 101 should be the first three digits.
- 253: Because it is an expenditure, an activity number should be used if applicable. The table of activity numbers indicates that 253 has been assigned for Treasury activities. Therefore, 253 should be the second set of three digits.
- 727: The table of expenditure/expense and other financing use accounts indicates that 726 has been assigned as a supplies sub-control account and 727 through 799 have been assigned as detailed supplies accounts. The local unit chose to assign 727 as the designated Office Supplies account. Therefore, 727 should be the third set of three digits.

Example 2: To account for the payment of salaries to the police in the Police fund.

Sample Account No.: 207-301-703

- 207: The table of fund numbers indicates that the Police fund is 207. Therefore, 207 should be the first set of the three digits.
- 301: Because it is an expenditure, an activity number should be used. The table of activity number indicates that activity number 301 has been assigned for police activities. Therefore, 301 should be the second set of the three digits.
- 703: The table of expenditure/expense and other financing use accounts indicates that 701 has been assigned as a personnel sub-control account and 702 through 725 have been assigned as detailed personnel accounts. The local unit chose to assign 703 as the designated salary account. Therefore, 703 should be the third set of the three digits.

Example 3: To account for the receipt of revenue as the result of permits issuance in a township. This very small township only provides one type of permit every year:

Sample Account No.: 101-000-475

- 101: Generally, permit fees should be recorded in the General fund 101. Therefore, 101 should be the first three digits.
- 000: Because it is a revenue account, an activity number may or may not be used. They chose not to use an activity number. When no activity number is used, “000” should be used as the second set of the three digits.

SECTION 2 CREATING AN ACCOUNT NUMBER

- 475: Since the township only provides one type of permit, they are satisfied to use the sub-control account for permit fees to record the receipt. The table of revenue account numbers indicates that 475 is the sub-control account for the License and Permits. Therefore, 475 should be the third set of the three digits.

Example 4: To account for office supplies expenditures for traffic control for police activities in the General fund. The Police Department of the very large local unit needs to track details within the Police Department such as administration, traffic control, road patrol, community policing, etc. They chose to use POINT OFF option to meet their needs.

Sample Account No.: 101-301.**10**-727

- 101: The table of fund numbers indicates that the General fund is 101. Therefore, 101 should be the first three digits.
- 301.**10**: Because it is an expenditure, an activity number should be used. The table of activity number indicates that activity number 301 has been assigned for police activities. Therefore, 301 should be the second set of the three digits. However, the local unit has the need of track details for traffic control within the police activities. With the point off option, they chose to use “.10” for traffic control.
- 727: The table of expenditure accounts indicates that 726 has been assigned as a supplies sub-control account and 727 through 799 have been assigned as detailed supplies accounts. The local unit assigned 727 as the designated Office Supplies account. Therefore, 727 should be the third set of three digits.

Example 5: To account for short-term receivables from other funds in the General fund in a large local unit. The local unit has the need to track the details on which funds the General fund lent money to. They chose to use POINT OFF option to track details.

Sample Account No.: 101-000-084.**207**

- 101: The table of fund numbers indicates that the General fund is 101. Therefore, 101 should be the first three digits.
- 000: The Uniform Chart of Accounts indicates that activity numbers are generally not necessary for balance sheet accounts, although they may be used. Instead, “000” is typically used as the second set of the three digits when no activity number is used.
- 084.**207**: The table of balance sheet/statement of net position accounts indicates that 084 has been assigned as Due from Other Funds. Therefore, 084 should be the third set of three digits. However, the local unit needs to track the detailed information on which funds borrowed the money. With the point off option, they chose to use “.207” to indicate that the Police (Sheriff) fund borrowed the funds from the General.

SECTION 3 TABLE OF FUNDS
 Descriptions of [Funds](#), [Activities](#), and [Account Numbers](#)

SECTION 3 TABLE OF FUNDS, ACTIVITIES, AND ACCOUNT NUMBERS

Table of Funds					
Governmental Funds					
GENERAL FUNDS 101-149					
101	General Fund	102	Budget Stabilization Fund	103-149	Open
PERMANENT FUNDS 151-199					
151	Cemetery Trust Fund	152	Open	153	Open
154	Open	155	Endowment Fund	156-199	Open
SPECIAL REVENUE FUNDS 201-299					
201	County Road Fund	202	Major Street Fund	203	Local Street Fund
204	Municipal Street Fund	205	Public Safety Fund	206	Fire Fund
207	Police (or Sheriff) Fund	208	Park/Recreation Fund	209	Cemetery Fund
210	Ambulance Fund	211	Open	212	Liquor Law Enforcement Fund
213	Open	214	Open	215	Friend of the Court Fund
216	Open	217	Open	218	Open
219	Street Lighting Fund	220	Lake Improvement Fund	221	Health Department/District Health Fund
222	Community Mental Health Fund	223	Open	224	Lake Pollution Control Fund
225	Open	226	Rubbish Collection Fund	227	Sanitary Landfill Fund
228	Solid Waste Impact Fund	229	Lodging Excise Tax Fund	230	Open
231	Parking Meter/System Fund	232	Open	233	Open
234	Open	235	Open	236	Open
237	Open	238	Open	239	Open
240	Mosquito Control Fund	241	Planning Commission Fund-Regional	242	Local Brownfield Revolving Fund
243	Brownfield Redevelopment Authority Fund	244	Economic Development Corporation Fund	245	Open
246	Open	247	Tax Increment Finance Authority Fund	248	Downtown Development Authority Fund
249	Building Department Fund	250	Local Development Finance Authority Fund	251	Open
252	Open	253	Open	254	Open
255	Property Tax Exemption Fund	256	Register of Deeds Automation Fund (Numbered Letter 2003-3)	257	Open
258	Disaster Contingency Fund	259	Open	260	Indigent Defense Fund

SECTION 3 TABLE OF FUNDS
Descriptions of [Funds](#), [Activities](#), and [Account Numbers](#)

SPECIAL REVENUE FUNDS 201-299 (Continued)					
261	911 Service Fund	262	Federal Forfeitures Fund	263	Concealed Pistol Licensing Fund
264	Local Corrections Officers Training Fund (<i>Numbered Letter 2004-1</i>)	265	Drug Law Enforcement Fund	266	Law Enforcement Fund
267	Special Investigative Fund	268	Library System Fund	269	Law Library Fund
270	Historical Commission/Museum Fund	271	Library Fund	272-281	Open
282	CARES Act	283	Land Bank Fund	284	Opioid Settlement Fund
285	Open	286	Open	287	Open
288	Transportation System Fund	289	Automobile Theft Prevention Fund	290	Social Welfare Fund
291	Medical Care Facility Fund	292	Childcare	293	Veterans' Relief Fund
294	Veterans' Trust Fund	295	Airport Fund	296	Open
297	Open	298	Open	299	Open
DEBT SERVICE FUNDS 301-399					
301	General Debt Service Fund	302	Equipment Debt Fund	303-306	Open
307	Open	308	Park System Debt Fund	309	Open
310	Open	311	Hospital Building Debt Fund	312	Industrial Complex Debt Fund
313	Animal Shelter Debt Fund	314	Mental Health Debt Fund	315	Refuse Disposal System Fund
316	Parking System Debt Fund	317	Sanitary Landfill Debt Fund	318	Open
319	Open	320	Open for Act 175 Bond Debt Retirement Funds (Major Streets)	321	Open for Act 175 Bond Debt Retirement Funds (Major Streets)
322	Open for Act 175 Bond Debt Retirement Funds (Major Streets)	323	Open for Act 175 Bond Debt Retirement Funds (Major Streets)	324	Open for Act 175 Bond Debt Retirement Funds (Major Streets)
325	Open for Act 175 Bond Debt Retirement Funds (Major Streets)	326	Open for Act 175 Bond Debt Retirement Funds (Major Streets)	327	Open for Act 175 Bond Debt Retirement Funds (Major Streets)
328	Open for Act 175 Bond Debt Retirement Funds (Major Streets)	329	Open for Act 175 Bond Debt Retirement Funds (Major Streets)	330	Open for Act 175 Bond Debt Retirement Funds (Local Streets)
331	Open for Act 175 Bond Debt Retirement Funds (Local Streets)	332	Open for Act 175 Bond Debt Retirement Funds (Local Streets)	333	Open for Act 175 Bond Debt Retirement Funds (Local Streets)
334	Open for Act 175 Bond Debt Retirement Funds (Local Streets)	335	Open for Act 175 Bond Debt Retirement Funds (Local Streets)	336	Open for Act 175 Bond Debt Retirement Funds (Local Streets)

SECTION 3 TABLE OF FUNDS
Descriptions of [Funds](#), [Activities](#), and [Account Numbers](#)

DEBT SERVICE FUNDS 301-399 (Continued)					
337	Open for Act 175 Bond Debt Retirement Funds (Local Streets)	338	Open for Act 175 Bond Debt Retirement Funds (Local Streets)	339	Open for Act 175 Bond Debt Retirement Funds (Local Streets)
340	Open for Act 175 Bond Debt Retirement Funds (Combined Major and Local Streets)	341	Open for Act 175 Bond Debt Retirement Funds (Combined Major and Local Streets)	342	Open for Act 175 Bond Debt Retirement Funds (Combined Major and Local Streets)
343	Open for Act 175 Bond Debt Retirement Funds (Combined Major and Local Streets)	344	Open for Act 175 Bond Debt Retirement Funds (Combined Major and Local Streets)	345	Open for Act 175 Bond Debt Retirement Funds (Combined Major and Local Streets)
346	Open for Act 175 Bond Debt Retirement Funds (Combined Major and Local Streets)	347	Open for Act 175 Bond Debt Retirement Funds (Combined Major and Local Streets)	348	Open for Act 175 Bond Debt Retirement Funds (Combined Major and Local Streets)
349	Open for Act 175 Bond Debt Retirement Funds (Combined Major and Local Streets)	350	Open	351-357	Open
358	Reserved	359	Reserved	360	Reserved
361	Open	362	Act 51 Bond Debt Fund (Road)	363	Open
364	Open	365	Public Works Projects Debt	366	Jail Building Debt Fund
367	Open	368	Open	369	Building Authority Debt Fund
370	Municipal Building Debt Fund	371	Library Building Debt Fund	372-378	Open
379	Open	380	Open	381	Airport Debt Fund
382	Open	383	Open	384-387	Open
388	Open	389	Open	390	Sewage Disposal Plant Debt Fund
391	Medical Care Facility Debt Fund	392	Juvenile Home Debt Fund	393	Economic Development Corporation Debt Fund
394	Downtown Development Authority Debt Fund	395	Tax Increment Finance Authority Debt Fund	396	Debt Service Fund (not covered elsewhere)
397	Debt Service Fund (not covered elsewhere)	398	Debt Service Fund (not covered elsewhere)	399	Debt Service Fund (not covered elsewhere)
DEBT SERVICE FUNDS SPECIAL ASSESSMENT DISTRICTS 851-899					
851	Drain Debt Service Fund	852	Special Assessment Debt Service Fund	853	Storm Drain Debt Fund
854	Open	855	Open	856	Open
857	Open	858	Open	859	Sidewalk Debt Fund
860	Open	861	Road Debt Fund	862	Street Debt Fund
863	Open	864	Open	865	Open

SECTION 3 TABLE OF FUNDS
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DEBT SERVICE FUNDS SPECIAL ASSESSMENT DISTRICTS 851-899 (Continued)					
866	Open	867	Open	868	Open
869	Open	870	Chapter 20 Drain Debt Service Fund	871-877	Open
878	Open	879	Open	880	Chapter 21 Drain Debt Service Fund
881	Open	882	Open	883-889	Open
890	Open	891	Lake Level Debt Service Fund	892	Open
893	Lake Improvement Debt Fund	894	Lake Pollution Control Debt Fund	895-899	Open
CAPITAL PROJECT FUNDS 401-499					
401	Capital Projects Fund	402	Equipment and Replacement Fund	403	Open
404	Open	405	Open	406	Open
407	Open	408	Park System Construction Fund	409	Open
410	Open	411	Hospital Building Fund	412	Industrial Complex Construction Fund
413	Animal Shelter Construction Fund	414	Mental Health Construction Fund	415	Refuse Disposal Construction Fund
416	Parking System Construction Fund	417	Sanitary Landfill Construction Fund	418-427	Open
428	Reserved	429	Reserved	430	Reserved
431	Open	432	Open	433-442	Open
443	Open	444	Open	445	Public Improvement Fund
446	Township Improvement Revolving Fund	447	Open	448-463	Open
464	Open	465	Public Works Construction Fund (for other units)	466	Jail Building Fund
467	Open	468	Open	469	Building Authority Construction Fund
470	Municipal Building Authority	471	Library Building Fund	472	Federal Grant Construction Funds
473	Federal Grant Construction Funds	474	Federal Grant Construction Funds	475	Federal Grant Construction Funds
476	Federal Grant Construction Funds	477	Federal Grant Construction Funds	478	Federal Grant Construction Funds
479	Federal Grant Construction Funds	480	Federal Grant Construction Funds	481	Airport Fund
482	Open	483	Open	484	Open
485	Open	486	Open	487	Open
488	Open	489	Open	490	Sewage Disposal Plant Fund

SECTION 3 TABLE OF FUNDS
Descriptions of [Funds](#), [Activities](#), and [Account Numbers](#)

CAPITAL PROJECT FUNDS 401-499 (Continued)					
491	Medical Care Facility Building Fund	492	Juvenile Home Building Fund	493	Economic Development Corporation Construction Fund
494	Downtown Development Authority Construction Fund	495	Tax Increment Finance Authority Construction Fund	496	Capital Projects Funds (not covered elsewhere)
497	Capital Projects Funds (not covered elsewhere)	498	Capital Projects Funds (not covered elsewhere)	499	Capital Projects Funds (not covered elsewhere)
CAPITAL PROJECT FUNDS SPECIAL ASSESSMENT DISTRICTS 801-850					
801	Drain Fund	802	Revolving Drain Fund	803	Storm Drain Fund
804	Revolving Drain Maintenance Fund	805	Special Assessment Capital Project Fund	806	Open
807	Open	808	Open	809	Sidewalks Construction Fund
810	Open	811	Road Fund	812	Street Improvement Fund
813	Open	814	Open	815	Open
816	Open	817	Open	818	Open
819	Open	820	Chapter 20 Drain Fund	821	Open
822	Open	823	Open	824	Open
825	Open	826	Open	827	Open
828	Open	829	Open	830	Chapter 21 Drain Fund
831	Open	832	Open	833-839	Open
840	Open	841	Lake Level Fund	842	Lake Level Revolving Fund
843	Lake Improvement Fund	844	Lake Pollution Control Fund	845	Open
846	Open	847	Open	848-850	Open
Proprietary Funds					
ENTERPRISE FUNDS 501-599					
501	Open	502	Open	503	Open
504	Open	505	Ambulance Fund	506	Open
507	Open	508	Park/Recreation Fund	509	Open
510	Open	511	Hospital Operating Fund	512	Medical Care Facility Fund
513	Open	514	Parking System Fund	515	Disposal System Fund
516	Delinquent Tax Revolving Fund	517	Sanitary Landfill Fund	518-533	Open
534	Open	535	Housing Commission Fund	536	Land Bank Fund
537	Open	538	Open	539	Open
540	Open	541	Forestry Fund	542-545	Open
546	Open	547	Open	548	Open

SECTION 3 TABLE OF FUNDS
Descriptions of [Funds](#), [Activities](#), and [Account Numbers](#)

ENTERPRISE FUNDS 501-599 (Continued)					
549	Building Department Fund (Numbered Letter 2000-02)	550	Open	551	Markets Fund
552	Open	553	Open	554	Open
555	Reserved	556	Reserved	557	Reserved
558	Open	559	Open	560	Open
561	Fair Board Fund	562	Open	563	Open
564	Open	565	Public Works Operation and Maintenance Fund (PA 185 and 342 other local units)	566	Open
567	Open	568	Open	569	Building Authority Fund
570	Open	571	Open	572-578	Open
579	Open	580	Open	581	Airport Fund
582	Electrical Utility Fund	583	Gas Utility Fund	584	Golf Course Fund
585	Open	586	Port Authority Fund	587	Swimming Pool Fund
588	Transportation System Fund	589	Auto Ferry Fund	590	Sewer Fund
591	Water Fund	592	Water and Sewer Fund	593	Civic Auditorium Fund
594	Marina Fund	595	Commissary/Concession Fund	596	Rubbish Collection Fund
597	Open	598	Open	599	Open
INTERNAL SERVICE FUNDS 601-699					
601	Open	602	Open	603-630	Open
631	Building and Grounds Maintenance Fund	632	Open	633	Open
634	Central Heating Fund	635	Open	636	Open
637	Open	638	Open	639	Drain Equipment Revolving Fund
640	DPW Equipment Revolving Fund	641	DPW Revolving Fund	642-660	Open
661	Motor Pool Fund	662	Police Vehicle and Equipment Pool Fund	663	Fire Vehicle and Equipment Pool Fund
664	Office Equipment Pool Fund	665	Heavy Equipment Fund	666	Open
667	Open	668	Open	669	Open
670	Open	671	Utilities Revolving Fund	672	Electrical Utility Fund
673	Gas Utility Fund	674	Water Utility Fund	675	Open
676	Open	677	Self-Insurance Fund	678-684	Open
685	Reserved	686	Reserved	687	Reserved
688	Open	689	Open	690-699	Open

SECTION 3 TABLE OF FUNDS
Descriptions of [Funds](#), [Activities](#), and [Account Numbers](#)

Fiduciary Funds					
CUSTODIAL FUNDS 701-725					
701	General Custodial Fund	702	Open	703	Current Tax Collection Fund
704	Impress Payroll Fund ²	705	Open	706-709	Open
710	District (Municipal) Court Custodial Fund	711	Probate Court Custodial Fund	712	Trial Court Custodial Fund
713	Open	714	Inmates' Custodial Fund	715	Open
716	Open	717	Open	718	Open
719	Open	720	Open	721	Library Penal Fine Fund
722	Reserved	723	Reserved	724	Reserved
725	Open				
PENSION (AND OTHER EMPLOYEE BENEFITS) TRUST FUNDS 726-750					
726	Employees 457 Deferred Compensation Fund	727	401K Deferred Compensation Fund	728	Open
729	Open	730	Open	731	Retirement System Fund
732	Police and Fire Retirement System Fund	733	401K Employee Health Care Fund	734	Open
735	Open	736	Public Employee Health Care Fund	737	OPEB Fund
738	Open	739	Open	740-746	Open
747	Open	748	Open	749	Reserved
750	Reserved				
INVESTMENT TRUST FUNDS 751-755					
751	Local Unit Investment Pool Trust Fund	752	Open	753-755	Open
PRIVATE PURPOSE TRUST FUNDS 756-799					
756	Open	757	Open	758-779	Open
780	Reserved	781	Reserved	782	Reserved
783	Open	784	Open	785-799	Open
Capital Assets Set of Accounts					
900-949					
Long-Term Obligations Set of Accounts					
950-975					
Accounts 900-975 are provided for the purpose of facilitating record keeping relating to the difference between governmental fund modified accrual and government-wide accrual reporting. Their use is not mandatory but is recommended for the purpose stated. Other means of accumulating the required information, such as spreadsheets that become a permanent part of the accounting records, are acceptable. One may also use one of these funds to track both long-term assets and liabilities.					

² Ending balances must be folded into the General fund. This fund should not be reported in the audited financial statements.

SECTION 3 TABLE OF ACTIVITIES
Descriptions of [Funds](#), [Activities](#), and [Account Numbers](#)

Table of Activities					
[100] FUNCTION-GENERAL GOVERNMENT CONTROL (Used solely or as the total of 101-128 and 171-274)					
LEGISLATIVE 101-128					
101	Governing Body (County Board of Commissioners', City Council, Township Trustees, Village Council)	102	Legislative Committee	103-128	Open Legislative Activities
CHIEF EXECUTIVE 171-190					
171	Chief Executive (Mayor, President, Supervisor)	172	Administrator, Manager, Superintendent, Controller	173-190	Open for Executive Activities
FINANCIAL AND TAX ADMINISTRATION 191-260					
191	Accounting Department	192	Open for Accounting Activities	193-208	Open for Accounting Activities
209	Open	210	Open	211	Open
212	Budget Department/Director	213	Open for Budget Department Activities	214	Open for Budget Department Activities
215	Clerk	216	Open for Clerk Activities	217	Open for Clerk Activities
218	Open for Clerk Activities	219	Open	220	Open
221	Open	222	Open	223	Internal Audit, External Audit, Board of Auditors
224	Open	225	Open	226	Open
227	Open	228	Information Technology	229	Open
230	Open	231	Open	232	Open
233	Purchasing	234	Open for Purchasing Activities	235	Open for Purchasing Activities
236	Open	237	Open	238	Open
239	Open	240	Open	241	Open
242	Open	243	Property Description Department	244	Open
245	County Survey and Remon mentation	246	Open	247	Board of Review
248	Open	249	Open	250	Open
251	Open	252	Open	253	Treasurer
254	Delinquent Tax Property Sales	255	Open	256	Open
257	Assessor/Equalization Department	258	Reserved	259	Reserved
260	Reserved				

SECTION 3 TABLE OF ACTIVITIES
Descriptions of [Funds](#), [Activities](#), and [Account Numbers](#)

OTHER GENERAL GOVERNMENT 261-274					
261	Open	262	Elections	263	Open for Elections
264	Open for Elections	265	Building and Grounds	266	Attorney/Corporation Counsel
267	Open	268	Open	269	Civil Service/Merit System
270	Human Resources (Personnel) Department	271	Open	272	Open
273	Building Authority	274	Retirement Board/VEBA Board/Department		
[275] FUNCTION-JUDICIAL CONTROL (Used solely or as the total of 276-299)					
276	Open	277	Open	278	Open
279	Open	280	Reserved		
281	Trial Court	282	Open for Other Trial Court Activities	283	Circuit Court
284	Open for Circuit Court Activities	285	Open for Circuit Court Activities	286	District/Municipal Court
287	Open for District/Municipal Court Activities	288	Open for District/Municipal Court Activities	289	Friend of the Court
290	Friend of the Court-Cooperative Reimbursement	291	Open for Other Friend of the Court Activities	292	Law Library
293	Open for Law Library Activity	294	Probate Court	295	Probation
296	Prosecuting Attorney	297	Grand Jury	298	Family Counseling Services
299	Open for Judicial Activities				
[300] FUNCTION-PUBLIC SAFETY CONTROL (Used Solely or as the total of 301-439)					
301	Police/Sheriff/Constable	302	Open	303	Open
304	Open	305	Administration	306	Open
307	Open	308	Open	309	Open
310	Crime Control and Investigation	311	Open	312	Open
313	Open	314	Open	315	Traffic and Safety Program
316	Open for Other Traffic Control Activities	317	Open for Other Traffic Control Activities	318	Open for Other Traffic Control Activities
319	Open for Other Traffic Control Activities	320	Training	321	Open
322	Open	323	Open	324	Open
325	Communications/Dispatch	326	Open	327	Open
328	Open	329	Open	330	Liquor Law Enforcement
331	Marine Law Enforcement	332	Snowmobile Law Enforcement	333	Open

SECTION 3 TABLE OF ACTIVITIES
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[300] FUNCTION-PUBLIC SAFETY CONTROL (Used Solely or as the total of 301-439) (Continued)					
334	Open	335	Open	336	Fire Department
337	Administration-Fire Department	338	Open for Other 206 Fire Department Activities	339	Fire Fighting
340	Open for Other Fire Department Activities	341	Fire Prevention	342	Training-Fire Department
343	Communications-Fire Department	344	Open for Other Fire Department Activities	345	Public Safety Department (Police and Fire)
346	Open	347	Open	348	Open
349	Open	350	Open	351	Corrections/Jail
352	Open for Other Corrections/Jail Activities	353	Open for Other Corrections/Jail Activities	354	Open for Other Corrections/Jail Activities
355	Open for Other Corrections/Jail Activities	356	Juvenile Correctional Institutional	357	Open for Other Juvenile Correctional Institution Activities
358	Open for Other Juvenile Correctional Institution Activities	359	Open for Other Juvenile Correctional Institution Activities	360	Open for Other Juvenile Correctional Institution Activities
361	Parole	362	Other Corrections Activities-Training (Numbered Letter 2004-1)	363	Open for Other Correctional Activities
364	Open for Other Corrections Activities	365	Open for Other Corrections Activities	366	Open for Other Corrections Activities
367	Open for Other Corrections Activities	368	Open for Other Corrections Activities	369	Open for Other Corrections Activities
370	Open for Other Corrections Activities	371	Building Inspection Department (Numbered Letter 2000-2)	372-399	Open (For Specific Types of Inspections)
400	Open	401	Open	402-423	Open
424	Open	425	Open	426	Emergency Management Homeland Security
427	Water Safety Council	428	Open	429	Open
430	Animal Shelter/Dog Warden	431	Open	432	Open
433	Open	434	Open	435	Open
436	Open	437	Open	438	Reserved
439	Reserved				
[440] FUNCTION-PUBLIC WORKS CONTROL (Used Solely or as the total of 441-599)					
441	Department of Public Works (DPW)	442	Drain Commissioner/Water Resource Commissioner	443	Open
444	Sidewalks	445	Drains-Public Benefit	446	Roads, Streets, Bridges (Not Act 51)

SECTION 3 TABLE OF ACTIVITIES
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[440] FUNCTION-PUBLIC WORKS CONTROL (Used Solely or as the total of 441-599) (Continued)					
447	Engineers/Engineering	448	Street Lighting	449	Road Commission/Street Department (Act 51)
450-520	Use for Detail Road and Street Activities	521	Sanitation Department	522	Street Cleaning
523	Open	524	Open	525	Open
526	Sanitary Landfill	527	Sewage Disposal	528	Rubbish Collection/Disposal
529	Open	530	Open	531	Open
532	Open	533	Open	534	Open
535	Open	536	Water and/or Sewer Systems	537-566	Use for Detail Water and/or Sewer System Activities
567	Cemetery	568	Soil Conservation	569	Watershed Council
570	Lake Improvements	571	Open	572-593	Open
594	Open	595	Airport	596	Transportation
597	Marina	598	Reserved	599	Reserved
[600] FUNCTION-HEALTH AND WELFARE CONTROL (Used Solely or as the total of 601-699)					
601	Health Department	602	Open	603	Open
604	Open	605	Contagious Disease	606	Open
607	Open	608	Open	609	Open
610	Health Board	611	Health Clinics	612	Open
613	Open	614	Open	615	Open
616	Open	617	Open	618	Open
619	Open	620	Mosquito Control	621	Pollution Control
622	Open	623	Open	624	Open
625	Open	626	Open	627	Open
628	Open	629	Open	630	Open
631	Substance Abuse	632	Open	633	Open
634	Open	635	Hospital Operation	636-645	Open
646	Open	647	Open	648	Medical Examiner
649	Mental Health	650	State Institutions	651	Ambulance
652	Open	653	Open	654	Open
655	Open	656	Open	657	Open
658	Open	659	Open	660	Open
661	Open	662	Childcare – Family Division of Circuit Court	663	Childcare-Department of Human Services (DHS)
664	Open	665	Open	666	Open
667	Open	668	Open	669	Open
670	Department of Human Services/Social Services Board	671	Medical Care Facility	672	Agency on Aging
673	Open	674	Open	675	Open
676	Open	677	Open	678	Open
679	Open	680	Open	681	Veterans' Burials

SECTION 3 TABLE OF ACTIVITIES
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[600] FUNCTION-HEALTH AND WELFARE CONTROL (Used Solely or as the total of 601-699) (Continued)					
682	Veterans' Counselor	683	Veterans' Trust Board	684	Open
685	Open	686	Open	687	Reserved
688	Reserved	689	Veterans' Relief	690	Redevelopment and Housing
691	Reserved	692	Public Housing	693	Community Action Program
694	Community Development Block Grant	695	Open for Other Grant Programs that Benefit Economically Disadvantaged Individuals	696	Open for Other Grant Programs that Benefit Economically Disadvantaged Individuals
697	Open for Other Grant Programs that Benefit Economically Disadvantaged Individuals	698	Open for Other Grant Programs that Benefit Economically Disadvantaged Individuals	699	Open for Other Grant Programs that Benefit Economically Disadvantaged Individuals
[700] FUNCTION-COMMUNITY AND ECONOMIC DEVELOPMENT CONTROL (Used Solely or as the total of 701-749)					
701	Planning	702	Zoning	703	Open
704	Open	705	Open	706	Open
707	Open	708	Open	709	Open
710	Cooperative Extension	711	Register of Deeds	712	Abstract Department
713	Surveyor	714	Open	715	Open
716	Open	717	Open	718	Open
719	Open	720	Open	721	Open
722	Open	723	Open	724	Open
725	Open	726	Open	727	Open
728	Economic Development	729	Open	730	Home Demolition
731	Home Renovation	732	Blight Removal	733	Open
734	Open	735	Open	736-745	Open
746	Open	747	Reserved	748	Reserved
749	Reserved				
[750] FUNCTION-RECREATION AND CULTURE CONTROL (Used Solely or as the total of 751-849)					
751	Parks and Recreation Department	752	Parks Administration	753	Open
754	Open	755	Open	756	Recreation/Park Facilities
757	Open	758	Open	759	Open
760	Parks Supervision	761	Open	762	Open
763	Open	764	Parks Policing	765	Open
766	Open	767	Parks Lighting	768	Open
769	Open	770	Parks Maintenance	771-789	Open
790	Library	791	Library Board	792-801	Open
802	Open	803	Historical Society, Commission or Program	804	Museum
805	Auditorium-Civic Center	806	Open	807-846	Open
847	Reserved	848	Reserved	849	Reserved

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[900] FUNCTION-CAPITAL OUTLAY CONTROL (Used Solely or as the total of 901-904)					
901	Open	902	Open	903	Open
904	Open				

[905] FUNCTION – DEBT SERVICE CONTROL (Used solely or as the total of 906-929)					
906-929	Open				

[930] FUNCTION-TRANSFERS IN AND OTHER FINANCING SOURCES CONTROL (Used Solely or as the total of 931-964)					
931-964	Open				

[965] FUNCTION-TRANSFERS OUT AND OTHER FINANCING USES CONTROL (Used Solely or as the total of 966-999)					
966-999	Open				

SECTION 3 TABLE OF ACCOUNT NUMBERS
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Table of Balance Sheet/Statement of Net Position Accounts					
CURRENT ASSETS 001-129					
CASH AND INVESTMENTS 001-017					
001	Cash-Checking	002	Cash-Savings	003	Cash-Certificates of Deposit
004	imp rest (Petty) Cash	005	Open	006	Open
007	Cash-Payroll Bank Account	008	Open	009	Open
010	Open	011	Open	012	Open
013	Open	014	Reserved	015	Reserved
016	Deposits with Fiscal Agent	017	Investments		
RECEIVABLES 018-100					
018	Receivables	019	Taxes Receivable	020	Taxes Receivable-Real Property-Current Levy
021	Open	022	Taxes Receivable-Personal Property-Current Levy	023	Open
024	Open	025	Open	026	Taxes Receivable-Delinquent-Real Property
027	Open	028	Taxes Receivable-Delinquent-Personal Property	029	Open
030	Interest and Penalties Receivable on Taxes	031	Open	032	Open
033	Utility Bills Receivable	034	Delinquent Utility Bills Receivable (on tax roll)	035	Open
036	Open	037	Open	038	Open
039	Open	040	Accounts Receivable (General-Not Governmental Units)	041	Estimated Uncollectable Accounts Receivable (Credit)
042	Open	043	Open	044	Travel Advances Receivable
045	Special Assessments Receivable-Current	046	Open	047	Special Assessments Receivable-Delinquent
048	Open	049	Special Assessments Receivable-Unavailable	050	Open
051	Open	052	Open	053	Open
054	Open	055	Open	056	Interest Receivable
057	Local Unit's Share of Assessment Improvement Costs Receivable	058	Open	059	Open
060	Notes Receivable	061	Loan Receivable	062	Leases Receivable (Current)
063	Open	064	Land Contracts Receivable	065	Open
066	Open	067	Open	068	Open
069	Open	070	Open	071	Due from Cities

SECTION 3 TABLE OF ACCOUNT NUMBERS
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RECEIVABLES 018-100 (Continued)					
072	Due from Counties	073	Due from Libraries	074	Due from Road Commissions
075	Due from Schools	076	Due from Townships (Except Road Agreements)	077	Due from Villages
078	Due from State	079	Due from Federal Government	080	Due from Townships (Road Agreements)
081	Due from Other Units of Government	082	Open	083	Due from Employees
084	Due from Other Funds	085	Open	086	Open
087	Court Orders Receivable	088	Service Fees Receivable	088.1	Forfeiture Certificate Recording Fees Receivable
089	Open	090	Open	091	Open
092	Open	093	Open	094	Open
095	Open	096	Open	097	Open
098	Reserved	099	Reserved	100	Reserved
BALANCE SHEET/STATEMENT OF NET POSITIONS ACCOUNTS					
INVENTORY 101-110					
101	Inventory	102	Open	103	Open
104	Open	105	Open	106	Open
107	Reserved	108	Reserved	109	Inventory-Road Materials
110	Inventory-Equipment Materials and Parts				
OTHER CURRENT ASSETS 111-129					
111	Open	112	Open	113	Open
114	Open	115	Open	116	Open
117	Open	118	Open	119	Open
120	Open	121	Open	122	Open
123	Prepaid Expenses (Expenditures)	124	Open	125	Open
126	Open	127	Reserved	128	Assets Held for Sale
129	Reserved				
NON-CURRENT ASSETS 130-199					
CAPITAL ASSETS 130-179					
130	Land	131	Land Improvements-Non-Depreciating	132	Land Improvements-Depreciating
133	Accumulated Depreciation-Land Improvements	134	Depletable Assets	135	Accumulated Depletion-Depletable Assets
136	Buildings, Building Additions, and Improvements	137	Accumulated Depreciation-Buildings, Building Additions, and Improvements	138	Road Equipment

SECTION 3 TABLE OF ACCOUNT NUMBERS
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CAPITAL ASSETS 130-179 (Continued)					
139	Accumulated Depreciation-Road Equipment	140	Shop Equipment	141	Accumulated Depreciation-Shop Equipment
142	Engineering Equipment	143	Accumulated Depreciation-Engineering Equipment	144	Yard and Storage Equipment
145	Accumulated Depreciation-Yard and Storage Equipment	146	Office Equipment and Furniture	147	Accumulated Depreciation-Office Equipment and Furniture
148	Vehicles	149	Accumulated Depreciation-Vehicles	150	Books & Related Materials
151	Accumulated Depreciation-Books & Related Materials	152	Water System	153	Accumulated Depreciation-Water System
154	Sewer System	155	Accumulated Depreciation-Sewer System	156	Open
157	Right of Way	158	Construction in Progress	159	Subscription Asset
160	Accumulated amortization – Subscription Asset	161	Open	162	Open
163	Open	164	Open	165	Open
166	Open	167	Open	168	Open
169	Open	170	Open	171	Open
172	Open	173	Open	174	Open
175	Open	176	Open	177	Reserved
178	Reserved	179	Reserved		
OTHER NON-CURRENT ASSETS 180-194					
180	Investments of Surplus Funds	181	Investment in Joint Venture	182	Lease Assets (Right of Use)
183	Accumulated Amortization-Leases	184	Open	185	Open
186	Reserved	187	Long Term Contracts Receivable	188	Derivative Contracts
189	Leases Receivable (Long-Term)	190	Net Pension Asset	191	Net OPEB Asset
192	Unamortized Discounts on Bonds Sold by the Local Unit	193	Long-Term Advances to Other Funds	194	Long-Term Advances to Other Units of Government
DEFERRED OUTFLOWS 195-199					
195	Deferred Outflows (Point off each individual deferral in a separate sub-account)	196	Open for Deferred Outflows	197	Open for Deferred Outflows
198	Reserved	199	Reserved		

SECTION 3 TABLE OF ACCOUNT NUMBERS
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CURRENT LIABILITIES 200-299					
200	Open	201	Vouchers Payable	202	Accounts Payable
203	Drain Orders Payable	204	Open	205	Judgments Payable
206	Annuities Payable	207	Notes Payable (Current)	208	Leases Payable (Current)
209	Subscription Liability (Current)	210	Open	211	Contracts Payable-Retained Percentage
212	Open	213	Land Contracts Payable-Current Portion	214	Due to Other Funds
215	Open	216	Open	217	Open
218	Open	219	Open	220	Open
221	Due to Cities	222	Due to Counties	223	Due to Libraries
224	Due to Road Commissions	225	Due to Schools	226	Due to Townships
227	Due to Villages	228	Due to State of Michigan	229	Due to Federal Government
230	Due to Other Units of Government	231	Payroll Deductions Payable	232	Due to Employees
233	Due to Former Employees	234	Due to Intermediate School Districts	235	Due to Community Colleges
236	Due to Special Education	237	Open	238	Open
239	Open	240	Open	241	Open
242	Open	243	Open	244	Open
245	Open	246	Open	247	Open
248	Open	249	Open	250	Bonds Payable-Current
251	Accrued Interest Payable	252	Open	253	Open
254	Open	255	Customer Deposits and Interest Payable	256	Open
257	Accrued Wages Payable	258	Accrued Taxes Payable (Includes Payroll Taxes)	259	Open
260	Accrued Vacation Payable	261	Accrued Sick Leave Payable	262	Open
263	Open	264	Open	265	Bonds Payable (Cash Bonds, Appearance Bonds)
266	Court Orders Payable	267	Due to Court Wards	268	Unclaimed Money
269	Garnishments Payable	270	Patients or Inmates Trust Money Payable	271	Restitutions Payable
272	Open	273	Undistributed Receipts	274	Undistributed Tax Collections
275	Due to Taxpayers (Tax Overpayments and Duplicate Payments)	276	Receipts Receivable	277	Open
278	Open	279	Open	280	Open
281	Open	282	Open	283	Performance Deposits Payable
284	Open	285	Open	286	Due to Fiscal Agent
287	Open	288	Open	289	Unamortized Premiums on Bonds Sold

SECTION 3 TABLE OF ACCOUNT NUMBERS
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CURRENT LIABILITIES 200-299 (Continued)					
290	Open	291	Open	292	Open
293	Open	294	Open	295	Open
296	Open	297	Reserved	298	Reserved
299	Reserved				
LONG-TERM LIABILITIES 300-359					
300	Bonds Payable	301	Open	302	Open
303	Open	304	Leases Payable (Non-Current)	305	Open
306	Open	307	Notes Payable	308	Open
309	Subscription Liability (Non-Current)	310	Open	311	Open
312	Open	313	Open	314	Advances from Other Funds
315	Open	316	Open	317	Open
318	Open	319	Open	320	Open
321	Open	322	Open	323	Open
324	Open	325	Open	326	Open
327	Open	328	Advances from State	329	Advances from Federal Government
330	Advances from Local Units of Government	331	Open	332	Open
333	Advances-Special Assessment Districts	334	Net Pension Liability	335	Net OPEB Liability
336	Open	337	Open	338	Open
339	Unearned Revenues	340	Open	341	Open
342	Open	343	Accrued Vacation and Sick Leave Payable	344	Open
345	Open	346	Open	347	Open
348	Open	349	Open	350	Open
351	Open	352	Open	353	Open
354	Open	355	Open	356	Open
357	Reserved	358	Reserved	359	Reserved
DEFERRED INFLOWS 360-369					
360	Deferred Inflows (point off each individual deferral in a separate sub-account)	361	Open for Deferred Inflows	362	Open for Deferred Inflows
363	Drain Orders-Deferred	364	Open for Deferred Inflows	365	Open for Deferred Inflows
366	Open for Deferred Inflows	367	Open for Deferred Inflows	368	Reserved
369	Reserved				

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FUND BALANCE AND NET POSITION 370-399					
370	Fund Balance-Non-Spendable-Other	371	Fund Balance-Non-Spendable-Other	372	Fund Balance-Non-Spendable-Long-Term Advances to Other Funds
373	Fund Balance-Non-Spendable-Other	374	Fund Balance-Non-Spendable-Other	375	Fund Balance-Restricted
376	Fund Balance-Restricted	377	Fund Balance-Restricted	378	Fund Balance-Restricted
379	Fund Balance-Restricted	380	Fund Balance-Committed	381	Fund Balance-Committed
382	Fund Balance-Committed	383	Fund Balance-Committed	384	Fund Balance-Committed
385	Fund Balance-Assigned	386	Fund Balance-Assigned	387	Fund Balance-Assigned
388	Fund Balance-Assigned	389	Fund Balance-Assigned	390	Fund Balance-Unassigned
391	Net Position (Net) Invested in Capital Assets	392	Net Position-Restricted	393	Net Position-Restricted
394	Net Position-Restricted	395	Net Position-Restricted	396	Net Position-Restricted
397	Net Position-Restricted	398	Net Position-Restricted	399	Net Position-Unrestricted

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Table of Revenue and Other Financing Sources Accounts					
REVENUE CONTROL ACCOUNT 400 (Total of all revenue and other financing source accounts)					
TAXES SUB-CONTROL ACCOUNT 401 (Used solely or as the total of 402-449)					
(GENERAL REVENUE)					
		402	Current Real Property Taxes	403	Current Property Taxes—Extra or Special Voted
404	Open	405	Open	406	Open
407	Open	408	Open	409	Open
410	Current Personal Property Taxes	411	Delinquent Real Property Taxes	412	Delinquent Personal Property
413	Open	414	Allowance for Refunds (BOR, MTT)	415	Allowance for Chargebacks
416	Open	417	Open	418	Open
419	Open	420	Open	421	Open
422	Redemptions and Reconveyance	423	Open	424	Tax Reverted Lands
425	Open	426	Open	427	Community-Wide Special Assessments ³
428	Open	429	Commercial Forest Revenue	430	National Forest Reserve Taxes
431	Sub-Marginal Land Act (Bankhead Jones)	432	Payment in Lieu of Taxes (PILT) ⁴	433	Commercial Facilities Tax (PA 255 of 1978)
434	Trailer Tax	435	Accommodations Tax (PA 263 of 1974)	436	City Utility Users Tax
437	Industrial Facility Tax	438	Income Tax	439	Marijuana Tax
440	Open	441	Open	442	Open
443	Reserved	444	Reserved	445	Penalties and Interest on Taxes
446	Reserved	447	Property Tax Administration Fee	448	Collections Fees
449	County Expense of Sale				
SPECIAL ASSESSMENTS SUB-CONTROL ACCOUNT 450 (Used Solely or as the total of 451-474)					
PROGRAM REVENUE – If the governmental entity is not obligated in any manner for special assessment debt, program revenue equal to the amount capitalized should be reported along with other grants or contributions restricted for capital purposes.					
PROGRAM REVENUE – Exchange or exchange-like service type special assessments					
		451	Open for Special Assessments	452	Open for Special Assessments
453	Open for Special Assessments	454	Open for Special Assessments	455	Open for Special Assessments
456	Open for Special Assessments	457	Open for Special Assessments	458	Open for Special Assessments
459	Open for Special Assessments	460	Open for Special Assessments	461	Open for Special Assessments

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SPECIAL ASSESSMENTS SUB-CONTROL ACCOUNT 450 (Used Solely or as the total of 451-474) (Continued)					
462	Open for Special Assessments	463	Open for Special Assessments	464	Open for Special Assessments
465	Open for Special Assessments	466	Open for Special Assessments	467	Open for Special Assessments
468	Open	469	Open	470	Open
471	Reserved	472	Reserved	473	Reserved
474	Penalties and Interest on Special Assessments				

³ Any special assessment that is assessed on a community-wide basis, such as an Act 33 public safety millage, should be reported in account 427 as a tax. All other assessments should be reported in accounts 450-474.

⁴ Internally generated PILT should be recorded as either an interfund service or as a transfer. If the payment is reasonably equivalent in value to the services provided, then it would be considered an interfund service. If values are not reasonably equivalent, then transfer should be recorded.

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LICENSES AND PERMITS SUB-CONTROL ACCOUNT 475 (Used Solely or as the total of 476 through 500)					
<i>PROGRAM REVENUE – Program specific licenses & permits</i>					
		476	Business Licenses and Permits (a)	477	Cable TV Franchise Fees
478	Open	479	Open	480	Open
481	Open	482	Open	483	Open
484	Open	485	Open	486	Open
487	Open	488	Open	489	Open
490	Non-Business Licenses and Permits (b)	491	Open	492	Open
493	Open	494	Open	495	Open
496	Open	497	Open	498	Open
499	Reserved	500	Reserved		
Account Numbers 476-489 may be used to designate business licenses and permits subsidiary accounts, such as Alcoholic Beverages, Health, Police and Protection, Corporations, Public Utilities, Professional and Occupational, Amusements and any others, as needed or desired by the unit. Account Numbers 490-500 may be used to designate non-business licenses and permits subsidiary accounts, such as Building Structures and Equipment, Marriage, Burial, Animal, Sidewalks, Curbs, Approach and Culvert, and any others as needed, or desired by the unit.					
FEDERAL GRANTS SUB-CONTROL ACCOUNT 501 (Used Solely or as the total of 502 through 538)					
<i>PROGRAM REVENUE - Program specific grants and contributions (operating and capital).</i>					
<i>GENERAL REVENUE – Multi-purpose grants that do not provide for specific identification of the programs and amounts.</i>					
		502	Federal Grants-General Government	503	Open
504	Open	505	Federal Grants-Public Safety	506	Open
507	Open	508	Open	509	Open
510	Open	511	Open	512	Open
513	Federal Grants-Sanitation	514	Open	515	Open
516	Federal Grants-Health	517	Open	518	Open
519	Federal Grants-Welfare	520	Open	521	Open
522	Federal Grants-CDBG	523	Federal Grants-Recreational and Cultural	524	Open
525	Open	526	Open	527	Open
528	Federal Grants-Other	529	Open	530	Open
531	Open	532	Open	533	Open
534	Open	535	Reserved	536	Reserved
537	Reserved	538	Federal Capital Grants		

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STATE GRANTS SUB-CONTROL ACCOUNT 539 (Used Solely or as the total of 540 through 579)					
PROGRAM REVENUE – Program specific grants and contributions (operating and capital).					
GENERAL REVENUE – Multi-purpose grants that do not provide for specific identification of the programs and amounts.					
540	Open	541	Open	542	Open
543	State Grants-Public Safety	544	State Grants-Drunk Driving Case-Flow Assistance (Numbered Letter 1998-5)	545	State Grants-Drug Case Information Management Account (Numbered Letter 1998-5)
546	State Grants-Highway and Streets	547	State Grants-Court Equity (Numbered Letter 1998-5)		
548	Open	549	Open	550	Open
551	Open	552	State Grants-Sanitation	553	Open
554	Open	555	State Grants-Health	556	Open
557	Open	558	Open	559	Open
560	Open	561	State Grants-Welfare	562	Open
563	Open	564	Open	565	Open
566	State Grants-Recreational and Cultural	567	Open	568	Open
569	State Grants-Other	570	State Grants-Crime Victims’ Rights (Numbered Letter 1994-11)	571	Indigent Defense Grant
572	Open	573	Local Community Stabilization Share	574	State Grants-State Revenue Sharing
575	State Grants – Survey and monumentation	576	State Grants-Special Election Reimbursement	577	Reserved
578	Reserved	579	State Capital Grants		
CONTRIBUTIONS FROM LOCAL UNITS SUB-CONTROL ACCOUNT 580 (Used Solely or as the total of 581 through 599)					
PROGRAM REVENUE					
		581	Open	582	Open
583	Open	584	Open	585	Open
586	Open	587	Open	588	Open
589	Open	590	Open	591	Open
592	Open	593	Open	594	Open
595	Open	596	Open	597	Reserved
598	Reserved	599	Reserved		
CHARGES FOR SERVICES SUB-CONTROL ACCOUNT 600 (Used Solely or as the total of 601 through 654)					
PROGRAM REVENUE					
		601	Court Related Charges	602	Open
603	Open	604	Open	605	Open
606	Open	607	Fees	608	Court Filing Fees*

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CHARGES FOR SERVICES SUB-CONTROL ACCOUNT 600 (Used Solely or as the total of 601 through 654) (Continued)					
609	Jury Demand Fees*	610	Writ of Garnishment, Restitution, Attachment or Execution*	611	Attorney Fee Reimbursement*
612	Guardian Ad Litem Reimbursement*	613	Open	614	Open
615	Open	616	Open	617	Open
618	Open	619	Open	620	Open
621	Probation Oversight Fee*	622	Estate Inventory Fee*	623	Friend of the Court Statutory Handling Fee*
*These accounts are referenced in Numbered Letter 1998-5					
624	Friend of the Court Service Fee*	625	Miscellaneous Court Costs and Fees*	626	Services Rendered
627	Building Inspection Fees	628	Open	629	Open
630	Open	631	Open	632	Open
633	Open	634	Open	635	Open
636	Open	637	Open	638	Ambulance Transport Fees
639	Title Search Fee	640	Open	641	Pre-Forfeiture Mailing Notice Cost (Numbered Letter 2002-3)
642	Sales	643	Open	644	Open
645	Open	646	Open	647	Open
648	Reserved	649	Reserved	650	Reserved
651	Use and Admission Fees	652	Parking Fees	653	Other Use and Admission Fees
654	Other Use and Admission Fees	*These accounts are referenced in Numbered Letter 1998-5			
FINES AND FORFEITS SUB-CONTROL ACCOUNT 655 (Used Solely or as the total of 656 through 663)					
PROGRAM REVENUE					
		656	Traffic Violations (e.g., passed through District Court)	657	Ordinance Fines and Costs*
658	Open	659	Open	660	Statute Costs*
661	Reserved	662	Reserved	663	Bond Forfeitures and Bond Costs*
*These accounts are referenced in Numbered Letter 1998-5					
INVESTMENT INCOME AND RENTALS SUB-CONTROL ACCOUNT 664 (Used Solely or as the total of 665 through 671)					
GENERAL REVENUE--Investment Income, Interest and Dividends (usually)					
		665	Interest	666	Dividends
667	Rent	668	Royalties	669	Investment Gains and Losses
670	Open	671	Leases		

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OTHER REVENUE SUB-CONTROL ACCOUNT 672 (Used solely or as the total of 672 through 689)					
GENERAL REVENUE (usually)					
				673	Gain/Loss on Sale of Assets (Proprietary Funds)
674	Private Contributions and Donations	675	Open	676	Reimbursements
677	Open	678	Open	679	Open
680	Open	681	Open	682	Open
683	Open	684	Open	685	Opioid Settlement
686	Miscellaneous Other Additions (Fiduciary Additions)	687	Refunds/Rebates	688	Reserved
689	Cash Over or Short				
OTHER FINANCING SOURCES SUB-CONTROL ACCOUNT 690 (Used Solely or as the total of 691 through 699)					
Normally reported as general revenue or separately after general revenues					
		691	Other Financing Sources - Lease Financing	692	Open
693	Sale of Capital Assets (Governmental Funds)	694	Other Financing Sources - SBITA	695	Reserved
696	Proceeds from Sale of Bonds/Notes	697	Premium on Bonds or Notes	698	Bond or Insurance Recoveries
699	Interfund Transfers In				

SECTION 3 TABLE OF ACCOUNT NUMBERS
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Table of Expenditure/Expense and Other Financing Use Accounts					
EXPENDITURE/EXPENSE CONTROL ACCOUNT 700 (Total of all expenditure and other financing uses accounts)					
PERSONNEL SERVICES SUB-CONTROL ACCOUNT 701 (Used solely or as the total of 701 through 725)					
Use numbers 702-725 for more detail as desired. Examples include (not all inclusive): 70X Salaries and wages of elected officials, appointed officials, deputies, supervisor employees, permanent employees, temporary employees', overtime 71X Fringe Benefits such as: Employer's Social Security, Hospitalization Insurance, Employee Life Insurance, Retirement Contribution, Unemployment Compensation, Unemployment Insurance, Workers Compensation Insurance, Sick and Vacation Pay, Per Diem, Insurance and Bonds, etc.					
SUPPLIES SUB-CONTROL ACCOUNT 726 (Used solely or as the total of 727 through 799)					
Use numbers 727-799 for more detail as desired. These account numbers may be assigned in groups such as: Office Supplies, Operating Supplies, Medical Supplies, Maintenance Supplies, Repair Supplies, etc.					
OTHER SERVICE AND CHARGES SUB-CONTROL ACCOUNT 800 (Used solely or as the total of 801 through 969)					
801-832	Professional and Contractual Services	832	State Institutions	833	Veterans Burial
834	Hospitalization	835	Health Services	836-849	Other Welfare Services
850-859	Communications (telephone, cellphone, radios, etc.)	860-873	Transportation	874-879	Retirement Benefits (to retirees)
880-899	Community Promotion	900-919	Printing and Publishing	920-929	Utilities
930-939	Repairs	940-954	Rentals	955-958	Miscellaneous
959	Contributions to Other Governments	960-963	Miscellaneous	964	Refunds and Rebates
965	Open	966	State Trunkline Overhead	967	Project Costs (not capital outlay)
968	Depreciation, Deletion, and Amortization	969	Open		

SECTION 3 TABLE OF ACCOUNT NUMBERS
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CAPITAL OUTLAY SUB-CONTROL ACCOUNT 970 (Used solely or as the total of 971 through 989)					
Use numbers 971-989 for more detail as desired. Capital outlay expenditures result in the acquisition of or addition to capital assets. The amounts in these accounts must agree with the capitalization policy of the local unit and will equal the additions to general capital assets records.					
DEBT SERVICE SUB-CONTROL ACCOUNT 990 Used solely or as the total of 991 through 994)					
991	Principal	992	Principal	993	Interest ⁵
994	Interest				
OTHER FINANCING USES					
995	Interfund Transfers (Out)	996	Discount on Bonds or Notes		
997	Transfer to Escrow for Bond Refunding				
UNUSUAL OR INFREQUENT ITEMS					
998	Open	999	Unusual or Infrequent Items		

⁵ Use one of the interest accounts if debt issuance costs are needed.

SECTION 4: DESCRIPTIONS OF FUNDS
Table of [Funds](#), [Activities](#), and [Account Numbers](#)

SECTION 4 DESCRIPTIONS OF FUNDS, ACTIVITIES, AND ACCOUNT NUMBERS

Funds

Governmental Funds

The General Fund should be used to account for and report all financial resources not accounted for and reported in another fund. (GASB Codification Section 1300.104). The General Fund is established at the inception of the local unit of government and continues throughout its existence.

GASB Codification Section S40.114 states, “The transactions of a service type special assessment should be reported in the fund type that best reflects the nature of the transactions, usually the general fund, a special revenue fund, or an enterprise fund ...”

A legally created service type special assessment district, including a district that is the entire unit, is a separate fiscal and accounting entity. Inclusion of the transactions of a service type special assessment district in the General Fund of a local unit in Michigan is prohibited.

Several Special Revenue Funds have been established to account for service type special assessment districts and are described in this Chart of Accounts. When one type of special assessment includes a number of districts, each district must be accounted for separately. This may be accomplished through the use of a separate fund for each district or the use of one fund with subsidiary accounts for each district.

Service type special assessments which are directly related to an enterprise fund may be accounted for in the related enterprise fund. When an enterprise fund includes multiple special assessment districts, subsidiary records of each special assessment district must be maintained.

The same requirements relating to special assessments apply when a tax is levied for a specific purpose. Refer to Special Revenue Funds for the various funds necessary.

101--GENERAL FUND

The General Fund typically serves as the chief operating fund of a local government. It is used to account for and report all financial resources except those required to be accounted for in another fund. The General Fund’s primary revenue sources are the general tax levy (not to include special tax levies or assessments), local income taxes, certain state and federal grants, and fees and charges of the General Fund departments. Most of the current activities of the local unit of government are accounted for through the General Fund. Its use is mandatory for all primary units of government (counties, townships, cities, and villages).

The cash and investments of the General Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The General Fund must operate only with an adopted budget by the governing body of the local unit as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

SECTION 4: DESCRIPTIONS OF FUNDS
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102--BUDGET STABILIZATION FUND

The Budget Stabilization Fund may be used in counties, cities, villages, and townships to account for funds set aside pursuant to the provisions of PA 30 of 1978, MCL 141.441 to MCL 141.445.

The fund may be established by an ordinance adopted by 2/3 of the members elected and serving on the governing body as provided in the Act. Specific requirements dictate the amounts to be transferred from the General Fund, maximum balances, and specific uses for the fund, MCL 141.443.

MCL 141.444 states in part: "Money in the budget stabilization fund may be appropriated by an ordinance or resolution adopted by a 2/3 vote of the members elected and serving of the governing body ..."

The cash and investments of the Budget Stabilization Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts. The earnings of the fund's investments must be returned to the municipality's General Fund, 1978 PA 30, MCL 141.443(4).

As discussed in the Numbered Letter 2011-02, this fund should be reported as part of the General Fund. However, MCL 141.443 does not allow a return of resources to the General Fund without a 2/3 approval of the governing body and only to meet budgetary needs. Therefore, the general ledger that reports these resources should not be eliminated. It would be appropriate to continue to maintain a separate general ledger for this fund, but to report it in the annual financial statements as a component of the General Fund. Please refer to the discussion at the end of Numbered Letter 2011-02 regarding maintaining separate general ledgers, but not reporting as a fund in the financial statements.

Permanent Funds should be used to account for and report resources that are restricted to the extent that only earnings, and not principal, may be used for purposes that support the reporting government's programs--that is, for the benefit of the government or its citizenry. (GASB Codification Section 1300.108).

151--CEMETERY TRUST FUND

This fund is used to account for money held by the local unit in trust for the perpetual care of cemetery lots. This fund has both a restricted and non-spendable fund balance. The non-spendable fund balance contains the amounts placed with the local unit in trust to be invested. The income earned on the investments would be closed to the restricted fund balance and may only be used for the perpetual care of the cemetery lots.

Statutory authorization for this fund is contained in 1937 PA 215, MCL 128.1 to MCL 128.4; 1931 PA 46, MCL 128.11 to MCL 128.16; 1915 PA 113, MCL 128.61 to MCL 128.62; 1909 PA 95, MCL 128.71 to MCL 128.74; and 1903 PA 81, MCL 128.81 to MCL 128.88.

The cash and investments of the Cemetery Trust Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts. Unless the unit has transferred the endowment to a community foundation according to 1937 PA 215, MCL 128.4

155--ENDOWMENT FUND

This fund is established only when required by the donor to account for restrictions stipulated by the donor in the gift instrument. This fund is used to account for money held by the local unit in trust for the

SECTION 4: DESCRIPTIONS OF FUNDS
Table of Funds, Activities, and Account Numbers

purpose stated in the gift instrument. This fund has both a restricted and non-spendable fund balance. The non-spendable fund balance contains the amounts placed with the local unit in trust to be invested. The income earned on the investments would be closed to the restricted fund balance and may only be used for purposes stated in the gift instrument.

If an endowment fund holds funds for a charitable purpose, the cash and investments may be required to be managed and invested in accordance with 2009 PA 87, MCL 451.921 to MCL 451.931, the Uniform Prudent Management of Institutional Funds Act <http://legislature.mi.gov/doc.aspx?mcl-act-87-of-2009>.

Special revenue funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The term proceeds of specific revenue sources establish that one or more specific restricted or committed revenues should be the foundation for a special revenue fund. (GASB Codification Section 1300.105).

GASB Codification Section S40.114 states: "The transactions of a service type special assessment should be reported in the fund type that best reflects the nature of the transactions, usually the general fund, a special revenue fund, or an enterprise fund ..."

A legally created service type special assessment district, including a district that is the entire unit, is a separate fiscal and accounting entity. Inclusion of the transactions of a service type special assessment district in the General Fund of a local unit in Michigan is prohibited.

Several special revenue funds have been established to account for service type special assessment districts and are described in this Chart of Accounts. When one type of special assessment includes a number of districts, each district must be accounted for separately. This may be accomplished through the use of a separate fund for each district or the use of one fund with subsidiary accounts for each district.

The same requirements relating to special assessments apply when a tax is levied for a specific purpose. Refer to Special Revenue Funds for the various funds necessary.

Local units must account for expenditures associated with millages or community-wide special assessments within the designated special revenue fund receiving the restricted or committed revenue. Accounting for these expenditures within the General fund and transferring funds from a special revenue fund is an unacceptable practice.

201--COUNTY ROAD FUND

The County Road Fund is used in each county to account for the operation of the county road commission. The fund is required by 1951 PA 51, MCL 247.662.

The County Road Fund is used to account for the receipt and expenditure of state motor vehicle fuel taxes which are earmarked by law, 1951 PA 51, for street and highway purposes, federal grants for highway purposes, taxes and special assessments for road purposes and general fund appropriations as well as State Trunkline maintenance contracts. The specific accounting procedures are prescribed by the Department of Treasury in the publication "Uniform Accounting Procedures Manual for County Road Commissions," which is on the Michigan Department of Treasury Web site. Please note the following link: http://www.michigan.gov/documents/treasury/roadcomm_3003_7_508374_7.pdf.

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The cash and investments of the County Road Fund are subject to the requirements of PA 20 of 1943, MCL 129.91, and may be included in pooled cash and investment accounts.

The County Road Fund must operate only with a budget adopted by the board of county road commissioners as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the board of county road commissioners pursuant to 1951 PA 51, MCL 247.662(12).

202--MAJOR STREET FUND

The Major Street Fund is used in each city or village to account for the construction and maintenance of a city or village major street system. The fund is required by 1951 PA 51, MCL 247.664(2).

The Major Street Fund is used to account for the receipt and expenditure of state motor vehicle fuel taxes which are earmarked by law, 1951 PA 51, for major street and highway purposes, federal grants for major street purposes, and general fund appropriations as well as State Trunkline maintenance contracts. Taxes and special assessments for major street purposes may be accounted for in this fund or in fund 204--Municipal Street Fund.

The cash and investments of the Major Street Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Major Street Fund must operate only with a budget adopted by the city or village council as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the city or village council pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; or Villages--1895 PA 3, MCL 65.7.

203--LOCAL STREET FUND

The Local Street Fund is used in each city or village to account for the construction and maintenance of a city or village local street system. The fund is required by 1951 PA 51, MCL 247.664(2).

The Local Street Fund is used to account for the receipt and expenditure of state motor vehicle fuel taxes which are earmarked by law, 1951 PA 51, for local street and highway purposes, federal grants for local street purposes, and general fund appropriations. Taxes and special assessments for local street purposes may be accounted for in this fund or in fund 204--Municipal Street Fund.

The cash and investments of the Local Street Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts. The Local Street Fund must operate only with a budget adopted by the city or village council as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the city or village council pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; or Villages--1895 PA 3, MCL 65.7.

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204--MUNICIPAL STREET FUND

The Municipal Street Fund is used in a city or village to account for a tax levy or special assessment levy for street operations of a city or village not provided for by 1951 PA 51. It is also used in a township to account for a tax levy or special assessment for road purposes.

The Michigan Department of Treasury requires this fund in those units that levy a voted tax or special assessment for street or road improvements.

If the street/road improvements are funded with General Fund revenue, use Activity Number 446 in the General Fund to record the expenditures.

The cash and investments of the Municipal Street Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Municipal Street Fund must operate only with a budget adopted by the city or village council, or township board as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the city or village council or township board pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; or Townships--Revised Statutes of 1846, MCL 41.75.

205--PUBLIC SAFETY FUND

The Public Safety Fund is used in cities, villages, and townships to account for a tax levy or special assessment levy for the purpose of providing police and fire protection authorized by a vote of the electors of the local unit of government.

The Michigan Department of Treasury requires this fund in those units which levy a special voted tax or special assessment for police and fire protection.

If police and fire protection is funded with General Fund revenue, use Activity Number 345 in the General Fund.

The cash and investments of the Public Safety Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Public Safety Fund must operate only with a budget adopted by the city or village council, or township board as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the city or village council or township board pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; or Townships--Revised Statutes of 1846, MCL 41.75.

206--FIRE FUND

The Fire Fund is used in cities, villages, and townships to account for a tax levy or special assessment levy for the purpose of providing fire protection authorized by a vote of the electors of the local unit of government.

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The Michigan Department of Treasury requires this fund in those units which levy a special voted tax or special assessment for fire protection.

If fire protection is funded with General Fund revenue, use Activity Numbers 336 to 344 in the General Fund.

The cash and investments of the Fire Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Fire Fund must operate only with a budget adopted by the city or village council, or township board as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the city or village council or township board pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; or Townships--Revised Statutes of 1846, MCL 41.75.

207—POLICE (OR SHERIFF) FUND

The Police (Sheriff) fund is used in counties, cities, villages, and townships to account for a tax levy or special assessment levy for the purpose of providing police or sheriff protection authorized by a vote of the electors of the local unit of government.

The Michigan Department of Treasury requires this fund in those units which levy a special voted tax or special assessment for police or sheriff protection.

If police or sheriff protection is funded with General fund revenue, use Activity Number 301 in the General Fund.

The cash and investments of the Police (Sheriff) fund is subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Police (Sheriff) Fund must operate only with a budget adopted by the governing body of the local unit as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

Cities, villages, and townships should refer to this as the Police fund. Counties will refer to this as the Sheriff fund.

208--PARK/RECREATION FUND

The Park/Recreation Fund is used to account for funds raised for operating and maintaining a park or recreation program. In counties, the fund is used to account for the operation of parks under the authority of a park board made up of the road commissioners or a ten-member board created pursuant to 1965 PA 261, MCL 46.351 to MCL 46.367, or a tax levy for the purpose of providing park or recreation activities authorized by a vote of the electors of the county. Other statutory authority for counties regarding parks is contained in 1913 PA 90, MCL 123.61 to MCL 123.68.

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In cities, villages, and townships, the Park/Recreation Fund is used to account for funds raised by a tax levy for the purpose of providing park or recreation activities authorized by a vote of the electors of the local unit of government. Statutory authority is Cities and Villages--Const 1963, art 7, § 23; Townships--1905 PA 157, MCL 41.421, MCL 41.428; and City, Village, County, or Township--1917 PA 156, MCL 123.51.

The Michigan Department of Treasury requires this fund in those units that levy a special voted tax for park/recreation activities and in counties that have a separate park board.

If the park is intended to be self-sustaining through user charges, use Enterprise Fund Number 508. If park/recreation service is funded with General Fund revenue, use Activity Number 751, Parks and Recreation Department, in the General Fund.

The cash and investments of the Park/Recreation Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Park/Recreation Fund must operate only with a budget adopted by the city or village council, or county or township board as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the city or village council, or county or township board pursuant to: Counties--1851 PA 156, MCL 46.11(g); County Park Board--1965 PA 261, MCL 46.351 to MCL 46.367 *et seq.*; Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; or Townships--Revised Statutes of 1846, MCL 41.75.

209--CEMETERY FUND

The Cemetery Fund is used in cities, villages, and townships to account for a tax levy for the purpose of operating a cemetery authorized by a vote of the electors of the local unit of government.

The Michigan Department of Treasury requires this fund in those units that levy a special voted tax for cemetery operations.

If cemetery operations are funded with General Fund revenue, use Activity Number 567 in the General Fund.

The Cemetery Fund (for operations) must not be confused with fund 151--Cemetery Trust Fund that must be used for cemetery perpetual care funds.

The cash and investments of the Cemetery Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Cemetery Fund must operate only with a budget adopted by the city, village council, or township board as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the city or village council or township board pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; or Townships--Revised Statutes of 1846, MCL 41.75.

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210--AMBULANCE FUND

The Ambulance/EMS Fund is used in counties, cities, villages, and townships to account for a tax levy for the purpose of providing ambulance services authorized by a vote of the electors of the local unit of government.

The Michigan Department of Treasury requires this fund in those units that levy a special voted tax for ambulance operations.

If the Ambulance Fund is intended to be self-sustaining through user charges, use Enterprise Fund Number 505. If ambulance service is funded with General Fund revenue, use Activity Number 651, Ambulance, in the General Fund.

The cash and investments of the Ambulance Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Ambulance Fund must operate only with a budget adopted by the city or village council, or county or township board as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the city or village council or the county or township board pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; or Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

212--LIQUOR LAW ENFORCEMENT FUND

The Liquor Law Enforcement Fund is used in cities, villages, and townships which do not have a full-time police or enforcement department to account for the distribution of State liquor law enforcement money to the local unit of government for enforcing the Liquor Control Act.

This fund is required by the Michigan Department of Treasury in those units which do not have a full-time police or law enforcement department. A separate Liquor Law Enforcement Fund should not be established when the local unit has a full-time police or law enforcement department.

If liquor law enforcement is funded with General Fund revenue, use Activity Number 330, Liquor Law Enforcement, in the General Fund.

The cash and investments of the Liquor Law Enforcement Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Liquor Law Enforcement Fund must operate only with a budget adopted by the city or village council, or township board as required by 1968 PA 2, MCL 141.421 to MCL 141.440a. All claims (expenditures) must be approved by the city or village council or the township board pursuant to: Cities--1895 PA 215 of, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; or Townships--Revised Statutes of 1846, MCL 41.75.

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215--FRIEND OF THE COURT FUND

The Friend of the Court Fund is used by counties to account for Friend of the Court activities required by 1982 PA 294, 295, 296, 297, and 298.

The cash and investments of the Friend of the Court Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

If Friend of the Court activities are funded with General Fund revenue, use Activity Numbers 289-291, Friend of the Court, in the General Fund.

The Friend of the Court Fund must operate only with an adopted budget by the governing body of the county as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the governing body of the county pursuant to: Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

219--STREET LIGHTING FUND

The Street Lighting Fund is used in cities, villages, and townships to account for a tax levy or special assessment levy for the purpose of providing street lighting authorized by a vote of the electors of the local unit of government.

The Michigan Department of Treasury requires this fund in those units which levy a special voted tax or special assessment for street lighting.

If street lighting service is funded with General Fund revenue, use Activity Number 448, Street Lighting, in the General Fund.

The cash and investments of the Street Lighting Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Street Lighting Fund must operate only with an adopted budget by the governing body of the local unit as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; or Townships--Revised Statutes of 1846, MCL 41.75.

220--LAKE IMPROVEMENT FUND

The Lake Improvement Fund is used to account for funds raised to maintain lake improvement projects as required by 1994 PA 451, MCL 324.30901 to MCL 324.30929. The fund is classified as a special revenue fund because of the limited usage (for lake improvement only) of the revenue sources of this fund. It can be found in any local unit of government.

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The Lake Improvement Fund may be authorized by:

Vote of the people authorizing a tax levy. A resolution of the governing body authorizing the segregation of money to be used for lake improvement. Creation of a special assessment district.

The Michigan Department of Treasury requires this fund in accordance with generally accepted accounting principles established by the Governmental Accounting Standard Board (GASB).

Money for the operation of this fund may be supplied by: (a) tax levy or special assessment levy; (b) an appropriation (transfer in) from the General Fund of the local unit; and (c) federal or state grants. This fund would not be used where bond issue proceeds or special assessments are used for financing the improvement. Use fund 843 to account for capital project phase and fund 893 for debt service of the project.

If the entire expense is financed by a General Fund appropriation, a separate fund should not be established. If lake improvements are funded with General Fund revenue, use Activity Number 570, Lake Improvements, in the General Fund.

This fund is subject to budgetary requirements of 1968 PA 2, MCL 141.421 to MCL 141.440a.

221--HEALTH DEPARTMENT/DISTRICT HEALTH FUND

The Health Department/District Health Fund is used in counties and may be used in cities to account for the operations of a health department or district health department. The fund's primary revenue is transfers in from the General Fund, state and federal grants, appropriations from other participating counties, charges for services, gifts, grants, bequests, or other contributions restricted for health functions by the donor. The fund is required by the Public Health Code 1978 PA 368, MCL 333.2413.

If the fund's primary revenue source is transfers in from the General Fund, then this activity should not be accounted for as a special revenue fund (Numbered Letter 2011-02). Use Activity Number 601, Health Department, in the General Fund.

The specific accounting procedures are prescribed by the Michigan Department of Treasury in the publication, "Uniform Accounting Procedures for County/District Health Departments", which is published by the Michigan Department of Treasury.

The cash and investments of the Health Department/District Health Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Health Department/District Health Fund must operate only with an adopted budget by the governing body of the city or county, or the district board of health as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the governing body of the local unit of government (single unit health department) pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63; or the District Board of Health--1978 PA 368, MCL 333.2417.

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222--COMMUNITY MENTAL HEALTH FUND

The Community Mental Health Fund is used in counties and in community mental health organizations and community mental health authorities that are public governmental entities separate from the county or counties that established them, to account for the operations of a community mental health agency, organization, or authority. The fund's primary revenue is transfers in from the General Fund, state and federal grants, appropriations from other participating counties, charges for services, gifts, grants, bequests, or other contributions restricted for mental health functions by the donor. The fund is permitted by the Mental Health Code, 1974 PA 258, MCL 330.1201 to MCL 330.1245, and is required by the Michigan Department of Treasury.

If the fund's primary revenue source is transfers in from the General Fund, then this activity should not be accounted for as a special revenue fund (Numbered Letter 2011-02). Use Activity Number 649, Mental Health in the General Fund.

The specific accounting procedures are prescribed by the Michigan Department of Treasury in the publication, "Uniform Accounting Procedures Manual for County/District Mental Health Boards."

The cash and investments of the Community Mental Health Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Community Mental Health Fund must operate only with an adopted budget by the county board of commissioners (or organization or authority board) as required by 1968 PA 2, MCL 141.421 to MCL 141.440a. The board of a community mental health services program must annually approve the community mental health services program's operating budget for the year, 1974 PA 258, MCL 330.1226, after submission to and approval by the participating county boards.

All claims (expenditures) must be approved by the county board of commissioners (single unit community mental health agency) or the community mental health board pursuant to statutory requirements as follows: Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63; or the Community Mental Health Board--1974 PA 258, MCL 330.1204.

224--LAKE POLLUTION CONTROL FUND

The Lake Pollution Control Fund is used to account for funds used to maintain lake pollution control projects. It is classified as a special revenue fund because of the limited usage (for lake pollution control) of the revenue sources of this fund. This fund can be found in any local unit of government and may be authorized by:

Vote of the people authorizing a tax levy. A resolution of the governing body authorizing the segregation of money to be used for lake pollution control. Creation of special assessment district.

The Michigan Department of Treasury requires this fund in accordance with Generally Accepted Accounting Principles established by the Governmental Accounting Standard Board ([GASB](#)).

Money for the operation of this fund is supplied by: (a) tax levy or special assessment levy; (b) transfers in (an appropriation) from the General Fund of the local unit; and (c) federal or state grants. This fund would not be used when bond proceeds or special assessments are used for financing the improvement. Use fund 844 to account for the capital project phase and fund 894 for debt service on the project.

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If the entire expense is financed by the General Fund, it should be recorded in Activity Number 621, Pollution Control, in the General Fund.

This fund is subject to budgetary requirements of 1968 PA 2, MCL 141.421 to MCL 141.440a.

226--RUBBISH COLLECTION FUND

The Rubbish Collection Fund is used in cities, villages, and townships to account for a tax levy or special assessment levy for the purpose of providing rubbish collection authorized by a vote of the electors of the local unit of government.

The Michigan Department of Treasury requires this fund in those units which levy a special voted tax or special assessment for rubbish collection.

If rubbish collection services are intended to be self-sustaining through user charges, use Enterprise Fund Number 596. If rubbish collection service is funded with General Fund revenue, use Activity Number 528, Rubbish Collection/Disposal, in the General Fund.

The cash and investments of the Rubbish Collection Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Rubbish Collection Fund must operate only with an adopted budget by the governing body of the local unit as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; or Townships--Revised Statutes of 1846, MCL 41.75.

227--SANITARY LANDFILL FUND

The Sanitary Landfill Fund is used in counties, cities, villages, and townships to account for a tax levy for the purpose of operating a sanitary landfill authorized by a vote of the electors of the local unit of government.

The Michigan Department of Treasury requires this fund in those units which levy a special voted tax for a sanitary landfill.

If the sanitary landfill is intended to be self-sustaining through user charges, use Enterprise Fund Number 517. If the sanitary landfill is funded with General Fund revenue, use Activity Number 526, Sanitary Landfill, in the General Fund.

The cash and investments of the Sanitary Landfill Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts. The Sanitary Landfill Fund must operate only with a budget adopted by the city, village council, county, or township board as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the city or village council, or county or township board pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63; Villages--1895 PA 3, MCL 65.7; or Townships--Revised Statutes of 1846, MCL 41.75.

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228--SOLID WASTE IMPACT FUND

The Solid Waste Impact Fund is used in counties, cities, villages, and townships. The local unit may establish a fund to receive revenue collected (solid waste impact fees) pursuant to 1994 PA 451, MCL 324.11532(6). The fund shall be administered by a board of trustees appointed pursuant to the requirements of the Act.

The Michigan Department of Treasury requires this fund in those units that establish the Solid Waste Impact Board. Money in the trust fund may be expended, pursuant to a majority vote of the board of trustees, for any purpose that promotes the public health, safety, or welfare of the citizens of the municipality.

If the Solid Waste Impact Fund is not established, the impact fee must go to the General Fund. The impact fee revenue must be used for any purpose that promotes the public health, safety, or welfare of the citizens of the municipality.

The cash and investments of the Solid Waste Impact Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Solid Waste Impact Fund must operate only with a budget adopted by the city or village council, or county or township board as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved pursuant to a majority vote of the fund's board of trustees, 1994 PA 451, MCL 324.11532(8).

229--LODGING EXCISE TAX FUND

The Lodging Excise Tax Fund is used in counties to account for funds collected under the provisions of 1974 PA 263, MCL 141.861 to MCL 141.867, and is required by MCL 141.867.

Money for the operation of this fund is provided by the excise tax on transient room rentals and must be used for the administration of the ordinance, promoting tourism and to acquire, construct, improve, enlarge, or maintain convention and entertainment facilities.

The cash and investments of the Lodging Excise Tax Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Lodging Excise Tax Fund must operate only with a budget adopted by the county board of commissioners as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the county board pursuant to: 1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

231--PARKING METER/SYSTEM FUND

The Parking Meter/System Fund is to account for earmarked revenue set aside for parking operations. Revenue from parking meters should be deposited here, unless an enterprise fund is appropriate and then it should be deposited into Fund Number 514, Parking System Fund. This fund is classified as a special revenue fund because the proceeds of revenue sources are restricted or committed to

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expenditure for a specified purpose. The restrictions and commitments may be set forth by a revenue bond covenant, resolution, or ordinance of the local unit.

This fund can be found in any local unit of government and would be required by local unit ordinance or resolution.

The cash and investments of the Parking Meter/System Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Parking Meter/System Fund must operate only with a budget adopted by the city, village council, county, or township board as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the city or village council, or county or township board pursuant to: Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63; Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; or Townships--Revised Statutes of 1846, MCL 41.75.

240--MOSQUITO CONTROL FUND

The Mosquito Control Fund is used in counties, cities, villages, and townships to account for a tax levy or special assessment levy for the purpose of mosquito control authorized by a vote of the electors of the local unit of government.

The Michigan Department of Treasury requires this fund in those units which levy a special voted tax or special assessment for mosquito control. If mosquito control is funded with General Fund revenue, use Activity Number 620, Mosquito Control, in the General Fund.

The cash and investments of the Mosquito Control Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Mosquito Control Fund must operate only with a budget adopted by the city or village council, or county or township board as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the city or village council, or county or township board pursuant to: Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63; Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; or Townships--Revised Statutes of 1846, MCL 41.75.

241--PLANNING COMMISSION FUND - REGIONAL

This fund is used to account for funds earmarked for the Regional Planning Commission. It is classified as special revenue because of the limited usage (for regional planning purposes) of the revenue sources.

The Planning Commission Fund-Regional is usually found in county government where two or more local units agree to establish a Regional Planning Commission. The fund is permitted by 1945 PA 281, MCL 125.11 to MCL 125.25, and is required by the Michigan Department of Treasury. It may also be used by a city, village, or township under the authority of 2003 PA 226, MCL 125.131 to MCL 125.143, the Joint Municipal Planning Act.

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The cash and investments of the Planning Commission Fund-Regional are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The fund is used to account for money provided by: (a) state grants; (b) federal grants; and (c) transfers in (appropriations) from the local units involved.

This fund is subject to budgetary requirements of 1968 PA 2, MCL 141.421 to MCL 141.440a.

242--LOCAL BROWNFIELD REVOLVING FUND

A Brownfield Redevelopment Authority may establish a Local Brownfield Revolving Fund. A Local Brownfield Revolving Fund shall consist of money available under section 13(5) of 1996 PA 381, MCL 125.2663, and may also consist of money appropriated or otherwise made available from public or private sources. An authority shall separately account for money deposited to the fund that is directly derived from tax increment revenues levied for school operating purposes.

This fund may be found in counties, cities, or urban townships.

The Local Brownfield Revolving Fund may be used only to pay the costs of eligible activities on eligible property that is located within the municipality.

An authority or a municipality on behalf of an authority may incur an obligation for the purpose of funding a Local Brownfield Revolving Fund.

The Michigan Department of Treasury requires this fund in those units that establish the authority. Money in the fund may be expended for the purpose of the Act.

The cash and investments of the Brownfield Redevelopment Authority Local Brownfield Revolving Fund may be at the authority's discretion, MCL 125.2657(1)(k). This authorization would be subject to the prohibition of investing in stock of any company in Const 1963, art 9, § 19. The Department of Treasury recommends that the cash and investments be in compliance with the requirements of 1943 PA 20, MCL 129.91. The cash and investments must be in accordance with 1943 PA 20 if the local unit's treasurer is appointed treasurer of the Brownfield Redevelopment Authority.

243--BROWNFIELD REDEVELOPMENT AUTHORITY FUND

The Brownfield Redevelopment Authority Fund is used in counties, cities, villages, and townships. The local unit may establish an authority under the Brownfield Redevelopment Financing Act, 1996 PA 381, MCL 125.2651 to MCL 125.2672, to administer the activities authorized under the Act. The authority shall be administered by a board appointed pursuant to the requirements of the Act, MCL 125.2655.

This fund is used to account for the activities of the authority. The Act requires a Local Brownfield Revolving Fund when the authority receives funds directly from tax increment revenues levied for school operating purposes. See fund number 242.

The Michigan Department of Treasury requires this fund in those units that establish the authority. Money in the fund may be expended for the purposes specified in the Act.

The cash and investments of the Brownfield Redevelopment Authority Fund may be invested at the authority's discretion, MCL 125.2657(1)(k). This authorization would be subject to the prohibition of

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investing in stock of any company in Const 1963, art 9, § 19. The Michigan Department of Treasury recommends that the cash and investments be in compliance with the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts. If the local unit's treasurer is appointed treasurer of the authority, 1943 PA 20, must be complied with.

The Brownfield Redevelopment Authority Fund must operate only with a budget adopted by the authority board as required by 1996 PA 381, MCL 125.2668, and 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the authority's treasurer and director (if appointed), MCL 125.2656(2).

244--ECONOMIC DEVELOPMENT CORPORATION FUND

The Economic Development Corporation Fund is used in counties, cities, villages, and townships. The local unit may establish an authority under the Economic Development Corporation Act, 1974 PA 338, MCL 125.1601 to MCL 125.1636, to administer the activities authorized under the Act, MCL 125.1607.

The corporation shall be administered by a board of directors appointed pursuant to the requirements of the Act, MCL 125.1604.

This fund is used to account for the activities of the authority.

The Michigan Department of Treasury requires this fund in those units that establish the authority. Money in the fund may be expended for the purposes specified in the Act.

The cash and investments of the Economic Development Corporation Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts. The Economic Development Corporation Fund must operate only with a budget adopted by the corporation board as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

247--TAX INCREMENT FINANCE AUTHORITY FUND

The Tax Increment Finance Authority Fund is used in cities. The local unit may establish an authority under the Tax Increment Finance Authority Act, 1980 PA 450, MCL 125.4301 to 125.4329 to MCL 125.1830, to administer the activities authorized under the Act. The authority shall be administered by a board appointed pursuant to the requirements of the Act, MCL 125.4304.

This fund is used to account for the activities of the authority.

The Michigan Department of Treasury requires this fund in those units that establish the authority. Money in the fund may be expended for the purposes specified in the Act.

The cash and investments of the Tax Increment Finance Authority are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Tax Increment Finance Authority must operate only with a budget adopted by the authority board as required by 1980 PA 450, MCL 125.4325 and 1968 PA 2, MCL 141.421 to MCL 141.440a. The Tax Increment Finance Authority budget must be approved by the local unit governing body before being adopted by the Tax Increment Finance Authority Board.

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248--DOWNTOWN DEVELOPMENT AUTHORITY FUND

The Downtown Development Authority Fund is used in cities, villages, and townships. The local unit may establish an authority under the Downtown Development Authority Act, \ PA Act 57 of 2018, MCL 125.4201 to 125.4230 to administer the activities authorized under the Act. The authority shall be administered by a board appointed pursuant to the requirements of the Act, MCL 125.4204

This fund is used to account for the activities of the authority.

The Michigan Department of Treasury requires this fund in those units that establish the authority. Money in the fund may be expended for the purposes specified in the Act.

The cash and investments of the Downtown Development Authority are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Downtown Development Authority must operate only with a budget adopted by the authority board as required by, MCL 125.4228, and 1968 PA 2, MCL 141.421 to MCL 141.440a. The Downtown Development Authority budget must be approved by the local unit governing body before being adopted by the Downtown Development Authority Board.

All claims (expenditures) must be approved by the authority's treasurer and director, MCL 125.4205.

249--BUILDING DEPARTMENT FUND

The Building Department Fund is used in each county, city, village, and township to account for revenues earmarked for building construction code enforcement activities. The fund is required by Section 22(1) of 1972 PA 230, MCL 125.1522(1).

The Building Department Fund is used to account for the revenue and expenditures related to the cost of operating the enforcing agency under the provisions of the State Construction Code Act. Typically, the enforcing agency is the building department or planning department issuing building permits; examining plans and specifications; inspecting construction before issuing building permits; and issuing certificates of use and occupancy. The use of fees generated under this Act can only be used for the operation of the enforcing agency, construction board of appeals, or both, and shall not be used for any other purpose.

If the Building Department Fund is intended to be self-sustaining through user charges, use Enterprise Fund Number 549.

If the Building Department is not intended to be self-sustaining through user charges, this special revenue fund may be used or Activity Number 371, Building Department, in the General Fund. An activity in the General Fund requires specific note disclosures that demonstrate that the activity is not self-sustaining.

The cash and investments of the Building Department Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Building Department Fund must operate only with a budget adopted by the county board of commissioners, township board, or city or village council as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

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All claims (expenditures) must be approved by the legislative board or council pursuant to:
Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

250--LOCAL DEVELOPMENT FINANCE AUTHORITY FUND

The Local Development Finance Authority Fund is used in cities, villages, and urban townships. The local unit may establish an authority under the Local Development Finance Authority Act, Act 57 of 2018, MCL 125.4401 to 125.4420, to administer the activities authorized under the Act. The corporation shall be administered by a board appointed pursuant to the requirements of the Act, MCL 125.4405.

This fund is used to account for the activities of the authority.
The Michigan Department of Treasury requires this fund in those units that establish the authority.
Money in the fund may be expended for the purpose of the Act.

The cash and investments of the Local Development Finance Authority are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts. The Local Development Finance Authority must operate only with a budget adopted by the authority board as required by MCL 125.4419 and 1968 PA 2, MCL 141.421 to MCL 141.440a. The Local Development Finance Authority budget must be approved by the local unit governing body before being adopted by the Local Development Finance Authority Board.

255--PROPERTY TAX EXEMPTION FUND

The Property Tax Exemption Fund is used in counties to account for revenues from Property Tax Exemptions. Property Tax Exemption programs help property owners, who qualify, to continue to afford to keep their property by deferring the payment of their property taxes. If approved, tax payments are made directly to the County on behalf of the participant for the amount due.

The cash and investments of the Property Tax Exemption Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Property Tax Exemption Fund must operate only with a budget adopted by the county board of commissioners as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the legislative council pursuant to:
Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

256--REGISTER OF DEEDS AUTOMATION FUND

The Register of Deeds Automation Fund is used in counties to account for funds set aside under provisions of 2002 PA 698, MCL 600.2567 to MCL 600.2568. The fund was created for upgrading technology in the county register of deeds office under the Revised Judicature Act, MCL 600.101 *et seq.*

Upgrading technology is defined to include the design and purchase of equipment and supplies and implementation of systems and procedures. The procedures must allow the register of deeds office to receive, enter, record, certify, index, store, search, retrieve, copy, and otherwise process (by automated

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procedures and advanced technology) documents, instruments, abstracts, maps, plats, and other items recorded and maintained by the register of deeds.

MCL 600.2567 states "... the register of deeds shall deposit \$5.00 of the total fee collected for each recording into the automation fund if a fund has been established under section 2568. ..." The total number of deeds, mortgages, certified copies of an attachment, notices of the pendency of a suit, and other instrument documents recorded should be tallied at the end of each day and then multiplied by \$5.00 to determine the amount that will be deposited in the Register of Deeds Automation Fund. MCL 600.2568 also requires the county treasurer to direct investment of the fund and to credit interest and earnings from the investments to the fund.

The cash and investments of the Register of Deeds Automation Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Register of Deeds Automation Fund must operate only with an adopted budget by the county board of commissioners as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the county board of commissioners pursuant to 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

258--DISASTER CONTINGENCY FUND

The Disaster Contingency Fund may be found in any county or local unit. This fund is used to account for earmarked revenue for disaster contingency provisions. Disaster contingency provisions include providing for planning, mitigation, response, and recovery from natural and human-made disasters within and outside this state.

The cash and investments of the Disaster Contingency Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Disaster Contingency Fund must operate only with a budget adopted by the county board of commissioners, township board, city, or village council as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the legislative board or council pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

260--INDIGENT DEFENSE FUND

The Indigent Defense Fund may be found in applicable counties, cities, or townships. This fund is used to account for earmarked state grant revenue and mandated local share contributions to provide indigent defendants in criminal cases with effective assistance of counsel. This fund is required by the [Michigan Indigent Defense Commission](#) (MIDC) Act, [Public Act 93 of 2013](#), as amended.

Indigent Defense state grants must only be used to bring an indigent criminal defense system into compliance with the minimum standards established by the MIDC in accordance with the MIDC Act. Local units should contact the MIDC for more information on the standards and what types of expenditures would comply with them.

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Grants from the MIDC must be classified as a state grant revenue. If no other state grants are received within the fund, use of the State Grants Control 260-000-539 may be used. Otherwise use *Indigent Defense Grant* 260-000-571.

The revenue should be recognized when all eligibility requirements are met. If a grant is received prior to eligibility requirements being met, a deferred inflow must be recorded instead of a revenue until those requirements are completed.

The cash and investments of the Indigent Defense Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Indigent Defense Fund must operate only with a budget adopted by the local unit governing body as required by 1968 PA 2, MCL 141.421 to MCL 141.440a. All claims (expenditures) must be approved by the legislative board or council pursuant to:

Cities--1895 PA 215, MCL 87.7, MCL 88.20; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

261--911 SERVICE FUND

The 911 Service Fund may be found in any county or local unit having budgetary authority over an agency that provides 911 services. This fund is used to account for earmarked revenue for the 911 service under the provisions of Act 260 of 2012, MCL 484.1102 to 484.1717. The 911 Service Fund may be established by resolution of the governing body of the county. It accounts for the assets, liabilities, revenues, and expenditures authorized by the 911 service plan.

Money for the operation of this fund is provided by the service supplier. Expenditures made pursuant to this Act are to be used exclusively for the operation of the 911 system and the enhanced 911 system for wireless services. Separate activity numbers must be used for the 911 system and the wireless system.

The cash and investments of the 911 Service Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The 911 Service Fund must operate only with a budget adopted by the county board of commissioners, township board, city, or village council as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the legislative board or council pursuant to:

Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

262--FEDERAL FORFEITURES FUND

The Federal Forfeitures Fund may be found in any local unit. This fund is required for local units participating in the Justice Department Equitable Sharing Program. This fund is subject to laws, rules, regulations, and orders of the state or local jurisdiction governing the use of public funds.

The cash and investments of the Federal Forfeitures Fund are subject to the requirements of 1943 PA 20, MCL 129.91. Federal guidelines may require the use of a separate bank account. Guides for the Department of Justice Equitable Sharing Program may be found at <https://www.justice.gov>.

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All claims (expenditures) must be approved by the legislative board or council pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

263--CONCEALED PISTOL LICENSING FUND

The Concealed Pistol Licensing Fund may be found in any county. The fund is authorized by 1927 PA 372, MCL 28.425a, which became effective December 1, 2015. A county sheriff who makes a determination under this section, performs a criminal record check, and takes the applicant's fingerprints, may charge a fee not to exceed \$15.00. The county clerk may charge a fee not to exceed \$10.00 for printing an emergency license. The county clerk shall deposit the fee collected under this subsection in the Concealed Pistol Licensing Fund of that county.

MCL 28.425x states:

- (1) Each county shall establish a concealed pistol licensing fund for the deposit of fees collected for the county clerk under this act. The county treasurer shall direct investment of the concealed pistol licensing fund and shall credit to the fund interest and earnings from fund investments.
- (2) Money credited to the county concealed pistol licensing fund shall be expended in compliance with the uniform budgeting and accounting act, 1968 PA 2, MCL 141.421 to 141.440a, subject to an appropriation. Expenditures from the county concealed pistol licensing fund shall be used by the county clerk only for the cost of administering this act. Allowable expenditures include, but are not limited to, any of the following costs of the county clerk:
 - a) Staffing requirements directly attributable to performing functions required under this act.
 - b) Technology upgrades, including technology to take fingerprints by electronic means.
 - c) Office supplies.
 - d) Document storage and retrieval systems and system upgrades.

The cash and investments of the fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts. The county clerk makes deposits of collections with the county treasurer at least monthly. Any deposits due to the State of Michigan must be made quarterly by the county treasurer.

All claims (expenditures) must be approved by the county board of commissioners pursuant to 1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

264--LOCAL CORRECTIONS OFFICERS TRAINING FUND

The Local Corrections Officers Training Fund may be found in any county. The fund is authorized by 2003 PA 124, which became effective October 1, 2003, which amended chapter 171 of the Revised Statutes of 1846 related to county jails and regulations thereof, by adding a new section, MCL 801.4b, to the Act. The amendment to the Act regulates county jails by imposing a \$12.00 booking fee on each inmate when first admitted into a county jail. The booking fee, when collected, is used as a source of revenue for local correctional officers training programs.

The Act requires that \$2.00 of the booking fee go to the State of Michigan for deposit into a fund at the State level titled, "Local Corrections Officers Training Fund," as created under 2003 PA 125, MCL

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791.545. The county retains the balance of \$10.00 if the Sheriffs Coordinating and Training Council, established in 2003 PA 121, certifies the County's training program.

The cash and investments of the fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts. The county sheriff makes deposits of collections with the county treasurer at least monthly. Any deposits due to the State of Michigan must be made quarterly by the county treasurer. The Local Corrections Officers Training Fund must operate only with a budget adopted by the county board of commissioners as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the county board of commissioners pursuant to 1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

265--DRUG LAW ENFORCEMENT FUND

The Drug Law Enforcement Fund is used in any local unit of government that has budgetary authority over an agency that may seize property involved in the violation of controlled substances statutes, 198 PA 368, MCL 333.7523 to MCL 333.7524.

Authorized expenditures include expenses of seizure, forfeiture, and sale of property. The balance remaining must be used to enhance law enforcement efforts.

The cash and investments of the Drug Law Enforcement Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Drug Law Enforcement Fund must operate only with an adopted budget by the governing body of the local unit as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

266--LAW ENFORCEMENT FUND

The Law Enforcement Fund is used to account for earmarked revenue set aside for law enforcement.

The Law Enforcement Fund is classified as special revenue because of the limited usage (for law enforcement) of its revenue sources.

The Law Enforcement Fund is found: (1) in counties which contract with other local units to provide law enforcement assistance; (2) in the headquarters unit of an agency comprised of local units using a single law enforcement agency; and (3) in any unit receiving a law enforcement grant which must be accounted for separately.

Money for the operation of this fund is normally supplied by: (a) contractual payments from local units to counties; (b) appropriations from each member unit of an agency; or (3) restricted state or federal grants for law enforcement. It is not mandatory to establish this fund. The activity may instead be recorded in a General Fund activity number within the public safety function.

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The cash and investments of the Law Enforcement Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Law Enforcement Fund is subject to the budgetary requirements of 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

267--SPECIAL INVESTIGATIVE FUND

The Special Investigative Fund is used to account for funds specifically designated for special investigations by law enforcement officials.

The Special Investigative Fund is classified as special revenue because of the limited uses of its revenue sources (for special investigations).

The Special Investigative Fund should be set up by resolution of the governing body of the local unit, when the local unit receives a grant for special investigation, or when the local unit receives a contribution from private sources or public sources to conduct or continue a special investigation. Funds to operate this fund would come from local or private contributions, state or federal grants, or General Fund transfers in (appropriations).

The cash and investments of the Special Investigative Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Special Investigative Fund is subject to budgetary requirements of 1968 PA 2, MCL 141.421 to MCL 141.440a.

268--LIBRARY SYSTEM FUND

The Library System Fund is used to account for earmarked revenue set aside for library purposes. The fund is classified as special revenue because of the limited usage (for library purposes) of the revenue sources of this fund.

This fund may be found in any local unit to account for the operation of a library system when more than one unit operates the library. If there is only a single local unit, use fund 271, Library Fund.

Money for the operation of this fund is provided by: (a) General Fund transfers in (appropriations); (b) money appropriated by other units in the system; (c) penal fines from fund 721; and (d) book fines and penalties. Note: The unit that is to establish the fund and do the accounting is picked by the Library Board.

The cash and investments of the Library System Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

This fund is subject to budgetary requirements of 1968 PA 2, MCL 141.421 to MCL 141.440a.

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269--LAW LIBRARY FUND

The Law Library Fund is used in counties for the maintenance of the county law library. The fund's primary revenue is a specified portion of the penal fines collected each year by the county courts. The fund is required by 1961 PA 236, MCL 600.4851.

The cash and investments of the Law Library are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment account.

The Law Library Fund must operate only with an adopted budget by the county board of commissioners as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the county board of commissioners pursuant to 1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

270--HISTORICAL COMMISSION/MUSEUM FUND

The Historical Commission/Museum Fund is used in any local unit of government to account for restricted revenue for the operation of a historical society and/or museum.

The governing body of a city, village, township, or county may raise and appropriate money for the purpose of fostering any activity or project which the governing body determines will advance the historical interest of the local unit of government. The governing body may create by ordinance a historical commission, provide for its appointment, and prescribe its functions. A city, village, township, or county creating a historical commission may issue revenue bonds pursuant to 1933 PA 94, MCL 141.101 to MCL 141.139, for carrying out the functions of the commission.

The cash and investments of the Historical Commission/Museum Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Historical Commission/Museum Fund must operate only with an adopted budget by the governing body of the local unit as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

271--LIBRARY FUND

The Library Fund is used in any local unit of government to account for restricted revenue for the operation of a library. Statutory authority establishing a library board is Counties--1917 PA 138, MCL 397.301; Cities, Villages, and Townships--1877 PA 164, MCL 397.201 to MCL 397.217.

A separate fund is required for a library that is established with a separate library board.

The cash and investments of the Library Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The library board is responsible for budgeting and expending library funds in accordance with the requirements of 1968 PA 2, MCL 141.421 to MCL 141.440a.

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All claims (expenditures) must be approved by the library board pursuant to: Counties--1917 PA 138, MCL 397.304; Cities, Villages and Townships--1877 PA 164, MCL 397.205.

282--CARES ACT

This fund was established to account for federal relief provided under the 2020 Coronavirus Aid, Relief, and Economic Security (CARES) Act. As the CARES Act funding stream has concluded and no new allocations are anticipated, this fund is no longer actively used for new transactions. Once all related activities and reconciliations are finalized, this account should be formally closed.

283--LAND BANK FUND

This fund may be used to record activities for land bank operations. It is classified as a special revenue fund because of the limited usage of the revenue sources of this fund. Enterprise Fund 536 is also available for land bank activities, as the land bank operations are self-supporting, and the fund sells goods and services to the public for a fee. Local governments may choose to use either fund for the activities or consult their auditors.

284--OPIOID SETTLEMENT FUND

This fund should be used to record activities related to the opioid settlement. It is classified as a special revenue fund because of the limited usage of the revenue sources of this fund. For detailed requirements, please refer to the settlement agreement.

288--TRANSPORTATION SYSTEM FUND

The Transportation System Fund is used to record the operations of a bus line or other transportation operation. It is classified as special revenue because of the restricted or committed usage of its revenue sources and it is not required to be reported as an enterprise fund according to GASB codification section 1300.109.

This fund may be found in any local unit. It is used to record the revenue and expenditures for the operation of a transportation system. We recommend that the capital assets of the system be recorded in a separate capital asset account group in which depreciation is to be calculated and recorded, for the purpose of accumulating information required to be reported in the government-wide financial statements. If the Transportation System Fund is intended to be self-sustaining through user charges, use the Enterprise Fund Number 588 - Transportation System Fund.

This fund is established by resolution of the governing body of the local unit when they accept the applicable state/federal grants. Money for the operation of this fund is derived from: (a) local unit appropriations; (b) other local contributions; (c) charges to the users of the system; and (d) federal and state grants. This fund is subject to the budgetary requirements of 1968 PA 2, MCL 141.421 to MCL 141.440a.

The cash and investments of the Transportation Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

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289--AUTOMOBILE THEFT PREVENTION FUND

The Automobile Theft Prevention Fund is used in any unit of government that receives a grant from the State of Michigan for automobile theft prevention in accordance with 1956 PA 218, MCL 500.6107. The cash and investments of the Automobile Theft Prevention Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Automobile Theft Prevention Fund must operate only with an adopted budget by the governing body of the local unit, as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the governing body of the local unit of government as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

290--SOCIAL WELFARE FUND

The Social Welfare Fund is used in counties to account for the operations of the County Department of Human Services. The fund's primary revenue is State grants and refunds/reimbursements from the State for program expenditures. The fund is required by 1939 PA 280, MCL 400.73a.

The cash and investments of the Social Welfare Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Social Welfare Fund must operate only with an adopted budget by the governing body of the county board of commissioners, as required by 1968 PA 2, MCL 141.421 to MCL 141.440a. The human services board must annually approve the Social Welfare Fund operating budget for the year, after submission to and approval by the county board of commissioners.

All claims (expenditures) made from General Fund appropriations must be approved by the human services board and all other expenditures must be approved in accordance with rules established by the Michigan Department of Health and Human Services.

291--MEDICAL CARE FACILITY FUND

This fund may be used by a county to record the operation of the County Medical Care Facility. It is classified as special revenue because its revenue sources are used solely for operation of the Medical Care Facility. Use fund 512 if the Medical Care Facility is to be treated as an Enterprise Fund.

This fund is established in each county having a medical care facility. It is authorized and required by the Michigan Department of Treasury and the Michigan Department of Health and Human Services in order to account separately for the operation of the Medical Care Facility.

This fund is used to account for money for Medical Care Facility operations which is: (a) provided by county General Fund transfers (appropriations); (b) received from the State and Federal Government; (c) from reimbursements for care at the facility; and (d) received from any other source for facility use.

This fund is subject to budgetary requirements of 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the county human services board pursuant to MCL 400.45(2)(a).

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292--CHILDCARE FUND

The Childcare Fund is used in counties to account for the foster care of children. The fund's primary revenue is transfers in from the General Fund and state grants. The fund is required by MCL 400.117c.

The Childcare Fund may have three separate activities. 1939 PA 280, MCL 400.117c(4) provides: "... The county board of commissioners shall distinguish in its appropriations for the childcare fund the sums of money to be used by the family division of circuit court, the county family independence agency, and the agency designated by the county board of commissioners or the county executive to provide juvenile justice services. The county treasurer shall keep these segregated in proper sub-accounts."

The cash and investments of the Childcare Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Childcare Fund must operate only with an adopted budget by the governing body of the county board of commissioners, as required by 1968 PA 2, MCL 141.421 to MCL 141.440a. The human services board and the family division of circuit court must annually submit operating budgets for the year for approval by the county board of commissioners.

293--VETERANS' RELIEF FUND

The Veterans' Relief Fund is used in counties to account for assistance to indigent veterans and their families. The fund's primary revenue is a tax levy that is not to exceed 1/10 of a mill for this specific purpose and/or a General Fund appropriation that is not to exceed 2/10 of a mill. The fund is required by 1899 PA 214, MCL 35.21.

The cash and investments of the Veterans' Relief Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Veterans' Relief Fund must operate only with an adopted budget by the county board of commissioners, as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the Soldiers Relief Commission 1899 PA 214, MCL 35.23, or the County Department of Veterans' Affairs by 1953 PA 192, MCL 35.622.

294--VETERANS' TRUST FUND

The Veterans' Trust Fund is used in counties to account for aid to needy veterans. The fund's revenue is distributions by the state treasurer from the Michigan Veterans' Trust Fund as required by 1946 PA 9, MCL 35.607.

The cash and investments of the Veterans' Trust Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

The Veterans' Trust Fund must operate only with an adopted budget by the county board of commissioners, as required by 1968 PA 2, MCL 141.421 to MCL 141.440a.

All claims (expenditures) must be approved by the veteran's county board of commissioners or district committee, MCL 35.607.

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295--AIRPORT FUND

This fund is used to account for the operation and maintenance of airports. It is classified as a special revenue fund because of the limited usage of the revenue sources of this fund.

The fund may be used by any unit of government or a combination of two or more governmental units who jointly operate an airport as specified in an approved agreement.

This fund is permitted by 1945 PA 327, MCL 259.1 to MCL 259.208, 1957 PA 206, MCL 259.621 to MCL 259.631, or 1970 PA 73, MCL 259.801 to MCL 259.823. MCL 259.134 provides for a joint operating board.

This fund is required by the joint agreement establishing the airport board or authority. The Michigan Department of Treasury requires this fund to record the separate operating cost of the airport for pro-ration to the various units in accordance with the agreement. Airports may also be accounted for in General Fund Activity Number 595, Airport, or Enterprise Fund Number 581, depending on accounting treatment.

This fund is used to account for money provided by governmental units for airport operations by: (a) special voted tax levy; (b) participating governmental unit appropriations; (c) State and Federal Grants; and/or (d) charges for services.

This fund is subject to budgetary requirements of 1968 PA 2, MCL 141.421 to MCL 141.440a.

Debt Service Funds are required if they are legally mandated and/or if financial resources are being accumulated for principal and interest payments maturing in future years. (GASB Codification Section 1300.107)

Each bond and note issue of a local unit must be accounted for separately. This can be done through the use of separate funds for each debt or one fund with subsidiary accounts for each debt.

Limited full faith and credit general obligation debt payable from the general revenues of the unit of government may be paid directly from the General Fund.

Debt Service Funds are used to account for the payment of principal and interest on long-term debt. Only the matured portion of the debt is reflected in these funds, with the total amount of the debt recorded in the general long-term debt records that support the Statement of Net Position in the government-wide financial statements.

GASB Codification Section S40 states:

¶115 “[A]ll transactions related to capital improvements financed by special assessments should be reported in the same manner, and on the same basis of accounting, as any other capital improvement and financing transaction.

¶ 118 “Transactions of the construction phase of the project should be reported in capital project funds or other appropriate funds. Transactions of the debt service phase should be reported in a debt service fund, if one is required ...”

Fund Numbers 801 to 850 are Capital Project Funds (Special Assessment Districts) and Fund Numbers 851 to 899 are Debt Service Funds (Special Assessment Districts). When one type of special assessment

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includes a number of districts, each district must be accounted for separately. This can be done through the use of separate funds for each district or one fund with subsidiary accounts for each district. Capital projects and debt service directly related to an enterprise fund may be accounted for in the related enterprise fund. When an enterprise fund has multiple special assessment districts, subsidiary records of each district must be maintained.

The cash and investments of the Debt Service Funds are subject to the requirements of 1943 PA 20, MCL 129.91, unless the bond authorizing statute places more stringent restrictions on the investments. The Revised Municipal Finance Act authorizes the following categories of debt to be pooled or combined for deposit and investment purposes, but only with other debt retirement funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. A Debt Service Fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts.

301--GENERAL DEBT SERVICE FUND

This fund is used to account for the payment of principal and interest on long-term general obligation debt other than that payable from special assessments and debt issued for and serviced primarily by an enterprise fund. This fund may be used by any unit of government.

The cash and investments of the General Debt Service Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Revised Municipal Finance Act authorizes the following categories of debt to be pooled or combined for deposit and investment purposes, but only with other debt retirement funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. A Debt Service Fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts.

302--EQUIPMENT DEBT FUND

The Equipment Debt Fund is used to record the payment of principal and interest on long-term debt. Its assets are used for the redemption of bonds issued to purchase or replace equipment. This fund may be used by any unit of government.

The Equipment Debt Fund is classified as a Debt Service Fund and is used only for the principal and interest payments made on bonds sold to acquire equipment.

This fund can be established by a resolution of the legislative body or is required by the bond ordinance. Where a separate fund is not required, we recommend that such debt retirement be included in Fund Number 301, General Debt Service Fund.

The revenue for this fund may be supplied by: (a) a General Fund appropriating transfer (appropriation); (b) a tax levied specifically for the retirement of this debt; or (c) money from any other source which is restricted to the retirement of the appropriate debt.

308--PARK SYSTEM DEBT FUND

The Park System Debt Fund is used to record the payment of principal and interest on long-term debt. Its assets are used for the redemption of bonds issued for construction or acquisition of a park system. This fund may be used by any unit of government.

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The Park System Debt Fund is classified as debt service and is used only for the principal and interest payments made on bonds sold to construct or acquire a park system.

This fund may be found in any local unit. It should be used when there is Park/Recreation Special Revenue Fund Number 208, or if the debt is being paid entirely by tax levy.

This fund can be established by a resolution of the legislative body or is required by the bond ordinance. Where a separate fund is not required, we recommend that such debt retirement be included in Fund Number 301, General Debt Service Fund.

The revenue for this fund may be supplied by: (a) general fund appropriation transfer (appropriation); (b) a park fund appropriation; (c) a tax levied specifically for the retirement of this debt; or (d) money from any other source which is restricted to the retirement of park system debt.

311--HOSPITAL BUILDING DEBT FUND

The Hospital Building Debt Fund is used to record the payment of principal and interest on long-term debt. Its assets are used for the redemption of bonds issued specifically for the building of a county or city hospital.

This fund is classified as debt service and is used only for the principal and interest payments made on bonds sold to build a hospital.

This fund may be found in any county or city. This fund should not be used when the debt is paid partially or entirely from the revenues of the Hospital Operating Fund Number 511.

This fund can be established by a resolution of the legislative body or is required by the bond ordinance. Where a separate fund is not required, we recommend that such debt retirement be included in Fund Number 301, General Debt Service Fund.

The revenue for this fund is supplied by: (a) a General Fund appropriation transfer (appropriation); and/or (b) a special tax levied specifically for the retirement of this debt.

312--INDUSTRIAL COMPLEX DEBT FUND

The Industrial Complex Debt Fund is used to record the payment of principal and interest on long-term debt of an industrial complex. This fund is used only for the payment of debt. Construction is handled through a Capital Projects Fund. Any bond or borrowing proceeds would be credited to such (Capital) Fund Number 412.

This fund would normally exist only in large counties or large cities.

In accordance with statutory provisions, the Michigan Department of Treasury requires that debt money raised for a specific purpose (project) be accounted for in a separate fund.

The revenue for operation of this fund may be supplied by: (a) a special voted tax; (b) restricted contributions; (c) contractual agreements; or (d) other sources for the purpose of this debt retirement.

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313--ANIMAL SHELTER DEBT FUND

The Animal Shelter Debt Fund is used to record the payment of principal and interest on long-term debt. Its assets are used for the redemption of bonds issued specifically for the building of a county or city animal shelter. This fund is classified as debt service and is used only for principal and interest payments on bonds sold to build or acquire an animal shelter.

This fund may be found in any county or city. This fund can be established by a resolution of the legislative body or is required by the bond ordinance. Where a separate fund is not required, we recommend that such debt retirement be included in Fund Number 301, General Debt Service Fund.

The revenue for this fund is supplied by: (a) a General Fund appropriation transfer (appropriation); and/or (b) a special tax levied specifically for the retirement of this debt.

314--MENTAL HEALTH DEBT FUND

The Mental Health Debt Fund is used to account for principal and interest on long-term debt contracted specifically for the mental health program. This fund is classified as debt service because its assets are used only for principal and interest payments on long-term debt of the mental health program.

This fund is usually found only in county government. This fund may be established by resolution of the governing body or by terms under which the borrowing was consummated. Where a separate fund is not required, we recommend that such debt retirement be included in Fund Number 301, General Debt Service Fund. The revenue for this fund is supplied by: (a) transfer from the General Fund; (b) transfer from the Community Mental Health Fund Number 222; (c) a special tax levy; or (d) any other money received specifically for Mental Health long-term debt retirement.

315--REFUSE DISPOSAL SYSTEM DEBT FUND

The Refuse Disposal System Debt Fund is used to record the payment of principal and interest on long-term debt. Its assets are used for the redemption of bonds issued specifically for the building or acquisition of a refuse disposal system. This fund is classified as debt service and is used only for the principal and interest payments made on bonds sold to build or acquire a refuse disposal system.

This fund may be found in any county or city. The Refuse Disposal System Debt Fund can be established by a resolution of the legislative body or is required by the bond ordinance. Where a separate fund is not required, we recommend that such debt retirement be included in Fund Number 301, General Debt Service Fund.

The money for this fund is supplied by: (a) a General Fund transfer; and/or (b) a special tax levied specifically for the retirement of this debt.

316--PARKING SYSTEM DEBT FUND

The Parking System Debt Fund is used to record the payment of principal and interest on long term debt. Its assets are used for the redemption of bonds issued specifically for the building or acquisition of a parking system. This fund is classified as debt service and is used only for the principal and interest payments made on bonds sold to build or acquire a parking system.

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This fund may be found in any county or city. If the parking system is to be operated as an Enterprise Fund, the debt would be recorded in Fund Number 514.

This fund can be established by a resolution of the legislative body or is required by the bond ordinance. Where a separate fund is not required, we recommend that such debt retirement be included in Fund Number 301, General Debt Service Fund.

The money for this fund is supplied by: (a) a General Fund transfer; and/or (b) a special tax levied specifically for the retirement of this debt.

317--SANITARY LANDFILL DEBT FUND

The Sanitary Landfill Debt Fund is used to account for the payment of principal and interest on long-term debt. Its assets are used for the redemption of bonds issued specifically for the acquisition of a sanitary landfill. This fund is classified as Debt Service and is used only for the principal and interest payments made on bonds sold to acquire a sanitary landfill.

This fund may be found in any county or city. This fund should be used when special revenue Sanitary Landfill Fund Number 227 is used, or when the debt is paid entirely out of taxes.

This fund can be established by a resolution of the legislative body or is required by the bond ordinance. Where a separate fund is not required, we recommend that such debt retirement be included in Fund Number 301, General Debt Service Fund.

The money for this fund is supplied by: (a) a General Fund transfer; and/or (b) a special tax levied specifically for the retirement of this debt.

320 to 329--BOND DEBT RETIREMENT FUNDS (MAJOR STREETS)

1952 PA 175

(Enter Bond Issue Date in Fund Name)

Each of the funds is used in cities and villages to record principal and interest payments on long-term Major Street Fund Act 175 Bonds.

The bond proceeds are recorded in the Major Street Fund. The construction of the streets is also accounted for in the Major Street Fund.

Act 175 requires a separate debt retirement fund for each bond issue. All debt would be recorded in the government-wide financial statements and related long-term debt accounting records.

These funds are required by 1952 PA 175, MCL 247.701 to MCL 247.707, and are for this reason required by the Michigan Department of Treasury.

Money for this fund is supplied by the Major Street Fund. The Michigan Department of Transportation requires that, out of the first Act 51 money received in the Major Street Fund, the amount needed for the current year's Act 175 debt service (principal and interest) be transferred to these funds.

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330 to 339--BOND DEBT RETIREMENT FUNDS (LOCAL STREETS)

1952 PA 175

(Enter Bond Issue Date in Fund Name)

Each of the funds is used in cities and villages to record principal and interest payments on long-term Local Street Fund Act 175 Bonds.

The bond proceeds are recorded in the Local Street Fund. The construction of the streets is also accounted for in the Local Street Fund.

Act 175 requires a separate Debt Retirement Fund for each bond issue. All debt would be recorded in the government-wide financial statements and related long-term debt accounting records. These funds are required by 1952 PA 175, MCL 247.701 to MCL 247.707, and are for this reason required by the Michigan Department of Treasury.

Money for this fund is supplied by the Local Street Fund. The Michigan Department of Transportation requires that, out of the first Act 51 money received in the Local Street Fund, the amount needed for the current year's Act 175 debt service (principal and interest) be transferred to these funds.

340 to 349--BOND DEBT RETIREMENT FUNDS (COMBINED MAJOR AND LOCAL STREETS)

1952 PA 175

(Enter Bond Issue Date in Fund Name)

Each of the funds is used in cities and villages to record principal and interest payments on long-term combined Major and Local Street Fund Act 175 Bonds.

The bond proceeds are recorded in the Major and Local Street Funds. The construction of the streets is also accounted for in the Major and Local Street Funds.

Act 175 requires a separate debt retirement fund for each bond issue. All debt would be recorded in the government-wide financial statements and related long-term debt accounting records.

These funds are required by 1952 PA 175, MCL 247.701 to MCL 247.707, and are for this reason required by the Michigan Department of Treasury.

Money for this fund is supplied by the Major and Local Street Funds. The Michigan Department of Transportation requires that, out of the first Act 51 money received in the Major and Local Street Funds, the amount needed for the current year's Act 175 debt service (principal and interest) be transferred to these debt service funds.

362--BOND DEBT FUND (ROAD)

1951 PA 51

The Bond Debt Fund is used to record the payment of principal and interest on long-term Act 51 Bonds.

This is a Debt Service Fund and is used only for payment of 1951 PA 51, bond debt principal and interest.

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This fund is usually found in county government. It can be used by cities and villages pursuant to 1951 PA 51 and is for this reason required by the Michigan Department of Treasury and Michigan Department of Transportation.

The money for this fund is supplied (pledged) from the annual contributions from the Michigan Transportation Fund to the local unit for road or street construction and maintenance. The amount pledged cannot exceed the amount specified in Act 51.

365--PUBLIC WORKS PROJECTS DEBT FUND

The State Department of Treasury requires the use of this fund by counties or authorities who issue bonds for the construction of water systems, sewer systems or other projects. It is used to record the payment of interest and principal on long term debt resulting from DPW projects constructed by the county (or authority) for other local units of government. The county (authority) pledges its faith and credit for the bonds, but title will pass on to the local unit when the debt is retired. Revenue for this fund is supplied by units for whom the projects are constructed. Contracts are drawn between the county, or authority, and the unit(s) involved under which benefiting unit agrees to make annual payments sufficient to pay interest and principal installments. Long term "Bonds Payable" are reflected in the records of the county or authority, while the benefiting unit records a long-term contract in its records. This fund is subject to budgetary requirements of Act 2 of the Public Acts of 1968, as amended.

366--JAIL BUILDING DEBT FUND

The Jail Building Debt Fund is used to record the payment of principal and interest on long-term debt. Its assets are used for the redemption of bonds issued specifically for the building of a county or city jail.

This fund is classified as Debt Service and is used only for principal and interest payments on bonds sold to build or acquire a jail building.

This fund may be found in any county or city. This fund can be established by a resolution of the legislative body or is required by the bond ordinance. Where a separate fund is not required, we recommend that such debt retirement be included in Fund Number 301, General Debt Service Fund.

The revenue for this fund is supplied by: (a) General Fund transfer; and/or (b) a special tax levied specifically for retirement of debt.

369--BUILDING AUTHORITY DEBT FUND

The Building Authority Debt Fund is used to account for the payment of principal and interest on long-term debt. Its assets are used for the redemption of bonds issued specifically for a capital project financed by issuance of Building Authority Bonds.

This fund is classified as Debt Service and is used only for the principal and interest payments made on bonds sold by the building authority.

This fund may be found in any county or city. This fund can be established by a resolution of the legislative body or is required by the bond ordinance pursuant to 1948 PA 31, MCL 123.951 through MCL 123.965. Where a separate fund is not required, we recommend that such debt retirement be included in Fund Number 301, General Debt Service Fund. If the authority is operated as an Enterprise Fund, the debt would be recorded in Fund Number 569.

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The money for this fund is supplied by: (a) General Fund appropriation transfers; (b) a special tax levied specifically for the retirement of debt; or (c) lease payments from the local unit to the building authority.

370--MUNICIPAL BUILDING DEBT FUND

The Municipal Building Debt Fund is used to record the payment of principal and interest payments on long-term debt. Its assets are used for the redemption of bonds which are issued specifically for the building of a courthouse, city hall, village hall, or town hall.

This fund is classified as Debt Service and is used only for the principal and interest payments on bonds sold to build a municipal building. This fund can be found in any type of governmental unit. The Municipal Building Debt Fund can be established by a resolution of the legislative body or is required by the bond ordinance. Where a separate fund is not required, we recommend that such debt retirement be included in Fund Number 301, General Debt Service Fund.

The revenue for this fund is supplied by: (a) a General Fund transfer; or (b) a special tax levied specifically for the retirement of debt.

371--LIBRARY BUILDING DEBT FUND

The Library Building Debt Fund is used to record the payment of principal and interest on long-term debt. Its assets are used for the redemption of bonds issued specifically for the acquisition or construction of a local unit library building.

This fund is classified as Debt Service and is used only for the principal and interest payments made on bonds sold to purchase or construct a library building.

The Library Building Debt Fund may be found in any local unit. This fund can be established by a resolution of the legislative body or as required by the bond ordinance. Where a separate fund is not required, we recommend that such debt retirement be included in Fund Number 301, General Debt Service Fund.

The revenue for this fund is supplied by: (a) a General Fund transfer; and/or (b) a special tax levied specifically for the retirement of debt.

381--AIRPORT DEBT FUND

The Airport Debt Fund is used to record the servicing of principal and interest payments on long-term debt. These funds are to be used for the redemption of bonds which are issued specifically for the construction of a local unit owned airport. This fund is classified as Debt Service and is used only for the principal and interest payments made on bonds sold to construct an airport.

This fund can be found in any local unit of government. The Airport Debt Fund can be established by a resolution of the legislative body of the local unit or as the result of an election. Where the airport is operated as an enterprise and the payments are made from Airport revenues, the Debt Service would be recorded in Fund Number 581, Airport Fund.

The revenue for this fund is supplied by: (a) a General Fund transfer; or (b) a special tax levied specifically for the airport debt.

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390--SEWAGE DISPOSAL PLANT DEBT FUND

The Sewage Disposal Plant Debt Fund is used to account for the payment of principal and interest on long-term debt. Its assets are used for the redemption of bonds issued specifically for the building or acquisition of a sewage disposal plant. This fund is classified as Debt Service and is used only for the principal and interest payments made on bonds sold to build or acquire a sewage disposal plant.

This fund may be found in any county or city. This fund can be established by a resolution of the legislative body or as required by the bond ordinance. Where a separate fund is not required, it is recommended that such debt retirement be included in Fund Number 301, General Debt Service Fund. If the system is operated as an enterprise, Fund Number 590 should include the Debt Service.

The revenue for this fund is supplied by: (a) a General Fund transfer; or (b) a special tax levied specifically for the airport debt.

391--MEDICAL CARE FACILITY DEBT FUND

The Medical Care Facility Debt Fund is used to record the payment of principal and interest on long-term debt. Its assets are used for the redemption of bonds issued specifically for the building of a medical care facility. This fund is classified as Debt Service and is used only for the principal and interest payments made on bonds sold to build a medical care facility.

This fund is found only in county government. The Medical Care Facility Debt Fund can be established by a resolution of the legislative body or as required by the bond ordinance. Where a separate fund is not required, it is recommended that such debt retirement be included in Fund Number 301, General Debt Service Fund.

The revenue for this fund is supplied by (a) General Fund transfer (appropriation); and/or (b) a special tax levied specifically for the retirement of debt.

392--JUVENILE HOME DEBT FUND

The Juvenile Home Debt Fund is used to record the payment of principal and interest on long-term debt. Its assets are used for the redemption of bonds issued specifically for the building of a juvenile home. This fund is classified as Debt Service and is used only for the principal and interest payments made on bonds sold to build a juvenile home.

This fund is usually found in county government. The Juvenile Home Debt Fund can be established by a resolution of the legislative body or as required by the bond ordinance. Where a separate fund is not required, it is recommended that such debt retirement be included in Fund Number 301, General Debt Service Fund.

The revenue for this fund is supplied by: (a) General Fund transfer; or (b) a special tax levied specifically for the retirement of debt.

393--ECONOMIC DEVELOPMENT CORPORATION DEBT FUND

The Economic Development Corporation Debt Fund is used to record the payment of principal and interest on long-term debt for economic development bonds.

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This fund is used only for the payment of debt. Construction is handled through Capital Projects Fund Number 493 and any bond or borrowing proceeds would be credited to Capital Fund 494. Economic Development Corporation operations would be accounted for in Fund Number 244.

This fund would normally exist only in a larger county or the largest cities. In accordance with statutory provisions, the Michigan Department of Treasury requires that debt money raised for a specific purpose (project) be accounted for in a separate fund. The revenue for operation of this fund may be supplied by: (a) special voted tax; (b) restricted contributions; (c) contractual agreements; or (d) other sources for the purpose of debt retirement.

NOTE: There may be instances when this fund is maintained by a trustee under terms of a debt instrument, rather than maintained by the local unit. In such cases, the trustee will receive debt proceeds, pay construction costs and service the long-term debt.

394--DOWNTOWN DEVELOPMENT AUTHORITY DEBT FUND

The Downtown Development Authority Debt Fund is used to record the payment of principal and interest on long-term debt of downtown development authority bonds issued pursuant to 2018 PA 57, MCL 125.4213a.

This fund is used only for the payment of debt. Construction is handled through Capital Projects Fund Number 494 and any bond or borrowing proceeds would be credited to such (Capital) Fund. Downtown Development Authority operations should be accounted for in Fund Number 248.

This fund would normally exist only in a large city. In accordance with statutory provisions, the Michigan Department of Treasury requires that debt money raised for a specific purpose (project) be accounted for in a separate fund.

The revenue for the operation of this fund may be supplied by: (a) a special authority tax; (b) restricted contributions; (c) contractual agreements; (d) accrued interest and premium on bond or borrowed proceeds; (e) tax increment financing plan; and (f) other sources for the purpose of debt retirement.

395--TAX INCREMENT FINANCE AUTHORITY DEBT FUND

The Tax Increment Finance Authority (TIFA) Debt Fund is used to account for the payment of principal and interest on tax increment bonds issued by the TIFA board to finance a development project.

This fund is classified as a Debt Service Fund and is used only for the payment of principal and interest on bonds sold by the TIFA board. Tax Increment Finance Authority administrative operating costs and capital projects should be accounted for in Fund Numbers 247 and 495, respectively.

This fund may be found in any city that has established the Tax Increment Finance Authority and the Authority has issued bonds to finance a development project.

This fund must be established when bonds have been issued under the provisions of 1980 PA 450. This fund is discontinued when the debt is liquidated.

The money for this fund is derived from fees, rents, and charges from the project or development financed with the bonding proceeds or advances from the city, when applicable, in accordance with the full faith and credit pledge.

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396 to 399--DEBT SERVICE FUNDS (NOT COVERED ELSEWHERE)

These numbers are reserved for use by any local unit needing a fund which meets the prerequisites of a Debt Service Fund and where such fund is not provided for elsewhere in this manual.

851--DRAIN DEBT SERVICE FUND

The Drain Debt Service Fund is used in counties to account for the payment of principal and interest on long-term debt, the proceeds of which were used to construct, repair, and maintain county drains.

The fund must be established to record the transactions for the debt service on bonds, drain orders and Drain Code Section 434 when the original maturity is more than one year after the issue date. A subsidiary fund must be maintained for each drainage district project that has long-term debt outstanding.

The cash and investments of the Drain Debt Service Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Revised Municipal Finance Act authorizes the following categories of debt to be pooled or combined for deposit and investment purposes, but only with other debt retirement funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. A debt service fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts.

852--SPECIAL ASSESSMENT DEBT SERVICE FUND

This fund is used to account for the payment of principal and interest on long-term Special Assessment Debt other than special assessment debt issued for and serviced primarily by an Enterprise Fund. This fund may be found in any unit of government.

The cash and investments of the Special Assessment Debt Service Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Revised Municipal Finance Act authorizes the following categories of debt to be pooled or combined for deposit and investment purposes, but only with other debt retirement funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. A Debt Service Fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts.

853--STORM DRAIN DEBT FUND

The Storm Drain Debt Fund is used to record the payment of principal and interest on long-term debt resulting from a special assessment storm drain project.

This fund is classified as a Debt Service Fund (Special Assessment District) and is used only for the principal and interest payments on bonds sold to construct storm drains. This fund may be found in a city, township, or village government. This fund can be established by a resolution of the legislative body or as required by the bond ordinance.

Money for this fund is supplied by: (a) special assessment revenue; and (b) interest earned on investments. The cash and investments of the Storm Drain Debt Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Revised Municipal Finance Act authorizes the following categories of debt to be pooled or combined for deposit and investment purposes, but only with other debt retirement

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funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. A Debt Service Fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts.

859--SIDEWALK DEBT FUND

The Sidewalk Debt Fund is used to record the payment of principal and interest on long-term debt resulting from a special assessment sidewalk project.

The Sidewalk Debt Fund is classified as a Debt Service Fund (Special Assessment District) and is used only for the principal and interest payments on bonds sold to construct sidewalks.

This fund may be found in a city, township, or village government. This fund can be established by a resolution of the legislative body or as required by the bond ordinance.

Money for this fund is supplied by: (a) special assessment revenue; and (b) interest earned on investments.

The cash and investments of the Sidewalk Debt Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Revised Municipal Finance Act authorizes the following categories of debt to be pooled or combined for deposit and investment purposes, but only with other debt retirement funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. A Debt Service Fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts.

861--ROAD DEBT FUND

This fund is used to record the payment of principal and interest on long-term debt resulting from a special assessment road project.

This fund is classified as a Debt Service Fund (Special Assessment District) and is used only for the principal and interest payments on bonds sold to construct roads in a special assessment district.

This fund may be found in any local unit of government. This fund can be established by a resolution of the legislative body or as required by the bond ordinance.

Money for this fund is supplied by: (a) special assessment revenue; and (b) interest earned on investments.

The cash and investments of the Road Debt Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Revised Municipal Finance Act authorizes the following categories of debt to be pooled or combined for deposit and investment purposes, but only with other debt retirement funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. A Debt Service Fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts.

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862--STREET DEBT FUND

This fund is used to record the payment of principal and interest on long-term debt resulting from a special assessment street project.

This fund is classified as a Debt Service Fund (Special Assessment District) and is used only for the principal and interest payments on bonds sold to construct streets. This fund may be found in a city, township, or village government.

This fund can be established by a resolution of the legislative body or as required by the bond ordinance.

Money for this fund is supplied by: (a) special assessment revenue; and (b) interest earned on investments.

The cash and investments of the Street Debt Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Revised Municipal Finance Act authorizes the following categories of debt to be pooled or combined for deposit and investment purposes, but only with other debt retirement funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. A Debt Service Fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts.

870--CHAPTER 20 DRAIN DEBT SERVICE FUND

The Chapter 20 Drain Debt Service Fund is used in counties to account for the payment of principal and interest on long-term debt resulting from a Chapter 20 “intra” county drain project.

The fund is required by Chapter 20 of 1956 PA 40, MCL 280.461. A subsidiary fund must be maintained for each drainage district project that has long-term debt outstanding.

The cash and investments of the Chapter 20 Drain Debt Service Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Revised Municipal Finance Act authorizes the following categories of debt to be pooled or combined for deposit and investment purposes, but only with other debt retirement funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. A Debt Service Fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts.

880--CHAPTER 21 DRAIN DEBT SERVICE FUND

The Chapter 21 Drain Debt Service Fund is used in counties to account for the payment of principal and interest on long-term debt resulting from a Chapter 21 “inter” county drain project.

The fund is required by Chapter 21 of 1956 PA 40, MCL 280.511. A subsidiary fund must be maintained for each drainage district project that has long-term debt outstanding. The cash and investments of the Chapter 21 Drain Debt Service Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Revised Municipal Finance Act authorizes the following categories of debt to be pooled or combined for deposit and investment purposes, but only with other debt retirement funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. A Debt Service Fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts.

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891--LAKE LEVEL DEBT SERVICE FUND

The Lake Level Debt Service Fund is used in counties to account for the payment of principal and interest on long-term debt resulting from a special assessment, the proceeds of which were used to construct, repair, and maintain lake level projects.

The fund must be established to record the transactions for the Debt Service on bonds and lake level orders when the original maturity is more than one year after the issue date. The fund is permitted by 1994 PA 451, MCL 324.30701 to MCL 324.30723. A subsidiary fund must be maintained for each drainage district project that has long-term debt outstanding.

The cash and investments of the Lake Level Debt Service Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Revised Municipal Finance Act authorizes the following categories of debt to be pooled or combined for deposit and investment purposes, but only with other debt retirement funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. A Debt Service Fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts.

893--LAKE IMPROVEMENT DEBT FUND

The Lake Improvement Debt Fund is used to record the payment of principal and interest on long-term debt resulting from a special assessment lake improvement project. The Lake Improvement Debt Fund is classified as a Debt Service Fund (Special Assessment District) and is used only for the principal and interest payments on bonds sold to finance a lake improvement project.

This fund may be found in any local unit of government. This fund is permitted by 1994 PA 451, MCL 324.30901 to MCL 324.31119.

Money for the operation of this fund may be supplied by: (a) tax levy or special assessment levy; (b) appropriation (transfer in) from the General Fund of the local unit; and (c) interest on investments.

The cash and investments of the Lake Improvement Debt Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Revised Municipal Finance Act authorizes the following categories of debt to be pooled or combined for deposit and investment purposes, but only with other debt retirement funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. A Debt Service Fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts.

894--LAKE POLLUTION CONTROL DEBT FUND

The Lake Pollution Control Debt Fund is used to record the payment of principal and interest on long-term debt resulting from a special assessment lake pollution control project. This fund is classified as a Debt Service Fund (Special Assessment District) and is used only for the principal and interest payments on bonds sold to finance a lake pollution control project.

This fund may be found in any local unit of government. This fund can be established by a resolution of the legislative body or as required by the bond ordinance.

Money for the operation of the Lake Pollution Control Debt Fund is provided by: (a) special assessment levy; (b) appropriation (transfer in) from the General Fund of the local unit; and (c) interest on investments.

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The cash and investments of the Lake Pollution Control Debt Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Revised Municipal Finance Act authorizes the following categories of debt to be pooled or combined for deposit and investment purposes, but only with other debt retirement funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. A Debt Service Fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts.

Capital Project Funds are used to account for the acquisition or construction of major capital facilities by a governmental unit that is not accounted for by proprietary funds and trust funds.

Each capital project funded in whole or part by bond or note issuance must have its own separate Capital Project Fund. This can be done through the use of separate funds for each project or one fund with subsidiary accounts for each project.

GASB Codification Section S40 states:

¶115 “[A]ll transactions related to capital improvements financed by special assessments should be reported in the same manner, and on the same basis of accounting, as any other capital improvement and financing transaction.

¶ 118 “Transactions of the construction phase of the project should be reported in capital project funds or other appropriate funds. Transactions of the debt service phase should be reported in a debt service fund, if one is required ...”

Fund Numbers 801 to 850 are Capital Project Funds (Special Assessment Districts) and Fund Numbers 851 to 899 are Debt Service Funds (Special Assessment Districts). When one type of special assessment includes a number of districts, each district must be accounted for separately. This can be done through the use of separate funds for each district or one fund with subsidiary accounts for each district.

Capital Projects and Debt Service directly related to an Enterprise Fund may be accounted for in the related Enterprise Fund. When an Enterprise Fund has multiple Special Assessment Districts, subsidiary records of each district must be maintained.

The cash and investments of the Capital Project Funds are subject to the requirements of 1943 PA 20, MCL 129.91. Funds in this category may be required by bond ordinance, local unit resolution, charter, etc., to have separate cash and investment accounts.

401--CAPITAL PROJECTS FUND

This fund is used to account for the construction of capital assets funded in whole or part by long-term general obligation debt other than that payable from special assessments and debt issued for and serviced primarily by an Enterprise Fund. This fund may be found in any local unit.

The cash and investments of the Capital Projects Fund are subject to the requirements of 1943 PA 20, MCL 129.91. Funds in this category may be required by bond ordinance, local unit resolution, charter, etc., to have separate cash and investment accounts.

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402--EQUIPMENT AND REPLACEMENT FUND

The Equipment and Replacement Fund is used to record the acquisition of new equipment or the replacement of old equipment. This is a capital project fund used to record the receipts and expenditures for the acquisition of major equipment only.

This fund can be found in any local unit. The life of the fund is limited to the length of time required to acquire the specified equipment. A balance remaining after acquiring the equipment is normally transferred to the related Debt Service Fund when bonds are issued. The fund is required by the bond ordinance and/or the Michigan Department of Treasury.

Money for the operation of this fund is usually supplied by the sale of general obligation bonds, state or federal grants, a special voted tax, or other restricted contributions.

408--PARK SYSTEM CONSTRUCTION FUND

The Park System Construction Fund is used to record the construction or acquisition of a park system. This is a Capital Project Fund and is used to record the receipts and expenditures for the construction or acquisition of the park system.

This fund can be found in any local unit. The life of the fund is limited to the length of time required to construct or acquire the system. A balance remaining is normally transferred to the related Debt Service Fund when a bond issue is involved. This fund should not be used when there is a Park/Recreation Enterprise Fund Number 508.

The authorization for a park project is usually accomplished by a vote of the people. The fund is required by the bond ordinance and/or the Michigan Department of Treasury.

Money for the operation of this fund is usually supplied by the sale of general obligation bonds, state or federal grants, a special voted tax, and/or other restricted contributions.

411--HOSPITAL BUILDING FUND

The Hospital Building Fund is used to record the construction of a hospital by a local unit. This is a Capital Project Fund and is used to record the receipts and expenditures for the construction of the hospital.

This fund can be found in counties and cities. The life of this fund is limited to the length of time required for construction. A remaining balance in the fund is normally transferred to Hospital Building Debt Fund Number 311 when a bond issue is involved.

The authorization for this type of project is usually accomplished by a vote of the people. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, state and federal grants, a special voted tax, and/or restricted contributions.

412--INDUSTRIAL COMPLEX CONSTRUCTION FUND

The Industrial Complex Construction Fund is used to record the construction of an industrial complex in a county or large city. This is a Capital Project Fund and is used to record receipts and expenditures for construction of the complex.

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This fund will normally be found only in the larger metropolitan counties or cities. The life of this fund is limited to the length of time required to complete the construction. A remaining balance in the fund is normally transferred to Industrial Complex Debt Fund Number 312 when a bond issue is involved.

The authorization for such a project is usually accomplished by a vote of the people. The fund is required by the bond ordinance and/or the Michigan Department of Treasury. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, state or federal grants, a special voted tax, and/or other restricted contributions.

413--ANIMAL SHELTER CONSTRUCTION FUND

The Animal Shelter Construction Fund is used to record the construction of an animal shelter by a local unit. This is a Capital Project Fund and is used to record receipts and expenditures for construction of the shelter.

This fund may be found in counties or cities. The life of the fund is limited to the length of time required for construction. A remaining balance in the fund is then transferred to Animal Shelter Debt Fund Number 313 when a bond issue is involved.

The authorization of such a project is usually accomplished by a vote of the people. The fund is required by the bond ordinance and/or the Michigan Department of Treasury. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, state or federal grants, a special voted tax, and/or other restricted contributions.

414--MENTAL HEALTH CONSTRUCTION FUND

The Mental Health Construction Fund is used to record the construction of facilities for a mental health program. This is a Capital Project Fund and is used to record receipts and expenditures for construction of the necessary facilities.

This fund is found only in county government. The life of the fund is limited to the length of time required to complete the construction. A remaining balance in the fund is then transferred to Mental Health Debt Fund Number 314 when a bond issue is involved.

The authorization for such a project is usually accomplished by a vote of the people. The fund is required by the bond ordinance and/or the Michigan Department of Treasury. The money for the operation of this fund is usually supplied by the sale of general obligation bonds, state or federal grants, a special voted tax, and/or other restricted contributions.

415--REFUSE DISPOSAL CONSTRUCTION FUND

The Refuse Disposal Construction Fund is used to record the construction or acquisition of a refuse disposal system. This is a Capital Project Fund and is used to record the receipts and expenditures for the construction or acquisition of the system.

This fund can be found in any local unit. The life of the fund is limited to the length of time required to construct or acquire the system. A remaining balance in the fund is normally transferred to Refuse Disposal System Debt Fund Number 315 when a bond issue is involved.

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The authorization for such a project is usually accomplished by a vote of the people. The fund is required by the bond ordinance and/or the Michigan Department of Treasury. Money for the operation of this fund is usually by the sale of general obligation bonds, state or federal grants, a special voted tax, and/or other restricted contributions.

416--PARKING SYSTEM CONSTRUCTION FUND

The Parking System Construction Fund is used to record the construction or acquisition of a parking system. This is a Capital Project Fund and is used to record the receipts and expenditures for the construction or acquisition of the system.

This fund can be found in any local unit. The life of the fund is limited to the length of time required to construct or acquire the system. A remaining balance in the fund is normally transferred to Parking System Debt Fund Number 316 when a bond issued is involved.

Use Fund Number 514 for recording the construction of the system and the related debt if the parking system is to be run as an enterprise.

The authorization for such a project is usually accomplished by a vote of the people. The fund is required by the bond ordinance and/or the Michigan Department of Treasury. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, state or federal grants, a special voted tax, and/or other restricted contribution.

417--SANITARY LANDFILL CONSTRUCTION FUND

The Sanitary Landfill Construction Fund is used to record the construction or acquisition of a sanitary landfill. This is a Capital Project Fund and is used to record the receipts and expenditures for the construction or acquisition of the system.

This fund can be found in any local unit. The life of the fund is limited to the length of time required to construct or acquire the system. A remaining balance in the fund is normally transferred to Sanitary Landfill Debt Fund Number 317 when a bond issue is involved.

Use Fund Number 517 for recording the construction of the system and the related debt if the landfill is to be run as an enterprise.

The authorization for such a project is usually accomplished by a vote of the people. The fund is required by the bond ordinance and/or the Department of Treasury. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, state or federal grants, a special voted tax, and/or other restricted contributions.

445--PUBLIC IMPROVEMENT FUND

The Public Improvement Fund is used in any local unit of government to account for non-tax revenue set aside for statutory public improvements. The fund is authorized by 1943 PA 177, MCL 141.261, and is established by resolution of the governing body.

Money that may be placed in this fund is limited by statute to non-tax revenue. Once money is placed in this fund, it becomes restricted and cannot be expended or transferred for purposes other than the public improvements specified by statute.

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The cash and investments of the Public Improvement Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

All claims (expenditures) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities—1895 PA 215, MCL 87.7, MCL 88.20; Villages—1895 PA 3, MCL 65.7; Townships—Revised Statutes of 1846, MCL 41.75; Counties—1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

446--TOWNSHIP IMPROVEMENT REVOLVING FUND

The Township Improvement Revolving Fund is used in townships to account for money advanced from the General Fund in accordance with statutory provisions. The fund is authorized and named in MCL 1954 PA 188, 41.735b and is established by resolution of the township board.

The amount advanced is limited in any one year to 2 mills of taxable value of real and personal property. The fund's total balance may not exceed 5 mills of the township's taxable value.

The cash and investments of the Township Improvement Revolving Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts. All claims (expenditures) must be approved by the governing body of the township pursuant to statutory requirements of the Revised Statutes of 1846, MCL 41.75.

465--PUBLIC WORKS CONSTRUCTION FUND (FOR OTHER UNITS)

1957 PA 185 and 1939 PA 342

This Fund is used to record the construction of water systems, sewer systems or other Department of Public Works (DPW) projects by a county (authority) for other local units of government. This is a Capital Project Fund used to record receipts and expenditures for the construction of projects for other local units of government by the county (authority).

This fund is found only in county government. It is used where counties (authorities) finance the construction of DPW or 1939 PA 342 projects for other local units of government. The county (authority) pledges its faith and credit for bonds to finance the projects, but title will pass to the local unit when the debt is retired. When construction is completed, any remaining balance in the fund is transferred to Public Works Projects Debt Fund Number 365.

This fund is permitted under the provisions of 1957 PA 185, 1939 PA 342, and various other acts establishing separate authorities. The fund is required by the bond ordinances and/or the Michigan Department of Treasury when such projects are undertaken. Sub-accounts must be used where separate projects are in progress at the same time, as each must be accounted for individually. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, state or federal grants, and/or other restricted contributions.

466--JAIL BUILDING FUND

This fund is used to record the construction of a jail building. This is a capital project fund and is used to record the receipts and expenditures for the construction of a jail building.

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The fund can be found in county and city government. The life of this fund is limited to the length of time required to complete construction. A remaining balance in the fund is distributed as spelled out in the bond ordinance when a bond issue is involved.

The authorization for such a project is usually provided by a vote of the people. The fund is required by the bond resolution and/or the Michigan Department of Treasury. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, state or federal grants, a special voted tax, and/or restricted contributions.

469--BUILDING AUTHORITY CONSTRUCTION FUND

The Building Authority Construction Fund is used to record the construction of any project that a building authority can finance under 1948 PA 31. This is a Capital Project Fund and is used to record receipts and expenditures for the construction of these projects.

This fund can be found in all local units. The life of this fund is limited to the length of time required to complete the construction. Any remaining balance in the fund is normally transferred to Building Authority Debt Fund Number 369 when a bond issue is involved.

The authorization of the authority is 1948 PA 31. The fund is required by the bond ordinance and/or the Michigan Department of Treasury. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, state or federal grants, a special voted tax, and/or other restricted contributions.

470--MUNICIPAL BUILDING FUND

The Municipal Building Fund is used to record the construction of a courthouse, city hall, village hall or township hall by a local unit. This is a Capital Project Fund and is used to record the receipts from the sale of bonds and the expenditures for the construction of the new building.

This fund can be found in any type of local unit. The life of this fund is limited to the length of time required to complete the construction. Any remaining balance in the fund is normally transferred to Municipal Building Debt Fund Number 370 when a bond issue is involved.

The authorization for a project such as this is usually accomplished by a vote of the people. This fund is required by the Municipal Finance Commission when general obligation bonds are issued and/or the Michigan Department of Treasury. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, a special voted tax, or grants and restricted contributions.

471--LIBRARY BUILDING FUND

The Library Building Fund is used to record the construction of a library building. This is a Capital Project Fund and is used to record receipts and expenditures for construction of a building.

This fund may be found in any local unit. The life of the fund is limited to the length of time required to complete the construction. Any remaining balance in the fund is normally transferred to Library Building Debt Fund Number 371 when a bond issue is involved.

The authorization for such a project is usually accomplished by a vote of the people. The fund is required by the bond ordinance and/or the Michigan Department of Treasury. The money for the operation of

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this fund is usually supplied by the sale of general obligation bonds, state or federal grants, a special voted tax, and/or other restricted contributions.

472 to 480--FEDERAL GRANT CONSTRUCTION FUNDS

This group of funds is set aside for local units to use at their discretion to record the construction costs of federal construction grants. These funds are to be used when the federal grant requires separate accounting for a construction grant when it cannot be recorded in the special revenue fund category.

These funds are classified as Capital Project Funds because they are used to record construction costs. This fund can be found in any local unit that has a federal construction grant that has to be accounted for separately and is not provided elsewhere in this chart of accounts.

This fund may be established by a resolution of the governing body when a federal grant requires it. Funds for the operation of these funds come from a federal grant for construction.

481--AIRPORT FUND

The Airport Fund is used to record the construction or acquisition of an airport. This is a Capital Project Fund used to record the receipts and expenditures for the construction or acquisition of an airport.

This fund is usually found in county or city government. The life of this fund is limited to the length of time required to complete the construction. Any remaining balance in the fund is then transferred to Airport Debt Fund Number 381 when a bond issue is involved.

The construction and related debt should be recorded in Fund Number 581 if the airport is to be run as an enterprise.

The authorization for a project such as this is usually accomplished by a vote of the people. This fund is required by the Municipal Finance Commission when general obligation bonds are issued and/or the Michigan Department of Treasury. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, state and federal grants, or a special voted tax.

490--SEWAGE DISPOSAL PLANT FUND

The Sewage Disposal Plant Fund is used to record the construction of a sewage disposal plant. This is a Capital Project Fund and is used to record receipts and expenditures for the construction of the plant.

This fund may be found in any local unit. The life of the fund is limited to the length of time required to complete the construction. Any remaining balance in the fund is then transferred to Sewage Disposal Plant Debt Fund Number 390 when a bond issue is involved.

The construction and related debt should be recorded in Fund Number 590 if the plant is to be run as an enterprise.

The authorization for such a project is usually accomplished by a vote of the people. The fund is required by the bond ordinance and/or the Michigan Department of Treasury. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, a special voted tax, state or federal grants, and/or other restricted contributions.

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491--MEDICAL CARE FACILITY BUILDING FUND

The Medical Care Facility Building Fund is used to record the construction of a Medical Care Facility Building. This is a Capital Project Fund and is used to record receipts and expenditures for construction of the facility.

This fund is found only in county government. The life of the fund is limited to the length of time required to complete the construction. Any remaining balance in the fund is normally transferred to Medical Care Facility Debt Fund Number 391 when a bond issue is involved.

This fund should not be used if Enterprise Fund Number 512 is in use for a Medical Care Facility.

The authorization for such a project is usually accomplished by a vote of the people. The fund is required by the bond ordinance and/or the Michigan Department of Treasury. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, state or federal grants, a special voted tax, and/or other restricted contributions.

492--JUVENILE HOME BUILDING FUND

The Juvenile Home Building Fund is used to record the construction of a juvenile home by the local unit. This is a Capital Project Fund used to record the receipts and expenditures for the construction of a juvenile home.

This fund is usually found in a county but could be found in a city. The life of this fund is limited to the length of time required to complete the construction. Any remaining balance is normally transferred to Juvenile Home Debt Fund Number 392 when a bond issue is involved.

The authorization of a project such as this is usually accomplished by a vote of the people. This fund is required by the bond ordinance and/or the Michigan Department of Treasury. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, General Fund transfers (appropriation), or a special voted tax.

493--ECONOMIC DEVELOPMENT CORPORATION CONSTRUCTION FUND

The Economic Development Corporation Construction Fund is used to record construction of projects under the control of an Economic Development Corporation (EDC). This is a Capital Project Fund and is used to record receipts and expenditures for construction of EDC projects. Economic Development Corporation operations and debt service should be accounted for in Fund Numbers 244 and 393, respectively.

This fund will normally be found only in the larger metropolitan counties or cities. The life of this fund is limited to the length of time required to complete the construction. Any remaining balance in the fund is normally transferred to Economic Development Corporation Debt Fund Number 393 when a bond issue is involved.

The authorization for such a project is usually accomplished by a vote of the people. The fund is required by the bond ordinance and/or the Michigan Department of Treasury. Money for the operation of this fund is usually supplied by the sale of general obligation bonds, state or federal grants, a special voted tax, and/or other restricted contributions.

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494--DOWNTOWN DEVELOPMENT AUTHORITY CONSTRUCTION FUND

The Downtown Development Authority Construction Fund is used to record construction under the direction of a downtown development authority pursuant to 2018 PA 57 as a Capital Project Fund and is used to record receipts and expenditures for construction of projects of the authority. Downtown Development Authority operating costs and debt service should be accounted for in Fund Numbers 248 and 394, respectively.

This fund will normally be found only in the larger cities. The life of this fund is limited to the length of time required to do the construction. Any remaining balance in the fund is normally transferred to Downtown Development Authority Debt Fund Number 394 when a bond issue is involved. The authorization for such a project is 2018 PA 57 and the ordinance of the municipality. The local ordinance must be filed with the Secretary of State. This fund is required by the bond ordinance and/or the Michigan Department of Treasury.

Money for the operation of this fund is usually supplied by the sale of revenue bonds, state or federal grants, a special authority tax, tax increment financing plan, and/or other restricted contributions.

495--TAX INCREMENT FINANCE AUTHORITY CONSTRUCTION FUND

The Tax Increment Finance Authority (TIFA) Construction Fund is used to record the construction and improvement of projects under the control of the TIFA board.

This is a Capital Project Fund which is used to record receipts and expenditures for construction and development of the TIFA projects. Tax Increment Finance Authority administrative operating costs and debt service should be accounted for in Fund Numbers 247 and 395, respectively.

This fund will be found in those cities that have established a Tax Increment Finance Authority which has sold bonds. The authority to sell bonds and complete the project is specified in 1980 PA 450. The fund is required by the bond ordinance and/or the Michigan Department of Treasury. Money for the operation of this fund is supplied by the sale of revenue bonds, grants, and/or donations.

496 to 499--CAPITAL PROJECT FUNDS (NOT COVERED ELSEWHERE)

These numbers are reserved for use by any local unit needing a fund which meets the prerequisites of a capital project fund and where such fund is not provided for elsewhere in this manual.

801--DRAIN FUND

The Drain Fund is used in counties to account for the construction and maintenance of county drains. The Drain Fund is required by 1956 PA 40, MCL 280.1 *et seq.* Each individual drainage district must be accounted for separately within the Drain Fund. Primary sources of revenue for this fund are special assessments, at-large assessments against local governments, and bond and note proceeds.

Drain orders (less than one-year maturity) and time drain orders (over one-year maturity) are issued for the construction and maintenance of drains. Drain orders are subsequently redeemed as the special assessments and at-large assessments are collected on an annual basis. Drain order debt may be reflected in this Drain Fund. When drainage district bonds or notes and section 434 debt is entered, the Drain Debt Service Fund Number 851 must be used to accumulate the special assessments levied to retire the debt.

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The cash and investments of the Drain Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Drain Fund capital projects not funded by the issuance of debt may be included in a pooled cash and investment account.

The Revised Municipal Finance Act authorizes the following categories of debt proceeds to be pooled or combined for deposit and investment purposes, but only with other capital project funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. The Drain Fund may participate in one of these pools (or a pool consisting of the various drainage districts) if the bond ordinance does not restrict the issue to separate bank and investment accounts. Funds in this category may be required by bond ordinance, local unit resolution, charter, etc., to have separate cash and investment accounts.

The Drain Fund will record the expenditures and a balance Due to Revolving Drain Fund as bills are paid by Revolving Drain Fund Number 802.

802—REVOLVING DRAIN FUND

The Revolving Drain Fund is used in counties to account for money advanced from the county general fund for engineering, surveys, and other preliminary costs of new drains and maintenance work on established drains. The Revolving Drain Fund is reimbursed from the Drain Fund as special assessments are collected. The Revolving Drain Fund is permitted by Chapter 12 of 1956 PA 40, MCL 280.301. Each individual drainage district must be accounted for separately within the Revolving Drain Fund.

The cash and investments of the Revolving Drain Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Revolving Drain Fund may be included in a pooled cash and investment account.

803--STORM DRAIN FUND

The Storm Drain Fund is used to account for money received from the special assessing of benefited property for storm drain projects.

This fund is classified as a Capital Project Fund (Special Assessment District) because the improvements are paid for (completely or in part) by property owners in a limited geographical area who are deemed to be specifically benefited.

This fund is usually found in a city, township, or village.

This fund can be authorized by a petition signed by a certain percentage of the property owners benefited. This fund is then established by the legislative body of the local unit.

This fund can be used to account for money received from the proceeds received from the sale of bonds, money received from the special assessments, interest received from investing surplus funds, or state and federal grants.

804--REVOLVING DRAIN MAINTENANCE FUND

The Revolving Drain Maintenance Fund is used in counties to account for the interest earned from the optional pooled investment of various drainage district account balances in the 801 Drain Fund of less than \$1,000. The interest earned on these pooled investments in the 801 Drain Fund are deposited into

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the Revolving Drain Maintenance Fund. The fund is established at the option of the county drain commissioner.

Interest earned can be expended for temporary financing of necessary maintenance on intra or inter county drains. The Revolving Drain Maintenance Fund is reimbursed from the Drain Fund as special assessments are collected. The Revolving Drain Maintenance Fund is permitted by 1984 PA 80, MCL 280.282 (this references PA 40 of 1956). Each individual drainage district must be accounted for separately within the Revolving Drain Maintenance Fund.

The cash and investments of the Revolving Drain Maintenance Fund are subject to the requirements of 1943 PA 20, MCL 129.91.

805--SPECIAL ASSESSMENT CAPITAL PROJECT FUND

This fund is used to account for the construction of capital assets funded in whole or part by long-term Special Assessment Debt other than Special Assessment Debt issued for and serviced primarily by an Enterprise Fund. This fund can be found in any local unit.

The cash and investments of the Special Assessment Capital Project Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Special Assessment Capital Project Fund capital projects not funded by the issuance of debt may be included in a pooled cash and investment.

The Revised Municipal Finance Act authorizes the following categories of debt proceeds to be pooled or combined for deposit and investment purposes, but only with other capital project funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. The Special Assessment Capital Project Fund may participate in one of these pools if the bond ordinance does not restrict the issue to separate bank and investment accounts. Funds in this category may be required by bond ordinance, local unit resolution, charter, etc., to have separate cash and investment accounts.

809--SIDEWALKS CONSTRUCTION FUND

The Sidewalks Construction Fund is used to account for sidewalk projects in a Special Assessment District.

This fund is classified as a Capital Project Fund (Special Assessment District) because the improvements are paid for (completely or in part) by property owners in a limited geographical area who are deemed to be specifically benefited.

This fund is usually found in a city, township, or village.

This fund can be authorized by petition signed by a certain percentage of the property owners benefited. This fund is then established by the legislative body of the local unit.

This fund is used to account for the proceeds received from the sale of bonds and interest received from investing surplus funds for the sidewalk project. If bonds are not issued, the special assessments revenue will also be accounted for in this fund. Debt Service on bonds issued for this fund will be accounted for in Sidewalk Debt Fund Number 859.

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811--ROAD FUND

The Road Fund is used to account for special assessment proceeds used to construct roads and streets.

This fund is classified as a Capital Project Fund (Special Assessment District) because the improvements are paid for (completely or in part) by property owners who are deemed to be specifically benefited.

This fund can be found in any local unit of government. The construction of streets in cities and villages is accounted for in the Major Street Fund or Local Street Fund. In those localities, expenditures from this fund will be limited to transfers to the Major Street Fund or Local Street Fund. This fund may have more than one bank account as required by the bond ordinance(s).

This fund can be established by a petition signed by more than 50 percent of the benefited property owners.

This fund is used to account for bond proceeds, the special assessment proceeds received from the property owners and interest received from investing surplus funds. Debt Service on bonds issued for this fund will be accounted for in Road Debt Fund Number 861.

812--STREET IMPROVEMENT FUND

The Street Improvement Fund is used to account for money received from special assessments of benefited property for street improvement projects.

This fund is classified as a Capital Project Fund (Special Assessment District) because the improvements are paid for (completely or in part) by property owners in a limited geographical area who are deemed to be specifically benefited.

This fund may be found in a city, township, or village.

This fund can be authorized by a petition signed by a certain percentage of the property owners benefited. This fund is then established by the legislative body of the local unit.

This fund is used to account for the proceeds received from the sale of bonds, money received from special assessments, and interest received from investing surplus funds. Debt Service on bonds issued for this fund will be accounted for in Street Debt Fund Number 862.

820--CHAPTER 20 DRAIN FUND

The Chapter 20 Drain Fund is used in counties to account for the construction and improvements from a Chapter 20 "intra" county drain project. The fund is required by Chapter 20 of 1956 PA 40, MCL 280.461. A subsidiary fund must be established for each drainage district.

The primary sources of revenue for this fund are proceeds from the sale of bonds, special assessments against public corporations that benefited, special assessments against the Michigan Department of Transportation for state highways benefited, and special assessments against the county road commission for county roads benefited and advances from the public corporation.

The cash and investments of the Chapter 20 Drain Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Chapter 20 Drain Fund capital projects not funded by the issuance of debt may be included in a pooled cash and investment account. The Revised Municipal Finance Act authorizes the

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following categories of debt proceeds to be pooled or combined for deposit and investment purposes, but only with other capital project funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. The Chapter 20 Drain Fund may participate in one of these pools (or a pool consisting of the various Chapter 20 drainage districts) if the bond ordinance does not restrict the issue to separate bank and investment accounts. Funds in this category may be required by bond ordinance, local unit resolution, charter, etc., to have separate cash and investment accounts.

830--CHAPTER 21 DRAIN FUND

The Chapter 21 Drain Fund is used in counties to account for the construction and improvements from a Chapter 21 “inter” county drain project. The fund is required by Chapter 21 of PA 40 of 1956, MCL 280.511. A subsidiary fund must be maintained for each drainage district.

The primary sources of revenue for this fund are proceeds from the sale of bonds, special assessments against public corporations that benefited, special assessments against the Michigan Department of Transportation for state highways that benefited, special assessments against the county road commission for county roads that benefited, special assessments against individual properties benefited, and advances from the public corporation.

The cash and investments of the Chapter 21 Drain Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Chapter 21 Drain Fund capital projects not funded by the issuance of debt may be included in a pooled cash and investment account.

The Revised Municipal Finance Act authorizes the following categories of debt proceeds to be pooled or combined for deposit and investment purposes, but only with other capital project funds created for the same category of debt: 1) voted bonds; 2) non-voted bonds, other than special assessment bonds; and 3) special assessment bonds. The Chapter 21 Drain Fund may participate in one of these pools (or a pool consisting of the various Chapter 21 drainage districts) if the bond ordinance does not restrict the issue to separate bank and investment accounts. Funds in this category may be required by bond ordinance, local unit resolution, charter, etc., to have separate cash and investment accounts.

841--LAKE LEVEL FUND

The Lake Level Fund is used in counties to account for the construction and maintenance of lake level projects. The Lake Level Fund is permitted by 1994 PA 451, MCL 324.30701 to MCL 324.30723. Each individual lake level district must be accounted for separately within the Lake Level Fund.

The primary sources of revenue for this fund are special assessments, and bond and note proceeds.

The Lake Level Debt Service Fund Number 891 must be used to accumulate the special assessments levied to retire the debt when lake level district bonds or notes are issued.

The cash and investments of the Lake Level Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Lake Level Fund capital projects not funded by the issuance of debt may be included in a pooled cash and investment account.

The Lake Level Fund will record the expenditures and a balance Due to the Lake Level Revolving Fund as bills are paid by Lake Level Revolving Fund Number 842.

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The Lake Level Revolving Fund is used in counties to account for money advanced from the county General fund for engineering, surveys, and other preliminary costs of new lake level projects and maintenance work on established lake level districts. The Lake Level Revolving Fund is reimbursed from the Lake Level Fund as special assessments are collected. The Lake Level Revolving Fund is permitted by 1994 PA 451, MCL 324.30701 to MCL 324.30723. Each individual lake level district must be accounted for separately within the Lake Level Revolving Fund.

The cash and investments of the Lake Level Revolving Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Lake Level Revolving Fund may be included in a pooled cash and investment account.

843--LAKE IMPROVEMENT FUND

The Lake Improvement Fund is used to account for funds used in financing lake improvements. This fund is classified as a Capital Project Fund (Special Assessment District) because the improvements are paid (completely or in part) by property owners who are deemed to be specifically benefited whether through a tax levy or special assessments. This fund can be found in any local unit of government.

This fund may be authorized by:

- A petition of two-thirds (2/3) of the freeholders owning land abutting the lake.
- A motion of any local government body where the whole or any part of the inland lake is situated.
- Creation of a special assessment district.

This fund is permitted by 1994 PA 451, MCL 324.30901 to MCL 324.30929. The Michigan Department of Treasury requires this fund based upon the Government Finance Officers Association (GFOA) philosophy of segregating revenue for special assessment districts and statutory compliance.

Money for the operation of this fund may be supplied by a tax levy or special assessments, appropriation (transfer in) from the General Fund of the local unit, at-large-assessment on the local unit, federal and/or state grants, gifts, bequests, etc., and bond proceeds. Fund Number 220 should be used to account for expenditures incurred to maintain the improvements.

844--LAKE POLLUTION CONTROL FUND

The Lake Pollution Control Fund is used to record the financing of lake pollution control projects. This fund is classified as a Capital Project Fund (Special Assessment District) because the lake pollution control project would be financed by property owners who are deemed to be specifically benefited. This fund can be found in any local unit of government. This fund may be authorized by a vote of the people creating a special assessment district.

The Michigan Department of Treasury requires this fund in accordance with generally accepted accounting principles established by the Governmental Accounting Standards Board. Money for the operation of this fund is supplied by a special assessment levy, transfers in (an appropriation) from the General Fund of the local unit, federal or state grants and bond proceeds. Fund Number 224 should be used to account for maintenance expenditures after the capital project is completed. A separate fund should not be established if the entire expenditure is financed by a General Fund transfer in (appropriation).

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Proprietary Funds

Enterprise Funds

Enterprise funds may be used to report any activity for which a fee is charged to external users for goods or services. Governments should apply each of these criteria in the context of the activity's principal revenue source. Activities are required to be reported as enterprise funds if any one of the following criteria is met:

- 1) The activity is financed by debt that is secured solely by a pledge of the net revenues from fees and charges of the activity. Debt that is secured by a pledge of net revenues from fees and charges and the full faith and credit of a related primary government or component unit--even if that government is not expected to make any payments--is not payable solely from fees and charges of the activity (Some debt may be secured, in part, by a portion of its own proceeds but should be considered as payable "solely" from the revenues of the activity).
- 2) Laws or regulations require that the activity's costs of providing services, including capital costs (such as depreciation or debt service), be recovered with fees and charges, rather than with taxes or similar revenues.
- 3) The pricing policies of the activity establish fees and charges designed to recover its costs, including capital costs (such as depreciation or debt service) (GASB Statement 34, Paragraph 67).

The cash and investments of enterprise funds are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment account.

All claims (expenses) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

505--AMBULANCE FUND

The Ambulance Fund is used in counties, cities, villages, and townships to account for ambulance services primarily intended to be self-sustaining through user charges.

Special Revenue Fund Number 210 should be used if the Ambulance Fund is not intended to be self-sustaining through user charges. Activity Number 651, Ambulance, should be used if the ambulance service is funded with General Fund revenue.

Capital assets and depreciation are recorded within this fund.

The cash and investments of the Ambulance Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment account.

All claims (expenditures) must be approved by the city or village council or the county or township board pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

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508--PARK/RECREATION FUND

The Park/Recreation Fund is used to account for the operation and maintenance of a park or recreation program whose primary source of revenue is user charges. However, a tax levy for the purpose of providing park or recreation activities authorized by a vote of the electors of a local unit of government may also be a secondary source of the fund's revenue.

The fund is used in counties to account for the operation of parks under the authority of a park board made up of the road commissioners or a ten-member board created pursuant to 1965 PA 261, MCL 46.351 *et seq.* Other statutory authority for counties is 1905 PA 157, MCL 123.61.

Special Revenue Fund Number 208 should be used if the park is not intended to be self-sustaining through user charges. General Fund Activity Number 751, Parks and Recreation Department should be used if the park/recreation service is funded with General Fund revenue.

The cash and investments of the Park/Recreation Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment account.

All claims (expenditures) must be approved by the city or village council or county or township board pursuant to: Counties--1851 PA 156, MCL 46.11(g); County Park board--1965 PA 261, MCL 46.351 *et seq.*; Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75.

511--HOSPITAL OPERATING FUND

This fund is used to record the operation of a local unit owned hospital. It is a self-balancing fund which does business with individuals or firms outside the local unit and is, therefore, classified as an Enterprise Fund.

This fund can be found in county and city government. It is used to record the revenues and expenditures for the operation of a hospital owned by the local unit. The hospital will use the chart of accounts prescribed by the American Hospital Association.

Capital assets and depreciation are recorded within this fund.

The establishment and authorization of this fund is normally accomplished by a vote of the people or a resolution of the legislative body.

Money for the operation of this fund is supplied by a loan or a grant from the General Fund or revenues from services rendered. The cash and investments of this fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment account.

512--MEDICAL CARE FACILITY FUND

The Medical Care Facility Fund is used to account for funds raised for operating and maintaining a long-term care facility. The fund is usually found in counties and is used to account for the operation of a medical care facility under the authority of the county family independence agency board 1939 PA 280, MCL 400.45.

The cash and investments of the Medical Care Facility Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment account.

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Capital assets and depreciation are recorded within this fund.

All claims (expenses) must be approved by the county family independence agency board.

514--PARKING SYSTEM FUND

The Parking System Fund is used to record the operation of a parking lot. It is a self-supporting fund which does business with individuals and firms outside the local unit departments and is, therefore, classified as an Enterprise Fund.

This fund is usually found in cities and counties. It is used to record the revenues and expenses for the operation of a local unit owned parking lot. Capital assets and depreciation are recorded within this fund.

The establishment and authorization of this operation is accomplished by a resolution of the local unit legislative body or by special vote of the people. If some of the capital assets of this fund are purchased from the sale of revenue bonds, the proceeds and the bond retirement are also accounted for in this fund. If revenue bonds have been sold, the accounting for them is prescribed by the Revenue Bond Act of 1933.

The Parking Meter/System Fund Number 231 (Special Revenue Fund) should be used if the only revenue received is from parking meters.

Money for the operation of this fund is supplied by a loan or advance from the General Fund, proceeds from the sale of revenue bonds (used for the purchase of capital assets) and parking fees.

The cash and investments of the Parking System Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment unless restricted by bond ordinance or authorizing resolution.

All claims (expenditures) must be approved by the city or village council or the county or township board pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

515--DISPOSAL SYSTEM FUND

This fund is used to record the operations of a sewage disposal system. It is a self-supporting fund which does business with individuals and firms outside the local unit departments and is, therefore, classified as an Enterprise Fund.

The Disposal System Fund can be found in any local unit of government. It is used to record the revenues and expenses for the operation of solid waste or a sanitary waste system. Capital assets and depreciation are recorded within this fund.

The establishment and the authorization of this operation are accomplished by a resolution of the local unit's legislative body. If some of the capital assets of this fund are purchased from the sale of revenue bonds, the proceeds and the bond retirement are accounted for in this fund. If bonds have been sold, the accounting is dictated by the Revenue Bond Act of 1933.

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Activity Number 527, Sewage Disposal, in the General Fund, should be used if the disposal system is totally financed by the General Fund.

Money for the operation of this fund is supplied by the sale of revenue bonds for the purchase of capital assets and revenues from charges for services.

The cash and investments of the Disposal System Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment unless restricted by a bond ordinance or authorizing resolution.

All claims (expenditures) must be approved by the city or village council or the county or township board pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

516--DELINQUENT TAX REVOLVING FUND

The Delinquent Tax Revolving Fund may be established by resolution by the county board of commissioners pursuant to 1893 PA 206, MCL 211.87b. This fund must be segregated into separate funds or accounts for each year's delinquent taxes. Each year's separate fund or accounts continue in existence until the delinquent taxes for that tax year have been collected and the county board of commissioners transfers any surplus to the county's general fund in accordance with MCL 211.87b(7). The county retains all delinquent taxes, and interest and penalties collected to offset its tax collection costs.

The surplus earned, after any borrowing is paid off, is under the control of the board of commissioners. The surplus may be accumulated to reduce or avoid future borrowings or expended for other purposes as authorized by the board of commissioners.

The Delinquent Tax Revolving Fund accounts for money either advanced by a county's General Fund or by the issuance of general obligation limited tax notes to purchase other taxing units and various county funds delinquent taxes (see Numbered Letter 2001-5). The cash and investments of the Delinquent Tax Revolving Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment unless restricted by a bond ordinance or authorizing resolution.

1893 PA 206, MCL 211.87b(2) states, "If a delinquent tax revolving fund is established, the county treasurer shall be the agent for the county, on behalf of the taxing units in the county and this state, and, without further action by the county board of commissioners, may enter into contracts with other municipalities, this state, or private persons, firms, or corporations in connection with any transaction relating to the fund or any borrowing made by the county pursuant to section 87c or 87d, including all services necessary to complete this borrowing."

517--SANITARY LANDFILL FUND

The Sanitary Landfill Fund is used in counties, cities, villages, and townships to account for the operation of a sanitary landfill whose primary source of revenue is user charges. However, a tax levy for the purpose of operating a sanitary landfill authorized by a vote of the electors of the local unit of government may be a secondary source of revenue.

The Michigan Department of Treasury requires this fund in those units that levy a special voted tax for a sanitary landfill.

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Special Revenue Fund Number 227, Sanitary Landfill Fund, should be used if the sanitary landfill's primary source of revenue is a voted tax levy. General Fund Activity Number 526, Sanitary Landfill, should be used if the sanitary landfill is funded by General Fund revenue.

The cash and investments of the Sanitary Landfill Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment account.

All claims (expenditures) must be approved by the city or village council, or county or township board pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75.

535--HOUSING COMMISSION FUND

The Housing Commission Fund can be used in counties, cities, villages, and townships to account for the operations of a housing commission established under the authority of 1933 PA 18 (Ex. Session), MCL 125.651 to MCL 125.709b. This is a self-supporting fund which does business with individuals or firms outside the local unit departments and is, therefore, classified as an Enterprise Fund.

This fund is usually found in city government. It is used to record the revenues and expenses for the operation of a housing commission. Capital assets are recorded within the fund and depreciation will be charged. The establishment and authorization of this operation is accomplished by ordinance of the legislative body, MCL 125.653.

Money for the operation of this fund is supplied by rents from the people living in the housing, an advance from the General Fund, and grants.

The cash and investments of the Housing Commission Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment account. All claims (expenses) must be approved by the city or village council, or county or township board pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75.

536--LAND BANK FUND

This fund may be used to record activities for land bank operations. Special revenue fund 283 is also available for land bank activities. Local governments may choose to use either fund for the activities or consult their auditors.

541--FORESTRY FUND

The Forestry Fund is used to record the operations of the forestry department as authorized by 1994 PA 451, MCL 324.50701 to MCL 324.50707. This is a self-supporting fund which does business with individuals or firms outside the local unit departments and is, therefore, classified as an Enterprise Fund.

This fund is usually found in county government. It is used to record the revenues and expenses for the operation of a forestry department. Capital assets and depreciation are recorded within this fund. The establishment and authorization of this operation is accomplished by a resolution of the legislative body.

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Money for the operation of this fund is supplied by a loan or advance from the General Fund and revenues received from the sale of timber.

All claims (expenditures) must be approved by the county board pursuant to: Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

549--BUILDING DEPARTMENT FUND

The Building Department Fund may be used in any county, city, village, or township to account for revenues earmarked for building construction code enforcement activities. The fund is required by Section 22(1) of 1972 PA 230, MCL 125.1522(1).

The Building Department Fund is used to account for the receipts and expenses related to the cost of operating the enforcing agency under the provisions of the State Construction Code Act. Typically, the enforcing agency is the building department or planning department issuing building permits, examining plans and specifications, inspecting construction before issuing building permits, and issuing certificates of use and occupancy. The use of fees generated under this act can only be used for the operation of the enforcing agency, construction board of appeals, or both, and shall not be used for any other purpose.

Special Revenue Fund Number 249, Building Department Fund, may be used if the building department is not intended to be self-sustaining through user charges or General Fund Activity Number 371, Building Inspection Department, may be used if the building department is funded by General Fund revenue. Use of an activity in the General Fund requires specific financial statement note disclosures that demonstrate that the activity is not self-sustaining.

The cash and investments of the Building Department Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment account.

All claims (expenses) must be approved by the legislative board or council pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75.

551--MARKETS FUND

The Markets Fund is used to record the operation of a “farmers market.” This is a self-supporting fund which does business with individuals and firms outside the local unit departments and therefore is classified as an Enterprise Fund.

This fund is usually found in city government as authorized by 1895 PA 215, MCL 99.1. However, a village, as authorized by 1895 PA 3, MCL 67.41, may also maintain a farmer’s market. It is used to record the revenues and expenses for the operation of a farmer’s market. Capital assets and depreciation are recorded within this fund. The establishment and authorization for this operation is accomplished by a resolution of the legislative body.

Money for the operation of this fund is supplied by a loan or advance from the General Fund and revenues from the rent charged the users of the market. The money which accumulates in the unrestricted net position account of this fund may or may not be transferred to another fund depending on whether or not it is provided for by the legislative body.

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All claims (expenses) must be approved by the legislative board or council pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7.

561--FAIR BOARD FUND

The Fair Board Fund is used to record the operations of a county fair as authorized by 1929 PA 11, MCL 46.151 to MCL 46.153. This is a self-supporting fund which does business with individuals and firms outside the local unit departments and is, therefore, classified as an enterprise fund.

This fund is usually found in county government. It is used to record the revenues and expenses for the operation of a county fair. Capital assets and depreciation are recorded within this fund. The establishment and authorization of this operation is accomplished by a resolution of the legislative body.

Money for the operation of this fund is supplied by a loan or transfer from the General Fund and revenues from rents, admission charges, and parking fees. The money which accumulates in the unrestricted net position account of this fund may or may not be transferred to another fund depending on whether or not it is provided for by the legislative body.

All claims (expenditures) must be approved by the county board pursuant to: Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

565--PUBLIC WORKS OPERATION AND MAINTENANCE FUND (1957 PA 185 AND 1939 PA 342 FOR OTHER LOCAL UNITS)

The Public Works Operation and Maintenance Fund may be found in a county and is used to account for the activity of water and sewer systems when the county acts as the financing source for a local unit of government. The fund is used to record the operations of the water systems, sewer systems, or other DPW projects by a county (authority) for other units of government.

A county issues debt in its name (generally under 1957 PA 185 or 1939 PA 342; sometimes Chapter 20 of 1956 PA 40, MCL 280.461, is used for sanitary sewage systems). There is a lease with the local unit whereby the local unit agrees to lease the asset over the life of the bonds (often the lease payment is equal to Debt Service requirements of the county bonds). Common variations of this scenario are as follows:

- 1) The county issues the debt and turns the proceeds over to the local unit. The local unit constructs and operates the system.
- 2) The county issues the debt and constructs the system. The local unit(s) operates the system.
- 3) The county issues the debt, constructs the system, and operates it on behalf of the local unit.

Specific financial reporting guidelines are contained in Numbered Letter 2002-08.

The cash and investments of the fund are subject to the requirements of 1943 PA 20, MCL 129.91.

All claims (expenditures) must be approved by the county board pursuant to: Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

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569--BUILDING AUTHORITY FUND

The Building Authority Fund is used in counties, cities, and urban townships to account for the operation of public facilities by a building authority board established under the authority of 1948 PA 31, MCL 123.951 to MCL 123.965.

The Michigan Department of Treasury requires this fund in those units that establish a building authority to operate public facilities.

If a building authority is established to issue debt and construct facilities, without continuing operation, the appropriate Debt Service and Capital Project Funds must be established rather than this fund.

The cash and investments of the Building Authority Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment account. All claims (expenses) must be approved by the legislative board or council pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63; Townships--Revised Statutes of 1846, MCL 41.75.

581--AIRPORT FUND

The Airport Fund is used to record the operations of an airport. This is a self-supporting fund which does business with individuals and firms outside the local unit departments and is, therefore, classified as an Enterprise Fund.

This fund is found in county and city government. It is used to record the revenues and expenses for the operation of an airport owned by the local unit or an airport authority. Capital assets and depreciation are recorded within this fund.

The establishment and authorization of the fund is accomplished by resolution of the legislative body. Bond proceeds and the bond retirement are also accounted for in this fund if some of the capital assets of this fund are purchased from the sale of revenue bonds. The accounting for the issuance of revenue bonds is provided for by the Revenue Bond Act of 1933.

Money for the operation of this fund is supplied by the sale of bonds for the purchase of capital assets, appropriation from the General Fund, hangar rentals, landing use fees, and other rentals or service charges.

All claims (expenses) must be approved by the legislative board or council pursuant to: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

582--ELECTRICAL UTILITY FUND

The Electrical Utility Fund is used to record the operations of an electrical utility. This is a self-supporting fund which does business with individuals and firms outside the local unit departments and is, therefore, classified as an Enterprise Fund.

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This fund can be found in any local unit of government. It is used to record the revenues and expenses for the operation of an electrical utility owned by the local unit. Capital assets and depreciation are recorded within this fund.

The establishment and authorization of this operation is accomplished by a resolution of the governing body or a special vote of the people. Bond proceeds and the bond retirement are also accounted for in this fund if some of the capital assets of this fund are purchased from the sale of revenue bonds. The accounting for the issuance of revenue bonds is provided for by the Revenue Bond Act of 1933.

Money for the operation of this fund is supplied by the sale of revenue bonds for the purchase of capital assets and charges to customers for services.

All claims (expenses) must be approved by the legislative board or council pursuant to:

Cities--1895 PA 215, MCL 87.7, MCL 88.20; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75.

583--GAS UTILITY FUND

The Gas Utility Fund is used to record the operations of a gas utility. This is a self-supporting fund which does business with individuals and firms outside the local unit departments and is, therefore, classified as an Enterprise Fund.

The Gas Utility Fund can be found in any local unit of government. It is used to record the revenues and expenses for the operation of a gas utility. Capital assets and depreciation are recorded within this fund.

The establishment and authorization of this operation is accomplished by a resolution of the legislative body or by a special vote of the people. Bond proceeds and the bond retirement are also accounted for in this fund if some of the capital assets of this fund are purchased from the sale of revenue bonds. The accounting for the issuance of revenue bonds is provided for by the Revenue Bond Act of 1933.

Money for the operation of this fund is supplied by bond proceeds from the sale of revenue bonds for the purchase of capital assets and revenue from customers for services rendered.

All claims (expenses) must be approved by the legislative board or council pursuant to:

Cities--1895 PA 215, MCL 87.7, MCL 88.20; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75.

584--GOLF COURSE FUND

This fund is used to record the operations of a golf course. It is a self-supporting fund which does business with individuals and firms outside the local unit departments and is therefore classified as an Enterprise Fund.

This fund is usually found in city or county government. It is used to record the revenues and expenses for the operation of a golf course owned by the local unit. Capital assets and depreciation are recorded within this fund.

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The establishment and authorization of this operation is accomplished by a resolution of the legislative body or by a special vote of the people. Bond proceeds and the bond retirement are also accounted for in this fund if some of the capital assets of this fund are purchased from the sale of revenue bonds. The accounting for the issuance of revenue bonds is provided for by the Revenue Bond Act of 1933.

Money for the operation of this fund is supplied by a loan or advance from the General Fund, bond proceeds from the sale of revenue bonds for the purchase of capital assets and revenue from green fees, sales, or other service charges.

All claims (expenses) must be approved by the legislative board or council pursuant to:
Cities--1895 PA 215, MCL 87.7, MCL 88.20; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

586--PORT AUTHORITY FUND

This fund is used to record the operations of a port authority. It is a self-supporting fund which does business with individuals and firms outside the local unit departments and is, therefore, classified as an Enterprise Fund.

This fund is usually found in county or city government as authorized by 1978 PA 639, MCL 120.101 to MCL 120.130. It is used to record the revenues and expenses for the operation of a local unit owned port authority. Capital assets and depreciation are recorded within this fund.

The establishment and authorization of this operation is accomplished by a resolution of the legislative body or by a special vote of the people. Bond proceeds and the bond retirement are also accounted for in this fund if some of the capital assets of this fund are purchased from the sale of revenue bonds. The accounting for the issuance of revenue bonds is provided for by the Revenue Bond Act of 1933.

Money for the operation of this fund is supplied by a loan or advance from the General Fund, charges for services or bond proceeds.

All claims (expenses) must be approved by the legislative board or council pursuant to:
Cities--1895 PA 215, MCL 87.7, MCL 88.20; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

587--SWIMMING POOL FUND

The Swimming Pool Fund is used to record the operations of a swimming pool. This is a self-supporting fund which does business with individuals and firms outside the local unit departments and is, therefore, classified as an Enterprise Fund.

This fund is usually found in city government. It is used to record the revenues and expenses for the operation of a local unit owned swimming pool. Capital assets and depreciation are recorded within this fund.

A swimming pool may be an activity of the General Fund or Park/Recreation Fund (between Activity Numbers 751 and 849) if the swimming pool is totally financed by the General Fund or Park/Recreation Fund.

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The establishment and authorization of this operation is accomplished by a resolution of the legislative body or by a special vote of the people. Bond proceeds and the bond retirement are also accounted for in this fund if some of the capital assets of this fund are purchased from the sale of revenue bonds. The accounting for the issuance of revenue bonds is provided for by the Revenue Bond Act of 1933.

Money for the operation of this fund is supplied by a loan or appropriation from the General Fund, fees from the use of the pool or bond proceeds.

All claims (expenses) must be approved by the legislative board or council pursuant to:
Cities--1895 PA 215, MCL 87.7, MCL 88.20.

588--TRANSPORTATION SYSTEM FUND

The Transportation System Fund may be used in counties, cities, villages and townships to account for the operation of a public transportation system established under the authority of 1963 PA 55, providing for mass transportation system authorities, MCL 124.351 to MCL 124.359; 1967 PA 204, the Metropolitan Transportation Authority's Act of 1967, MCL 124.401 to MCL 124.426; 1986 PA 196, the Public Transportation Authority Act, MCL 124.451 to MCL 124.479; 1951 PA 51, MCL 247.651 to MCL 247.675, and federal statutes.

Capital assets and depreciation are recorded within this fund.

The cash and investments of the Transportation Fund, except as established pursuant to MCL 124.451, are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts. The cash and investments of a Transportation System Fund established pursuant to MCL 124.451 are subject to the requirements in MCL 124.476.

All claims (expenses) must be approved by the legislative board or council pursuant to:
Cities--1895 PA 215, MCL 87.7, MCL 88.20; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75.

589--AUTO FERRY FUND

The Auto Ferry Fund is used to record the operations of an auto ferry service. This is a self-supporting fund which does business with individuals or firms outside the local unit departments and is, therefore, classified as an enterprise fund.

This Auto Ferry Fund is usually found in city government as authorized by 1895 PA 215, MCL 91.1, or county government as authorized by 1943 PA 150, MCL 255.51. It is used to record the revenues and expenses for the operation of an auto ferry service. This fund will have the capital assets and depreciation recorded within the fund.

The establishment and authorization of this operation is accomplished by a resolution of the legislative body or by a special vote of the people. Bond proceeds and the bond retirement are also accounted for in this fund if some of the capital assets of this fund are purchased from the sale of revenue bonds. The accounting for the issuance of revenue bonds is provided for by the Revenue Bond Act of 1933.

Money for the operation of this fund is supplied by a loan or advance from the General Fund, fares for the use of the boats, or bond proceeds.

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All claims (expenses) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

590--SEWER FUND

This fund can be found in any local unit. It is used to record the revenues and expenses for the operation of a sewer system. Capital assets and depreciation are recorded within this fund. The fund is established by a resolution of the local unit's governing body or by a vote of the people and subsequent resolution of the local unit's governing body. The accounting procedures for the issuance of revenue bonds are prescribed by the Revenue Bond Act of 1933.

The cash and investments of the Sewer Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment unless restricted by the bond ordinance or authorizing resolution.

All claims (expenses) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

591--WATER FUND

This fund can be found in any local unit. It is used to record the revenues and expenses for the operation of a water system. Capital assets and depreciation are recorded within this fund.

The fund is established by a resolution of the local unit's governing body or by a vote of the people and subsequent resolution of the local unit's governing body. The accounting procedures for the issuance of revenue bonds are prescribed by the Revenue Bond Act of 1933.

The cash and investments of the Water Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment account unless restricted by the bond ordinance or authorizing resolution.

All claims (expenses) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

592--WATER AND SEWER FUND

This fund can be found in any local unit. It is used to record the revenues and expenses for the operation of a combined water and sewer system. Capital assets and depreciation are recorded within this fund.

The fund is established by a resolution of the local unit's governing body or by a vote of the people and subsequent resolution of the local unit's governing body. The accounting procedures for the issuance of revenue bonds are prescribed by the Revenue Bond Act of 1933.

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The cash and investments of the Water and Sewer Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment account unless restricted by the bond ordinance or authorizing resolution.

All claims (expenses) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

593--CIVIC AUDITORIUM FUND

This fund is used to record the operations of the civic auditorium. It is a self-supporting fund which does business with individuals and firms outside the local unit departments and is, therefore, classified as an Enterprise Fund.

This fund is usually found in city government. It is used to record the revenues and expenses for the operation of a civic auditorium. Capital assets and depreciation are recorded within this fund.

The establishment and authorization of this operation is accomplished by a resolution of the legislative body or by a special vote of the people. Bond proceeds and the bond retirement are also accounted for in this fund if some of the capital assets of this fund are purchased from the sale of revenue bonds. The accounting for the issuance of revenue bonds is provided for by the Revenue Bond Act of 1933.

Money for the operation of the fund is supplied by a loan or appropriation from the General Fund, bond proceeds from the sale of bonds (used for capital assets), and rent received for the use of the facilities.

594--MARINA FUND

This fund is used to record the operations of a local unit owned marina. It is a self-supporting fund which does business with individuals and firms outside the local unit departments and is, therefore, classified as an Enterprise Fund.

This fund is usually found in city government. It is used to record the revenues and expenses for the operation of a marina. Capital assets and depreciation are recorded within this fund.

The establishment and authorization of this operation is accomplished by a resolution of the legislative body or by a special vote of the people. Bond proceeds and the bond retirement are also accounted for in this fund if some of the capital assets of this fund are purchased from the sale of revenue bonds. The accounting for the issuance of revenue bonds is provided for by the Revenue Bond Act of 1933.

Money for the operation of this fund is supplied by a loan or appropriation from the General Fund, bond proceeds from the sale of revenue bonds (used for capital assets), and revenues from use of these facilities.

595--COMMISSARY/CONCESSION FUND

The Commissary/Concession Fund is established by resolution of the governing body of a county, city, village, or township. The establishing resolution should provide guidelines for the operation of the commissary, types of inventories to be maintained, markup, sales tax license, and authorized use of the profits of the commissary.

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This fund can be found in any local unit. It is used to record the revenues and expenses for the operation of a concession stand (perhaps in a park) or a commissary (in a jail or hospital). Capital assets and depreciation are recorded within this fund.

The cash and investments of the Commissary/Concession Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in a pooled cash and investment account.

All claims (expenses) must be approved by the governing body of the local unit of government pursuant to statutory requirements as follows: Cities--1895 PA 215, MCL 87.7, MCL 88.20; Villages--1895 PA 3, MCL 65.7; Townships--Revised Statutes of 1846, MCL 41.75; Counties--1851 PA 156, MCL 46.11(g); 1909 PA 58, MCL 46.71; 1943 PA 182, MCL 46.53; and 1923 PA 301, MCL 46.63.

596-- RUBBISH COLLECTION FUND

This fund is used to record the operations of a rubbish collection system. It is a self-supporting fund which does business with individuals and firms outside the local unit and is, therefore, classified as an enterprise fund.

This fund can be found in any local unit. It is used to record the revenues and expenses for the operations of a rubbish collection system. Capital assets and depreciation are recorded within this fund.

Use Special Revenue Fund Number 226, Rubbish Collection Fund, if there is a special millage to fund the rubbish collection operation. Use Activity Number 528, Rubbish Collection/Disposal, if the rubbish collection operation is funded by the General Fund.

The establishment and authorization of this operation is accomplished by a resolution of the legislative body or by a special vote of the people. Bond proceeds and the bond retirement are also accounted for in this fund if some of the capital assets of this fund are purchased from the sale of revenue bonds. The accounting for the issuance of revenue bonds is provided for by the Revenue Bond Act of 1933.

Money for operation of this fund is supplied by a loan or appropriation from the General Fund, bond proceeds from the sale of revenue bonds and revenues from services rendered.

Internal Service Funds

Internal Service Funds may be used to report any activity that provides goods or services to other funds, departments, agencies of the primary government and its component units or to other governments on a cost reimbursement basis. Internal Service Funds should be used only if the reporting government is the predominant participant in the activity. Otherwise, the activity should be reported as an Enterprise Fund (GASB Statement 34, Paragraph 68).

Internal Service Funds may not be used to hide deficits in other funds. Any costs accounted for in Internal Service Funds must be charged to other funds on a current basis. If the net position of an Internal Service Fund is negative, this indicates that the other funds have not reimbursed the costs. The only exception to this is self-insurance funds, where GASB 10, Paragraph 66b allows charging using an actuarial method (or historical data) that is adjusted over a reasonable period of time so that revenue and expenses are approximately equal.

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631--BUILDING AND GROUNDS MAINTENANCE FUND

The Building and Grounds Maintenance Fund is used to record the operations of a building and grounds maintenance department. This fund is classified as an Internal Service Fund because it provides materials and services to other departments of the same local unit of government.

This fund is usually found in county or city government. This fund has its capital assets and depreciation recorded within the fund. This fund is established by a resolution of the legislative body of the local unit.

Money for the operation of this fund is supplied by an advance from the General Fund or other operating funds and reimbursements from the operating funds for services received.

634--CENTRAL HEATING FUND

The Central Heating Fund is used to record the operations of a central heating department. This fund is classified as an Internal Service Fund because it provides materials and services to other departments of the same local unit of government.

This fund can be found in any local unit of government. The capital assets and depreciation are recorded within the fund. This fund is established by a resolution of the legislative body of the local unit.

Money for the operation of this fund is supplied by an advance from the General Fund or other operating funds and reimbursements from other fund for services received.

639--DRAIN EQUIPMENT REVOLVING FUND

The Drain Equipment Revolving Fund is used in counties to account for money advanced from the county General Fund for the purchase of drain equipment for maintenance work on drains. The Drain Equipment Revolving Fund is reimbursed by the Drain Fund as special assessments are collected. The Drain Equipment Revolving Fund is permitted by Chapter 12 of 1956 PA 40, MCL 280.301.

The cash and investments of the Drain Equipment Revolving Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Drain Equipment Revolving Fund may be included in a pooled cash and investment account.

640--DPW EQUIPMENT REVOLVING FUND

The DPW Equipment Revolving Fund is used to account for money advanced from the county or city General Fund for the purchase of equipment for maintenance work on public works projects. The DPW Equipment Revolving Fund is reimbursed from the Public Works Funds as those funds are billed.

The cash and investments of the DPW Equipment Revolving Fund are subject to the requirements of 1943 PA 20, MCL 129.91. The DPW Equipment Revolving Fund may be included in a pooled cash and investment account.

641--DPW REVOLVING FUND

The DPW Revolving Fund may be found in a county and is used to account for money used to pay for preliminary work on DPW projects which benefit other units of government such as townships, cities,

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and villages. The fund is required by Michigan Department of Treasury where the county advances money for the preliminary work on DPW projects covered by 1939 PA 342 and 1957 PA 185.

Money for the operation of the fund is supplied by the following:

- An advance from the General Fund.
- Reimbursement from bond proceeds.
- Reimbursements received from the other local units for benefits received and reimbursement from the applicable fund for construction of the specific DPW project.

A subsidiary ledger must be maintained to account for each individual DPW project.

The cash and investments of the DPW Revolving Fund are subject to the requirements of 1943 PA 20, MCL 129.91.

661--MOTOR POOL FUND

The Motor Pool Fund is used to record the operations of a motor vehicle pool. This fund is classified as an Internal Service Fund because it provides materials and services to other departments of the same local unit of government.

This fund can be found in any local unit. Capital assets and depreciation are recorded within this fund. This fund has special advantages for cities and villages because the Major and Local Street Funds can be charged rent for the time the equipment is used for street work. This fund can be established by a resolution of the legislative body of the local unit.

Money for the operation of this fund is supplied by an advance from the General Fund and reimbursements from other funds for services rendered.

662--POLICE VEHICLE AND EQUIPMENT POOL FUND

The Police Vehicle and Equipment Pool Fund is used to record the operations of a police vehicle and equipment pool. The units may (if they wish) combine these vehicles with the other equipment of the unit and account for them in Fund Number 661, Motor Pool Fund.

This fund can be found in any local unit.

This fund is classified as an Internal Service Fund because it performs services for other departments of the local unit. This fund can be found in most types of government. Capital assets and depreciation are recorded within this fund. This fund can be established by a resolution of the legislative body of the local unit.

Money for the operation of this fund is supplied by an advance from the General Fund and revenues from other funds of the local unit (rent charges).

663--FIRE VEHICLE AND EQUIPMENT POOL FUND

The Fire Vehicle and Equipment Fund is used to record the operations and maintenance of a fire vehicle and equipment pool. The local units may, if they wish, combine these vehicles with the other equipment of the local unit and account for them in Fund Number 661, Motor Pool Fund.

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This fund can be found in any local unit.

This fund is classified as an Internal Service Fund because it provides materials and services to other departments of the same local unit of government. Capital assets and depreciation are recorded within this fund. This fund can be established by a resolution of the legislative body of the local unit.

Money for the operation of this fund is supplied by an advance from the General Fund and revenues from other funds (rent charges).

664--OFFICE EQUIPMENT POOL FUND

The Office Equipment Pool Fund is used to record the operations of an office equipment pool.

This fund can be found in any local unit.

This fund is classified as an Internal Service Fund because it provides materials and services to other departments of the same local unit of government. Capital assets and depreciation are recorded within this fund. This fund can be established by a resolution of the legislative body of the local unit.

Money for the operation of this fund is supplied by an advance from the General Fund and revenues from other funds (rent charges).

665--HEAVY EQUIPMENT POOL FUND

The Heavy Equipment Pool Fund is used to record the operations of a heavy equipment pool.

This fund is classified as an Internal Service Fund because it provides material and services to other departments of the same local unit of government. This fund is usually found in a city or village government but can be found in other local units. Capital assets and depreciation are recorded within this fund. This fund can be established by a resolution of the legislative body of the local unit.

Money for the operation of this fund is supplied by an advance from the General Fund and reimbursements from other funds.

671--UTILITIES REVOLVING FUND

The Utilities Revolving Fund is used to record the operations of a facility which provides various utility services to departments of the local unit.

This fund is classified as an Internal Service Fund because its function is to service other departments within the same local unit.

This fund is usually found in city or village government but can be found in other local units. Capital assets and depreciation are recorded within this fund. This fund can be established by a resolution of the legislative body of the local unit.

Money for the operation of this fund is supplied by an advance from the General Fund and reimbursements from other funds.

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672--ELECTRICAL UTILITY FUND

The Electrical Utility Fund is used to record the operations of an electrical utility which services only the departments of the local unit.

This fund is classified as an Internal Service Fund because it provides materials and services to other departments of the same local unit of government.

This fund can be found in any unit of government. Capital assets and depreciation are recorded within this fund. This fund can be established by a resolution of the legislative body of the local unit.

Money for the operation of this fund is supplied by an advance from the General Fund and reimbursements from other funds.

673--GAS UTILITY FUND

The Gas Utility Fund is used to record the operations of a gas utility which services only the departments of the local unit.

This fund is classified as an Internal Service Fund because it provides materials and services to other departments of the same local unit of government.

This fund can be found in any unit of government. Capital assets and depreciation are recorded within this fund. This fund can be established by a resolution of the legislative body of the local unit.

Money for the operation of this fund is supplied by an advance from the General Fund and reimbursements from other funds.

674--WATER UTILITY FUND

The Water Utility Fund is used to record the operations of a water utility which services only the departments of the local unit.

This fund is classified as an Internal Service Fund because it provides materials and services to other departments of the same local unit of government.

This fund can be found in any unit of government. Capital assets and depreciation are recorded within this fund. This fund can be established by a resolution of the legislative body of the local unit. Money for the operation of this fund is supplied by an advance from the General Fund and reimbursements from other funds.

677--SELF-INSURANCE FUND

The Self Insurance Fund is used by a local unit which adopts a self-insurance program.

This fund is classified as an Internal Service Fund because its function is to provide insurance coverage to departments of funds within the same unit of government.

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This fund can be found in any local unit which is permitted by statute, charter, ordinance, etc., to provide its own insurance protection. It is financed by appropriation transfers or contributions from other funds. Any losses normally recovered through insurance claims are paid from this fund.

This fund is established by a resolution of the governing body. Units should make a thorough study before adopting a self-insurance program. Money for the operation of this fund is supplied by appropriation transfers or contributions from the various funds involved in the self-insurance program. Losses, damages, etc., are then paid from this fund.

Fiduciary Funds

The fiduciary fund category includes the following (see GASB Statement No. 84, paragraphs 15, 16, 17, and 18):

1. Pension (and other employee benefit) trust funds,
2. Investment trust funds,
3. Private-purpose trust funds, and
4. Custodial funds.

“The three types of trust funds are distinguished from custodial funds by the existence of a trust agreement or equivalent arrangement that has certain characteristics. Financial statements of fiduciary funds should be reported using the economic resources measurement focus and the accrual basis of accounting. ... Required financial statements for fiduciary funds are the statement of fiduciary net position and the statement of changes in fiduciary net position. Fiduciary fund financial statements should include information about all fiduciary funds of the primary government, including fiduciary component units.” – GASB Codification 1300.102c.

Custodial Fund Type

Custodial Funds are used to report fiduciary activities that are not required to be reported in pension (and other employee benefit) trust funds, investment trust funds, or private-purpose trust funds.

701--GENERAL CUSTODIAL FUND

The General Custodial Fund (formerly the “General Agency Fund”) is found in any local unit of government. It is used to account for resources held by the local unit in a purely custodial capacity. Money in this fund is from current tax collections (except townships), delinquent tax collections, fee collections for other units of government, and other money held in a purely custodial capacity. The cash and investments of the General Custodial Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investments account.

703--CURRENT TAX COLLECTION FUND

The Current Tax Collection Fund is found in any local unit of government that collects taxes and/or special assessments for other local units. It is used to account for resources held by the local unit in a purely custodial capacity. Money in this fund is from current tax and special assessment collections. Timely distribution to the appropriate fund and local unit must be made in accordance with Section 43 of the General Property Tax Act, 1893 PA 206, MCL 211.43.

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The cash and investments of the Current Tax Collection fund are subject to the requirements of 1943 PA 20, MCL 129.91. The Michigan Department of Treasury requires separate cash and investment accounts for the Current Tax Collection Fund.

Investment earnings follow the principal (amount of taxes for each unit) unless the tax collecting unit has other agreements with the tax levying units.

704--IMPREST PAYROLL FUND (Ending balances of this fund must be folded into the General fund. This fund must not be reported in the audited financial statements.)

The Imprest Payroll Fund may be found in any local unit of government to account for the payroll paid to employees. It is used to account for the payroll of the local unit after reimbursement from the benefited funds of the local unit. The payroll deductions usually accumulate in this fund until paid to the appropriate fund or other creditor of the unit. It is used to account for resources held by the local unit in a purely custodial capacity. The Imprest Payroll Fund has no revenue or expenditure accounts and is composed only of balance sheet accounts.

The cash and investments of the Imprest Payroll fund are subject to the requirements of 1943 PA 20, MCL 129.91. This fund has its own depository and should have a balance only as required by the financial institution to maintain an open account.

710--DISTRICT (MUNICIPAL) COURT CUSTODIAL FUND

The District (Municipal) Court Custodial Fund may be found in any unit of government that acts as the local funding unit for a district or municipal court. The fund may be established by resolution of the legislative body of the local unit at the request of the court.

The fund is used to account for bond and other trust money held by a district or municipal court. Fees and fines collected on behalf of and remitted to other units of government are accounted for in this fund. Bond and restitution are determined by the court which represents administrative control; accordingly, these would be recorded in the General fund of the court. The Michigan State Court Administrative Office's 'Court Administration Reference Guide' authorizes a bank account to be established only when the account is necessary. This bank account is designated for the proper receipt and disbursement of certain revenues and funds that cannot be deposited and more efficiently administered directly through the funding unit. The Michigan Court Administration's Reference Guide authorizes four bank account types for courts: Trust Account, Depository Account, Reimbursement Account, and Operational Account. Although the court may maintain the bank accounts, the local funding unit treasurer has the statutory responsibility for the trust accounts. The court must provide the local funding unit treasurer monthly bank account reconciliations on a timely basis. This reconciliation includes maintaining a detailed ledger by the court of all trust items that reconciles in total to the reconciled bank account balance.

The cash and investments of the District (Municipal) Court Custodial Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investments account.

711--PROBATE COURT CUSTODIAL FUND

The Probate Court Custodial Fund is found in county government. The fund may be established by resolution of the county board of commissioners at the request of the court.

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The fund is used to account for bond and other trust money held by a probate court. Fees and fines collected on behalf of and remitted to other units of government are accounted for in this fund. Bond and restitution are determined by the court which represents administrative control; accordingly, these would be recorded in the General fund of the court. The Michigan State Court Administrative Office's 'Court Administration Reference Guide' authorizes a bank account to be established only when the account is necessary. This bank account is designated for the proper receipt and disbursement of certain revenues and funds that cannot be deposited and more efficiently administered directly through the funding unit. The Michigan Court Administration's Reference Guide authorizes four bank account types for courts: Trust Account, Depository Account, Reimbursement Account, and Operational Account.

Although the court may maintain the bank accounts, the local funding unit treasurer has the statutory responsibility for the trust accounts. The court must provide the local funding unit treasurer monthly bank account reconciliations on a timely basis. This reconciliation includes maintaining a detailed ledger by the court of all trust items that reconciles in total to the reconciled bank account balance.

The cash and investments of the Probate Court Custodial Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investments account.

712--TRIAL COURT CUSTODIAL FUND

The Trial Court Custodial Fund may be found in any unit of government that acts as the local funding unit for a demonstration project (consolidated) trial court. The fund may be established by resolution of the legislative body of the local unit at the request of the court.

The fund is used to account for fees and fines collected on behalf of and remitted to other units of government. Bond and restitution are determined by the court which represents administrative control; accordingly, these would be recorded in the General fund of the court. The Michigan State Court Administrative Office's 'Court Administration Reference Guide' authorizes a bank account in the name of the court to be established only when the account is necessary. This bank account is designated for the proper receipt and disbursement of certain revenues and funds that cannot be deposited and more efficiently administered directly through the funding unit. The Michigan Court Administration's Reference Guide authorizes four bank account types for courts: Trust Account, Depository Account, Reimbursement Account, and Operational Account.

Although the court may maintain the bank accounts, the local funding unit treasurer has the statutory responsibility for the trust accounts. The court must provide the local funding unit treasurer monthly bank account reconciliations on a timely basis. This reconciliation includes maintaining a detailed ledger by the court of all trust items that reconciles in total to the reconciled bank account balance.

The cash and investments of the Trial Court Custodial Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investments.

714--INMATES' CUSTODIAL FUND

The Inmates' Custodial Fund may be found in counties that have a jail facility. This fund is used to account for money belonging to inmates lodged at the jail. The accounting for funds belonging to prisoners lodged at the county jail is the responsibility of the county sheriff. Such moneys must be deposited with the county treasurer. The sheriff is responsible for the individual inmate accounts and for authorizing payments of these moneys by the county treasurer or from the Imprest Inmate Trust bank account and subsequent replenishment of the Imprest accounts.

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As inmates are admitted to jail, their personal funds are placed in this custodial fund. Friends and relatives may also make deposits for the benefit of an individual inmate. Money may be withdrawn only for the benefit of the particular inmate. Each withdrawal must be properly authorized. Written procedures must be established for the handling of these funds to safeguard the inmate's money held in trust. This fund must have its own depository bank account that is reconciled monthly. Individual inmate accounts must be maintained and reconciled to the total of the depository bank account. The cash and investments of the Inmates' Custodial Fund are subject to the requirements of 1943 PA 20, MCL 129.91.

721--LIBRARY PENAL FINE FUND

The Library Penal Fine Fund is found in counties and is required by 1964 PA 59, MCL 397.32. It is used to accumulate money collected by courts for fines imposed for state law violations. The accumulated fines must be apportioned annually by the county treasurer among the public libraries and county library in the county in accordance with the directions of the state board for libraries before August 1 of each year.

The cash and investments of the Library Penal Fine Fund are subject to the requirements of 1943 PA 20, MCL 129.91, and may be included in pooled cash and investment accounts.

Pension and other employee benefit trust funds should be used to report resources that are required to be held in trust for the members and beneficiaries of defined benefit pension plans, defined contribution plans, other postemployment benefit plans or other employee benefit plans. (GASB Statement 34, Paragraph 70).

Pension Trust Funds

Pension or OPEB plans that are administered through trusts that meet the definition of paragraph 3 of Statement No. 67 or paragraph 3 of Statement 74. Resources are held in a trust and contributions are irrevocable and protected from creditors.

726--EMPLOYEES 457 DEFERRED COMPENSATION FUND

The Employees 457 Deferred Compensation Fund may be found in any unit of government that has fiduciary responsibility for a single employer Employees 457 Deferred Compensation Plan.

A Section 457 Plan should not be reported in a government's financial statements if a fiduciary relationship does not exist. However, a financial statement note is required in Michigan to disclose the relationship between the deferred compensation plan and the governmental unit.

The cash and investments of the Employees 457 Deferred Compensation Fund are subject to the requirements of the plan document.

727--401K DEFERRED COMPENSATION FUND

The 401K Deferred Compensation Fund can be found in any local unit which established a 401K Deferred Compensation Plan prior to the effective date established by the Tax Reform Act of 1986.

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This fund is only used for 401K plans in which employees contribute. The 401K Retirement System Fund Number 733 should be used when both employees and the employer contribute to the fund.

Administration of the investments of this fund may be done directly by the local unit or by contract with an insurance company, bank trust department, or other financial organization authorized to do business in Michigan.

731--RETIREMENT SYSTEM FUND

The Retirement System Fund may be found in any local unit of government that administers an employees' retirement system. The fund is established in accordance with:

<u>Unit/Organization</u>	<u>MCL Reference</u>
Charter County	45.514(1)(e)
City - by Charter or Ordinance	117.4i and 117.4j
City Library--Over 250,000 Population	38.701
Combined Retirement Systems	38.691
County	46.12a
County Hospital	331.154a
Townships--Refers to County Section 46.12a	41.110b
Villages	Constitution, article 9, § 24

Each retirement system must be accounted for in a separate Retirement System Fund.

The money in this fund is obtained from employer contributions, employee contributions, and investment earnings and/or a special tax levy. The cash and investments of the Retirement System Fund are subject to the requirements of the Public Employee Retirement System Investment Act, 1965 PA 314, MCL 38.1132 to MCL 38.1140m.

732--POLICE AND FIRE RETIREMENT SYSTEM FUND

The Police and Fire Retirement System Fund may be found in any local unit of government that administers a police and fire employees' retirement system, most commonly in urban cities. The fund is established under the provisions of 1937 PA 345, MCL 38.551 to MCL 38.562. Each police and fire retirement system must be accounted for in a separate Police and Fire Retirement System Fund.

The cash and investments of the Police and Fire Retirement System Fund are subject to the requirements of the Public Employee Retirement System Investment Act, 1965 PA 314, MCL 38.1132 to MCL 38.1140m.

733--401K RETIREMENT SYSTEM FUND

The 401K Retirement System Fund may be found in any local unit of government that administers an employees' 401K retirement system in which only the employer contributes, or both the employer and employees contribute. Fund Number 727, 401k Deferred Compensation Fund, should be used if only the employees contribute. Only those local units which had established a 401K Retirement Plan prior to the effective date established in the Tax Reform Act of 1986 may have this fund. The fund is established in accordance with:

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<u>Unit/Organization</u>	<u>MCL Reference</u>
Charter County	45.514(1)(e)
City - by Charter or Ordinance	117.4i and 117.4j
City Library--Over 250,000 Population	38.701
Combined Retirement Systems	38.691
County	46.12a
County Hospital	331.154a
Townships - Refers to County Section 46.12a	41.110b
Villages	Constitution, article 9, § 24

Each retirement system must be accounted for in a separate Retirement System Fund.

The money in this fund is obtained from employer contributions, employee contributions and investment earnings.

Administration of the investments may be done by the local unit or by contract with an insurance company or bank trust department.

736--PUBLIC EMPLOYEE HEALTH CARE FUND

The Public Employee Healthcare Fund may be found in any unit of government and is for the accumulation and investment of funds to provide for the funding of healthcare benefits to retired employees of the local unit and their beneficiaries. The fund is authorized by 1999 PA 149, MCL 38.1211 to MCL 38.1216.

MCL 38.1213 states in part:

The legislative body of a public corporation may adopt a resolution establishing a public employee health care fund for the purpose of accumulating funds to provide for the funding of health care benefits to retirees and beneficiaries of the retirees of the public corporation...The resolution shall include all of the following:

- a) The designation of a person or persons who shall act as the fund's investment fiduciary.
- b) A restriction of withdrawals from the fund solely for the payment of health care benefits on behalf of qualified persons and the payment of the expenses of administration of the fund.
- c) The designation of who is a qualified person for purposes of payment of health care benefits from the fund.
- d) A determination of whether the fund will be established on an actuarial basis.

MCL 38.1214 states in part:

An investment fiduciary shall invest the assets of the fund in accordance with an investment policy adopted by the governing body of a public corporation and that complies with section 13 of the public employee retirement system investment act, 1965 PA 314, MCL 38.1133...The public corporation may invest the fund's assets in the investment instruments and subject to the investment limitations governing the investment of assets of public employee retirement systems under the public employee retirement systems investment act, 1965 PA 314, MCL 38.1132 to 38.1140.

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MCL 38.1215 states:

The legislative body of a public corporation may, by resolution, allow a trust to invest the assets of the trust in accordance with the public employee retirement system investment act, 1965 PA 314, MCL 38.1132 to 38.1140. The resolution requires:

- a) A statement of the authority under which the trust is established.
- b) Approval to invest the assets of the trust in accordance with the public employee retirement system investment act, 1965 PA 314, MCL 38.1132 to 38.1140.

The Act requires as stated in MCL 38.1216:

The investment fiduciary shall have an actuarial review of the fund or trust prepared at least every 5 years with assets valued on a market related basis. The investment fiduciary shall prepare and issue a summary annual report to the legislative body of the public corporation that established the fund or trust.

Fund Number 737, Other Postemployment Benefits (OPEB) Fund, should be used for other postemployment benefits under GASB Statement 75.

737--OTHER POSTEMPLOYMENT BENEFITS (OPEB) FUND

The Other Postemployment Benefits Fund may be found in any unit of government that has chosen to establish a single employer plan (or a multiple employer plan if the governmental unit performs the accounting and fiduciary duties of the fund) to fund its liability for retirement benefits under GASB Statement 75.

The Public Employee Healthcare Fund Number 736 should be used if the local unit of government has elected to establish a retiree healthcare plan in accordance with 1999 PA 149, MCL 38.1211 to MCL 38.1216. The Michigan Department of Treasury recommends that government units establish a separate fund for each individual OPEB plan it has in effect.

The Michigan Department of Treasury requires the authorized fiduciary or trust as the case may be, to invest the assets of the fund in accordance with an investment policy adopted by the governing body and in compliance with the Public Employee Retirement System Investment Act, 1965 PA 314, MCL 38.1132 to MCL 38.1140m.

Investment trust funds should be used to report the external portion of investment pools reported by the sponsoring government, as required by GASB Statement 31, Paragraph 18 (GASB Statement 34, Paragraph 71).

751--LOCAL UNIT INVESTMENT POOL TRUST FUND (Investment Trust Fund)

A Local Unit Investment Pool Trust Fund may only be found in counties. A county may contract with the local units within that county to accept money from those local units for management, investment, and reinvestment by the county treasurer. The treasurer of the participating county may pool that money with money deposited by other local units under this act in a local government investment pool for purposes of management, investment, and reinvestment.

The cash and investments of the Local Unit Investment Pool Trust Fund are subject to the requirements of 1943 PA 20, MCL 129.91.

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Private-Purpose Trust Funds

Private Purpose Trust Funds are used to report all fiduciary activities that (a) are not required to be reported in pension (and other employee benefit) trust funds or investment trust funds and (b) are held in a trust that the government itself is not the beneficiary, provides benefits in accordance to the benefit terms, and is legally protected from the creditors of the government.

756 to 779, 783 to 799--OPEN FOR PRIVATE PURPOSE TRUST FUNDS

Private-purpose trust funds should be used to report all other trust arrangements under which principal and income benefit individuals, private organizations, or other governments.

Year-End Governmental Full Accrual

Governmental Full Accrual Funds are provided for the purpose of facilitating record keeping relating to the difference between governmental fund modified accrual and government-wide accrual reporting. Their use is not mandatory but is recommended for the purpose stated. Other means of accumulating the required information, such as spreadsheets that become a permanent part of the accounting records, are acceptable.

900 to 975--GOVERNMENTAL FULL ACCRUAL

These funds are provided for the purpose of facilitating record keeping relating to the difference between governmental fund modified accrual and government-wide accrual reporting. These funds are used only for financial reporting purposes. 900 to 949 are for assets and 950-975 are for long-term obligations.

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Activities

100--General Government Function (Control Activity Number)

The general government function is comprised of Activity Numbers 101 through 128 and 171 through 274 (129 through 170 are no longer used). This group of Activity Numbers is charged with expenditures made by the legislative body, chief executive officer, and other administrative staff charged with general administration of the local unit of government. Possible organization units may include legislative, chief executive, financial and tax, and other government. The balance of 100 should at all times equal the total balance of Activity Number 101 through 128 and 171 through 274.

101 through 128 - Legislative

The legislative organization unit is comprised of Activity Numbers 101 through 128. These Activity Numbers are charged with expenditures of a governing body in the performance of its primary duties and subsidiary activities. Miscellaneous expenditures that the legislative body may authorize but that do not apply directly to the legislative body should not be charged to a legislative activity number (e.g., the cost of an indirect cost allocation plan).

101 - Governing Body (County Board of Commissioners, City Council, Township Trustee, Village Council)

This Activity Number is found in the General Fund of all local units of government. Direct expenditures incurred by or directly applicable to members themselves or by a committee of the governing body, or administrative support for such members, are included within this Activity Number, including salaries, travel costs, fringe benefits, memberships, and subscriptions, etc.

102 - Legislative Committee

This Activity Number is found in the General Fund. It reflects expenditures incurred by committees of the governing body.

These Activity Numbers are for optional use by any unit desiring to budget and report separately for various legislative activities. This would include expenditures of a Charter Commission or Charter Committee.

129 through 170 - No Longer Used

Prior versions of the Chart of Accounts (2002 and prior) used Activity Numbers 129 through 170 as an option to report judicial activities. In an attempt to bring uniformity in the reporting of the cost of activities, this Chart of Accounts has removed that option.

171 through 190 - Chief Executive

The chief executive organization unit is comprised of Activity Numbers 171 through 190. This group of Activity Numbers provides accounts for recording all executive related expenditures within the unit of government.

171 - Chief Executive (Mayor, President, Supervisor)

This Activity Number is found in the General Fund of cities, villages, and townships. It reflects such expenditures as salaries, travel, office supplies, equipment, etc., incurred by the chief executive in performing this activity including administrative support. Municipalities with a strong-mayor form of government would charge the expenditures of the mayor's office to this Activity Number.

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172 - Administrator, Manager, Superintendent, Controller

This Activity Number is found in the General Fund and is mandatory for units having such an officer.

191 through 260 - Financial and Tax Administration

The financial and tax administration organization unit is comprised of Activity Numbers 191 through 260. This group of Activity Numbers provides accounts for recording all financial and tax administrative related expenditures within the unit of government.

191 - Accounting Department

This Activity Number is found in the General Fund of local units of government. Its use is mandatory for units having such an activity. It reflects the salaries, office supplies, travel, equipment, equipment maintenance, and other expenditures necessary for operation of such department.

212 - Budget Department/Director

This Activity Number is found in the General Fund of local units of government. Its use is mandatory for units having this department or director. It reflects salaries, travel, office supplies, equipment, etc., necessary to operate this department.

215 - Clerk

This Activity Number is found in the General Fund of all local units of government. Its use is mandatory. It reflects expenditures such as salaries, travel, office supplies, equipment, etc., necessary for office operation. This Activity Number may also be used to separate revenue earned by the clerk's office from other General Fund revenue.

223 - Internal Audit, External Audit, Board of Auditors

This Activity Number may be found in the General Fund of a local unit of government. Its use is mandatory for any unit having an internal audit or board of auditors' department or staff. It reflects such expenditures as salaries, travel, supplies, equipment, etc., necessary for the operation of the office. The cost of external audits may be charged to this Activity Number or the Legislative Activity Number depending upon the governmental structure.

228 - Information Technology

Any local unit with such a department may use this Activity Number. The Activity Number may be found in the General Fund or a corresponding Enterprise Fund or Internal Service Fund. Its use is mandatory in the Internal Service Fund and Enterprise Fund. Its use is optional in the General Fund. It may be used to reflect both expenses and revenues in the operation of the information technology department.

233 - Purchasing

This Activity Number is found in the General Fund of local units of government. Its use is mandatory for units having a purchasing department or officer. It reflects such expenditures as salaries, travel, supplies, equipment, etc., necessary for the purchasing operation.

243 - Property Description Department

This Activity Number is found in the General Fund of a local unit of government. Its use is mandatory for any unit having a separate department or office for tax roll preparation, property descriptions, or other property tax services. It reflects such expenditures as salaries, travel, office supplies, tax roll supplies, equipment, etc., necessary to operate the department. This Activity Number may also reflect revenues for services rendered to other units or other departments.

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245 - County Survey and Remonumentation

This Activity Number is found in the General Fund of counties. It is used to record expenditures related to duties performed in accordance with requirements of 1990 PA 345, State Survey and Remonumentation Act, MCL 54.261 to MCL 54.279. It reflects such expenditures as salaries, travel, supplies, equipment, professional consultants, etc.

247 - Board of Review

This Activity Number is found in the General Fund of a city, village, or township. Its use is mandatory. It reflects salaries, travel, supplies, and other expenditures of the statutory board of review.

253 - Treasurer

This Activity Number is found in the General Fund of all local units of government. Its use is mandatory. It reflects such expenditures as salaries, travel, supplies, equipment, etc., necessary for the office operation. This Activity Number may also be used to separate revenue earned by the treasurer's office from other General Fund revenue.

254 – Delinquent tax property sales

All revenue and expenditures after the property tax foreclosure process goes into activity 254 within the delinquent tax revolving fund. The act states the foreclosing governmental unit must deposit the proceeds from the sale of tax delinquent property into a "restricted account" created for each year a property sale is held. The restricted accounts should be established within the Delinquent Property Tax Revolving Fund based on the year of the sale. This activity (Activity # 254--Delinquent Tax Property Sales) is used to record the sale proceeds and the authorized expenditures of the proceeds. When the forfeited property is sold, the proceeds from the sale should be recorded in the Delinquent Property Tax Revolving Fund under revenue account number 642 "Charge for Services-Sales."

257 - Assessor/Equalization Department

The Assessor Activity Number is found in the General Fund of cities and townships and in some villages. Its use is mandatory for units having such a department or officer as well as those units who contract this activity to another entity. It reflects such expenditures as salary, travel, supplies, etc., necessary to perform the required duties. The Equalization Activity Number is found in the General Fund of county government. Its use is mandatory. It reflects such expenses as salaries, travel, supplies, equalization studies, equipment, etc., necessary to perform the function of property tax equalization within the county.

261 through 274 - Other General Government

The other general government organization unit is comprised of Activity Numbers 261 through 274. This group of Activity Numbers provides accounts for recording all other general government related expenditures within the unit of government.

262 - Elections

This Activity Number is found in the General Fund of all local units of government. Its use is mandatory. Units may reflect all election expenditures within this single activity. Examples of expenditures incurred are printing of ballots, board of canvasser expenditures, postage, travel, election workers, recount expenditures, etc. Those desiring to budget separately for certain election activities may use open Activity Numbers 263 through 264.

265 - Building and Grounds

This Activity Number is found in the General Fund of all local units of government. Its use is mandatory. It reflects such expenditures as building maintenance, grounds maintenance, janitor service, fuel, utilities, etc., for a county courthouse, city, village, or township hall, or other municipal office building.

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266 - Attorney/Corporation Counsel

This Activity Number is found in the General Fund of certain counties, cities, villages, and townships. Included are the costs of the attorney or attorneys who render legal advice to the governing body or administrative agencies of the government. Activities may include drafting laws, ordinances, or administrative regulations for the local government and its constituent agencies and serving as counsel in lawsuits to which the government is a party (Also see Activity Number 296 for prosecuting attorney).

269 - Civil Service/Merit System

This Activity Number is found in the General Fund of certain large local units of government. Its use is mandatory for units adopting a civil service or merit system employment system. It reflects such expenditures as salaries, travel, supplies, consultants, equipment, etc., necessary to operate this office.

270 - Human Resources (Personnel) Department

This Activity Number is found in the General Fund of local units of government. Its use is mandatory for units having such a department or office. It reflects such expenditures as salaries, travel, supplies, equipment, etc., necessary to operate this office.

273 - Building Authority

This Activity Number is found in the General Fund of local units of government and/or in the records maintained by a statutory building authority. Its use is mandatory for each building authority and by each unit making payments to such an authority. It reflects rental or lease payments made by a local unit to the authority. At the authority, it reflects administrative and operating expenditures, debt payments, and other applicable expenditures. It may also reflect revenue, such as rental or lease income, interest earned, etc.

274 - Retirement Board/Voluntary Employee Beneficiaries Associations (VEBA) Board/Department

This Activity Number is found in the General Fund and Retirement Fund of local units of government. Its use is mandatory for units having their own retirement systems and VEBA. It reflects administrative expenses of a retirement system and benefits paid to retirees. The Activity Number also reflects contributions by employees and employers, interest earned on investments and other retirement system revenues.

275 - Judicial Function (Control Activity Number)

The judicial function is comprised of Activity Numbers 276 through 299. This group of Activity Numbers is charged with all court related expenditures within a local unit of government. Organization units may include trial court, circuit court, district court, and friend of the court. The balance of 275 should at all times equal the total balance of Activity Number 276 through 299.

281 - Trial Court

This Activity Number is found in the General Fund and may be found in any unit of government that acts as the local funding unit for a demonstration project (consolidated) trial court. Additional information related to the accounting for trial courts is in Numbered Letter 1998-5, on the Michigan Department of Treasury's Web site at: [Numbered Letter 1998-5](#).

283 -Circuit Court

This Activity Number is found in the General Fund of a county. Its use is mandatory. This Activity Number reflects revenue such as court filing fees, court costs, appeal fees, etc., and incurs expenditures such as supplemental salary of the circuit judge, other court salaries, and the supplies, and equipment necessary for court operation.

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286 - District/Municipal Court

This Activity Number is found in the General Fund of counties, certain cities, and certain townships which are designated by statute as control units of district courts. (A few cities still have municipal courts.) Use of this Activity Number is mandatory for those units that have such a court. This Activity Number reflects revenue such as filing fees, civil fees, court costs, etc., and incurs expenditures such as salaries, supplies and equipment necessary for court operation.

289 - Friend of the Court

This Activity Number is found in the General Fund or Friend of the Court Fund or both funds of a county. Its use is mandatory. This Activity Number reflects revenue such as support fees, and incurs expenditures such as salaries, supplies, and equipment necessary to its operation.

290 - Friend of the Court-Cooperative Reimbursement

This Activity Number is found in either the General Fund or the Friend of the Court fund or both funds of a county. It is used to record the expenditures related to the Friend of the Court Cooperative Reimbursement Program.

292 - Law Library

This Activity Number is found both in the General Fund and Law Library Fund of a county. Its use is mandatory. It may be used in the Law Library Fund to record penal fine revenues and is charged with the purchase of law books and other publications for the law library. (The circuit judge approves purchases).

294 - Probate Court

This Activity Number is found in the General Fund of a county. Its use is mandatory. This Activity Number earns statutory revenue for estate cases, adoptions, and other probate matters. It is charged with expenditures for the operation of the probate court, such as salaries, travel, office supplies, equipment, equipment maintenance, etc.

295 - Probation

This Activity Number is normally found in the General Fund of a county or a city. Its use is mandatory for units having a probation officer (Department). This Activity Number reflects revenue such as oversight fees, court costs, etc., and is charged with expenditures for the operation of the probation office or department.

296 - Prosecuting Attorney

This Activity Number is found in the General Fund of county government. Its use is mandatory based on the revised statutes of 1846 MCL 49.153 to MCL 49.160. It reflects such expenditures as salaries, travel, supplies, consultants, equipment, etc., necessary for this officer to perform his/her statutory duties as prosecuting attorney for the county.

297 - Grand Jury

This Activity Number may be found in the General Fund of any unit responsible for the expenditures incurred by a grand jury. Expenditures include legal fees, consultant fees, travel, supplies, etc.

298 - Family Counseling Services

This Activity Number is found in the General Fund of counties. This Activity Number is established to comply with 1964 PA 155, the Circuit Court Family Counseling Services Act, MCL 551.331 to MCL 551.344. It is charged with expenditures for the operations of the family counseling service.

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300 - Public Safety Function (Control Activity Number)

The public safety function is comprised of Activity Numbers 301 through 439. Public safety is a major function of government and has as its objective the protection of persons and property. Major organization units may include law enforcement, fire protection, protective inspection, and correction. The balance of 300 should at all times equal the total balance of Activity Number 301 through 439.

301 - Police/Sheriff/Constable

This Activity Number is found in the General Fund or Police (Sheriff) Fund Number 207 of local units of government that have such an activity. It includes accounts for recording expenditures incurred by the police/sheriff department in the administration of various law enforcement activities. Units may budget separately for police activities such as administration, crime control and investigation, traffic, and safety programs, training, and communication if they desire. Activity Number 301 reflects expenditures such as salaries, travel, office expenses, officers' uniforms, officers' weapons, fingerprinting supplies and other supplies, and maintenance necessary to provide police services. It may also be used to reflect revenue generated by the police or sheriff department. Activity Numbers 302 through 325 may be used if more detail is needed.

305-325

Activity numbers 305 through 325 are optional and may be used if more police department detail is needed.

305 - Administration

This Activity Number is found in the General Fund or Police (Sheriff) Fund Number 207 of local units of government. Its use is optional. It reflects such expenditures as salaries of the department head and administrative staff, office supplies, travel, equipment, and other expenditures of an administrative nature.

310 - Crime Control and Investigation

This Activity Number is found in the General Fund or Police (Sheriff) Fund Number 207 of local units of government. Its use is optional. It reflects such expenditures as salaries of detectives, and other investigation personnel, travel expense of these personnel, fingerprint supplies, fingerprint equipment, and other supplies, and equipment essential to crime control and investigation.

315 - Traffic and Safety Program

This Activity Number is found in the General Fund or Police (Sheriff) Fund Number 207 of local units of government. Its use is optional. It reflects salaries and wages of road patrol personnel, safety program supplies and materials, and other supplies and materials essential to the traffic and safety program.

320 - Training

This Activity Number is found in the General Fund or Police (Sheriff) Fund Number 207 of local units of government. Its use is optional. It reflects such expenditures as the salary of the training officer, police academy expenditures, attendance at training seminars, and other supplies, and expenditures essential to the training program for police officers.

325 - Communications/Dispatch

This Activity Number is found in the General Fund or Police (Sheriff) Fund Number 207 of local units of government. Its use is optional. It reflects such expenditures as salaries of dispatch or communications operators, dispatch or communications maintenance, dispatch or communication equipment, and other supplies or equipment necessary for proper communication or dispatch operations.

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330 - Liquor Law Enforcement

This Activity Number may be found in the General Fund or in the Liquor Law Enforcement Fund Number 212 of local units of government. This Activity Number is Mandatory for any unit enforcing state liquor laws. This Activity Number reflects all expenditures incidental to enforcement of the state liquor laws within a unit.

331 - Marine Law Enforcement

This Activity Number is found in the General Fund of county government. Its use is mandatory for any unit participating in this program. It reflects all expenditures such as salaries, travel, supplies, equipment, etc., incidental to the marine safety program. The State of Michigan reimburses some of the expenditures charged to this activity; such reimbursement should be recorded as well.

332 - Snowmobile Law Enforcement

This Activity Number is found in the General Fund of county government. Its use is mandatory for any unit participating in this program. It reflects all expenditures such as salaries, travel, supplies, equipment, etc., incidental to enforcement of the snowmobile law. Some of the expenditures charged to this Activity Number are reimbursed by the State of Michigan; such reimbursement should be recorded as well.

336 - Fire Department

This Activity Number is found in the General Fund or Fire Fund Number 206 of local units of government that have such an activity. Units with a fire department may budget separately for activities such as administration, firefighting, fire prevention, training, and communication, if they desire. Activity Number 336 reflects such expenditures such as salaries and wages, fire-fighting supplies, firefighting equipment, office supplies, vehicle and equipment maintenance, and other supplies, and equipment necessary for fire protection. It may also be used to reflect revenue generated by the fire department.

337 through 344

Activity Number 337 through 344 may be used if more fire department detail is needed.

337 - Administration-Fire Department

This Activity Number is found in the General Fund or Fire Fund Number 206 of local units of government. Its use is optional. It reflects such expenditures as salaries of the department head and administrative staff, office supplies, travel, equipment, and other expenditures of an administrative nature.

339 - Fire Fighting

This Activity Number is found in the General Fund or Fire Fund Number 206 of local units of government. Its use is optional. It reflects expenditures such as salaries, travel, office expenses, uniforms, firefighting supplies, and other supplies, and maintenance necessary to provide fire department services.

341 – Fire Prevention

This Activity Number is found in the General Fund or Fire Fund Number 206 of local units of government. Its use is optional. It reflects all expenditures such as fire prevention programs supplies and materials, and all other supplies, and materials essential to the fire prevention program.

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342 – Training-Fire Department

This Activity Number is found in the General Fund or Fire Fund Number 206 of local units of government. Its use is optional. It reflects such expenditures as attendance at training seminars, other supplies, and expenditures essential to the training program for fire fighters.

343 – Communications-Fire Department

This Activity Number is found in the General Fund or Fire Fund Number 206 of local units of government. Its use is optional. It reflects such expenditures as salaries of communication operators, communication maintenance, communication equipment, and other supplies or equipment necessary for proper communication operations of the fire department.

345 – Public Safety Department (Police and Fire)

This Activity Number is found in the General Fund or Public Safety Fund Number 205. This Number is used when a local unit has combined its police and fire protection into a public safety department. It reflects all expenditures relative to public safety such as salaries, equipment, training, etc.

351 – Corrections/Jail

This Activity Number is found in the General Fund of local units of government having such a facility. Units may budget and report separately for various activities within its correction department if they desire. Activity Number 351 reflects such expenditures such as salaries of corrections department or jail personnel, prisoners clothing, jail supplies, jail maintenance, board of prisoners, and other supplies, or equipment necessary for the corrections department or jail operation. Activity Numbers 352 through 370 may be used if more corrections detail is needed.

356 – Juvenile Correctional Institution

This Activity Number is found in the General Fund of local units of government. Its use is optional. It reflects such expenditures as salaries, travel, supplies, and equipment essential to the operation of a juvenile correctional institution.

361 – Parole

This Activity Number is found in the General Fund or the Childcare Fund Number 292 of local units of government. Its use is optional. It reflects such expenditures as salaries of parole officers and other parole department personnel, travel expenditures, supplies, and equipment necessary for the operation of such an office or department.

362 – Other Corrections Activities–Training

See Numbered Letter 2004-1 on the Michigan Department of Treasury Website.

371 – Building Inspection Department

This Activity Number is used to account for expenditures related to the cost of operating the enforcing agency under the provisions of the State Construction Code Act. An Activity Number in the General Fund requires note disclosure that demonstrates that the activity is not self-sustaining.

426 – Emergency Management/Homeland Security

This Activity Number is found in the General Fund of local units of government. Its use is mandatory for a unit engaging in an emergency management program. It reflects such expenditures as salaries of emergency management personnel, travel, emergency management supplies and equipment, and other expenditures essential to the emergency management program of a local unit. The Emergency Management and Homeland Security Division of the Michigan State Police is responsible for providing

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leadership in the management and coordination of state and local response to both natural and human-caused emergencies and disasters statewide.

427 – Water Safety Council

This Activity Number is found in the General Fund of local units of government. Its use is mandatory for units having their own water safety council or which make appropriations to another water safety council. It reflects appropriations to the water safety council or such expenditures as salaries, travel expenditures, supplies, and equipment necessary for the operation of a local unit water safety council.

430 – Animal Shelter/Dog Warden

This Activity Number is found in the General Fund of counties and large cities. Its use is mandatory for any unit having an animal shelter or dog warden or for those units who contract this service with another unit. It reflects such expenditures as salaries, travel expenditures, office supplies, dog tags and supplies, dog food, animal shelter maintenance and other supplies, equipment, and expenditures necessary for the operation of the animal shelter. It may also be used to reflect revenues generated through this operation.

440 – Public Works Function (Control Activity Number)

The public works function is comprised of Activity Numbers 441 through 599. This group of activities provides accounts for recording expenditures incurred for various public works of a local unit. These include the public works department, drain expense, roads and streets, street lighting, etc. The balance of 440 should at all times equal the total balance of Activity Number 441 through 599.

441 – Department of Public Works (DPW)

This Activity Number is found in the General Fund or in a separate DPW construction project Fund Number 465, e.g., within the capital projects fund category, DPW Revolving Fund Number 640 or 641 within the Internal Service Fund Category or Operation and Maintenance Fund Number 565 within the Enterprise Fund Category. Its use is mandatory for any unit having a department of public works. Within the General Fund, it reflects such expenditures as salaries, office supplies, travel, maintenance, and equipment of an administrative nature. Within other funds, it reflects all costs chargeable to a specific DPW project, or which costs may or may not be recoverable from another unit or government. It may also be used to reflect revenues generated by the DPW.

442 – Drain Commissioner/Water Resource Commissioner

This Activity Number is found in the General Fund of counties. Its use is mandatory by any county having an elected drain commissioner/water resource commissioner. It reflects such expenditures as salaries, travel, supplies, equipment, and other administrative expenditures necessary to operate this office.

444 – Sidewalks

This Activity Number is found in the General Fund of cities, villages, and townships. Its use is optional. It reflects such expenditures as salaries and wages, materials, supplies, and other expenditures applicable to the sidewalks' activity.

445 - Drains-Public Benefit

This Activity Number is found in the General Fund of local units of government. Its use is mandatory for any unit having public drain expense. It reflects drain-at-large expenditures paid to the county from the unit's General Fund and any other public drain expenditure chargeable against all taxpayers of a local unit.

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446 - Roads, Streets, Bridges (Not Act 51)

This Activity Number is found in the General Fund or the Municipal Street Fund Number 204 of local units of government. Its use is mandatory for any unit responsible for maintenance or construction of roads, streets, or bridges within the local unit. It reflects all expenditures pertaining to the construction or maintenance of roads, streets or bridges not included under 1951 PA 51.

447 - Engineers/Engineering

This Activity Number may be found in the General Fund, Municipal Street Fund, DPW Fund, or other similar funds of local units of government. Its use is mandatory for any unit employing an engineer or having an engineering department. It reflects such expenditures as salaries of the engineer and assistants, travel expenditures, engineer supplies, engineer equipment, and other supplies, or equipment essential to operation of the engineering office or department.

448 - Street Lighting

This Activity Number is found in the General Fund of cities, villages, or townships. Its use is mandatory by any unit providing street lighting service for all its residents. It reflects payments to utility companies or any other expenditure applicable to street lighting.

449 - Road Commission/Street Department (Act 51)

This Activity Number is found in the General Fund and/or the County Road Fund Number 201 of county government and/or the Major Street Fund Number 202 or Local Street Fund Number 203 of cities and villages. Its use is mandatory. Within the County Road Fund, it reflects all expenditures pertaining to the construction and maintenance of the county's primary and local road systems. Within the Major and Local Street Funds, it reflects all expenditures pertaining to the construction and maintenance of the city or village's major and local street systems.

450 through 520 - Detailed Road and Street Activities

See the Uniform Accounting Procedures Manual for County Road Commissions for additional information for the accounting for road activities on the Michigan Department of Treasury's Web site at https://www.michigan.gov/treasury/0,4679,7-121-1751_2194-171570--,00.html, under Local Government Services/Accounting Information.

521 - Sanitation Department

This Activity Number is found in the General Fund or in a separate Rubbish Collection Fund Number 226 or 596 of local units of government. Its use is mandatory by any unit having such a department. It reflects such expenses as salaries, travel, office supplies, equipment, and other expenses applicable to the operation of a sanitation department. It may also be used to reflect revenues generated by the sanitation department.

522 - Street Cleaning

This Activity Number is found in the General Fund, Major Street Fund Number 202, Local Street Fund Number 203, or Municipal Street Fund Number 204 of cities and villages. Its use is optional. It reflects such expenditures as salaries and wages, materials, supplies, and other expenditures applicable to the street cleaning activity.

526 - Sanitary Landfill

This Activity Number is found in the General Fund or in a Sanitary Landfill Fund Number 227 or 517 of any local unit of government. Its use is mandatory by any local unit operating a sanitary landfill. It reflects such expenses as salaries and wages, supplies, materials, bulldozing, equipment, and all other expenses applicable to the operation of a sanitary landfill.

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527 - Sewage Disposal

This Activity Number is found in the General Fund or a Sewer Fund Number 590 of a local unit of government. Its use is mandatory for units having a sewage disposal system. It reflects such expenses as salaries and wages, supplies, materials, maintenance costs, equipment, and all other expenses applicable to the operation of a sewage disposal system.

528 - Rubbish Collection/Disposal

This Activity Number is found in the General Fund or in a separate Rubbish Collection Fund Number 226 or 596 of a local unit of government. Its use is mandatory for any unit rendering this service. It reflects such expenses as salaries and wages, supplies, materials, maintenance costs, equipment, and all other expenses necessary to render this service.

536 - Water and/or Sewer Systems

This Activity Number is usually found in Fund Numbers 590, 591, or 592 in the enterprise Fund Category of any unit that is administering and/or operating water and/or sewer systems and/or projects. This Activity Number is used to account for all revenue and expenses involved in this operation. If the unit has more than one system or project that they wish to account for separately, they may assign Activity Numbers 537 through 566 unless already designated.

567 - Cemetery

This Activity Number is found in the General Fund or Cemetery Fund Number 209 of townships, cities, or villages. Its use is mandatory for any local unit that owns a cemetery. It reflects such expenditures as salaries, supplies, and materials necessary to operate and maintain a cemetery. It may also be used to separate money received for cemetery care and operation from other General Fund revenue of the unit.

568 - Soil Conservation

This Activity Number is normally found in the General Fund of a local unit. Its use is mandatory by any unit participating in a soil conservation program. Where the unit does not have its own soil conservation program, this Activity Number may reflect the unit's appropriation to a soil conservation district. Where the unit has its own program, it reflects such expenditures as salaries and wages, travel, supplies used in the program, equipment, equipment maintenance, and other expenditures necessary to perform this activity.

569 - Watershed Council

This Activity Number is found in the General Fund of a local unit. Its use is mandatory by any unit supporting a watershed project. It normally reflects the General Fund appropriation to the watershed council.

570 – Lake Improvements

This Activity Number is found in the General Fund of a local unit. It is for use by units to record lake improvements that are fully funded by the General Fund. If funding comes from special assessments, use Fund Number 220, Lake Improvement Fund.

595 – Airport

This Activity Number is found in the General Fund or in the Airport Fund Number 295 or 581 of any local unit of government. It is for use by units to record all airport expenditures within this single activity. When used by a local unit, it will reflect all expenditures of an airport operation including administration, facilities, and equipment operation and maintenance, etc. This Activity Number may also be used to separate revenue earned by the airport from other General Fund revenues.

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596 – Transportation

This Activity Number is found in the General Fund or in the Transportation System Fund Number 288 or 588 of any local unit of government. It is for use by units to record all transportation (e.g., bus system) expenditures within this single activity. When used by a unit, it will reflect all expenditures of a transportation program including administration, facilities, and equipment operation, and maintenance, etc. This Activity Number may also be used to separate revenue earned by the transportation system from other General Fund revenues.

597 – Marina

This Activity Number is found in the Marina Fund Number 594 of local units of government, usually cities. When used by a local unit, it will reflect all expenses of a marina including administration, facilities, equipment operation, and maintenance, etc.

600 – Health and Welfare Function (Control Activity Number)

The health and welfare function are comprised of Activity Numbers 601 through 699. This group of Activity Numbers provides accounts for recording expenditures incurred for various public health and mental health programs within a local unit, as well as programs providing assistance for economically disadvantaged persons and businesses within the area. The balance of 600 should at all times equal the total balance of Activity Number 601 through 699.

601 – Health Department

This Activity Number is found in the General Fund or in the Health Department/District Fund Number 221 of local units of government. Its use is mandatory for all units. It reflects such expenditures as salaries and wages of health department personnel, supplies, clinic expenditures, lab expenditures, and other expenditures applicable to a health department. This Activity Number may also be used to separate revenue earned by the health department from other revenues of the unit. See the Accounting Procedures Manual for County/District Health Departments published by the Michigan Department of Treasury for additional information.

605 – Contagious Diseases

This Activity Number is normally found in the General Fund of a county. Its use is mandatory. It reflects all expenditures chargeable to public funds for the treatment of contagious diseases, such as tuberculosis, venereal diseases, etc.

610 – Health Board

This Activity Number is found in the General Fund or in the Health Department/District Fund Number 221 of local units of government. Its use is optional. Units may include such expenditures under health department, using Activity Number 601, if they desire. This Activity Number reflects all expenditures incurred by the health board in administering the health department or health program of a local unit.

611 – Health Clinics

This Activity Number is found in the General Fund or in the Health Department/District Fund Number 221 of local units of government. Its use is optional. Units may include such expenditure under health departments, using Activity Number 601, if desired. This Activity Number reflects county appropriations to such clinics, contractual payments to such clinics, or all expenditures incurred by a clinic operated by a county.

620 – Mosquito Control

This Activity Number is found in the General Fund of a local unit of government unless there is a special tax levy for mosquito control, in which case special revenue Mosquito Control Fund Number 240 is

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required. This Activity Number is used to record revenue and expenditures related to the mosquito control program.

621 – Pollution Control

This Activity Number is found in the General Fund or the Health Department/District Fund Number 221 of local units of government. Its use is mandatory by units having pollution control expenditures. It reflects all the expenditures applicable to air, water, or soil pollution control.

631 – Substance Abuse

This Activity Number is normally found in the General Fund, Health Department/District Fund Number 221, or Community Mental Health Fund Number 222 of county government. Its use is mandatory by units administering substance abuse programs receiving grants for this purpose. It reflects such expenditures as salaries and wages, supplies, materials, clinic expenditures, etc.

635 – Hospital Operation

This Activity Number is normally found in the General Fund or separate Hospital Operating Fund Number 511 of a county or a large city. Its use is mandatory by any such unit owning and operating a hospital. The Hospital Operating Fund will reflect all hospital expenses such as salaries and wages, patient's services, lab and x-ray expenses, culinary department expenses, administrative expenses, and all other operating expenses of a general hospital.

648 – Medical Examiner

This Activity Number is found in the General Fund of county government. Its use is mandatory. It reflects such expenditures as salaries or fees of the medical examiner, MCL 52.201, and his/her staff, travel expenditures, supplies, materials, autopsy charges, and all other expenditures incurred by the officer in the performance of this activity.

649 – Mental Health

This Activity Number is found in the General Fund or in the Community Mental Health Fund Number 222 of county government. Its use is mandatory for any county having a mental health program. In the Community Mental Health Fund, it reflects all expenditures of the mental health program, MCL 330.1204, such as salaries and wages, supplies, materials, clinic expenditures, and all expenditures of the various sub-programs administered through this fund.

650 – State Institutions

This Activity Number may be found in the Childcare Fund Number 292 of counties and may be used in any other fund in which payments are made for care provided by state institutions. It reflects payments by the county to the State of Michigan for care of county residents at various state institutions. Payments are made on the basis of monthly billings to the counties.

651 – Ambulance

This Activity Number is found in either the General Fund or in the Special Revenue Ambulance Fund Number 210 if there is a special voted tax for ambulance operations. Enterprise Fund Number 505 is used if the ambulance operation is intended to be self-sustaining with user charges. It reflects such expenses as salaries, travel, training supplies, etc., that are necessary for operating the ambulance service. It may also be used in reporting revenues raised by the ambulance service.

662 – Childcare-Family Division of Circuit Court

This Activity Number is found in the General Fund or the Childcare Fund Number 292 of a county. Its use is mandatory. Under 1996 court reform legislation being 1961 PA 236, MCL 600.1009, the probate court

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juvenile division was replaced by the Family Division of Circuit Court. In the General Fund, it reflects the appropriation to the Childcare Fund and other childcare expenditures of the county not properly chargeable to the Childcare Fund. In the Childcare Fund, it reflects expenditures involving boarding and care of court wards, operating expenditures of a juvenile home, payments to the State for the care of juveniles at state institutions, and other expenditures properly payable from the Childcare Fund. This Activity Number may also be used to separate revenues belonging to the Childcare Fund from other revenue of the county.

663 – Childcare-Department of Human Services (DHS)

This Activity Number is found in the General Fund or the Childcare Fund (292) of a county. Its use is mandatory in those counties that have childcare activity administered by the County DHS. In the General Fund, it reflects the county appropriation to the Childcare Fund-DHS sub-account and certain other childcare expenditures of the county, not payable from the Childcare Fund. In the Childcare Fund, it reflects expenditures for the boarding and care of juveniles that are under the jurisdiction of the County DHS, rather than the Family Division of Circuit Court. This Activity Number may also be used to separate revenues belonging in the Childcare Fund-DHS sub-account from revenues of the county. Please note that rather than accounting for childcare DHS revenue and expenditures with this Activity Number 663 in Fund 292, an open Special Revenue Fund Number, may be used to account for childcare DHS revenue and expenditures.

670 – Department of Human Services (DHS)/Social Services Board

This Activity Number is found in the General Fund or in the Social Welfare Fund Number 290 of a county. Its use is mandatory. In the General Fund, it represents the county appropriation to the Social Welfare Fund. In the Social Welfare Fund, it reflects county expenditures paid on behalf of the county's poor and indigent, through various assistance programs. This Activity Number may also be used to separate revenues of the Social Welfare Fund from other county revenues.

671 – Medical Care Facility

This Activity Number is found in the General Fund or in the Medical Care Facility Fund Number 291 of a county. Its use is mandatory, MCL 400.58, in any county having a medical care facility. In the General Fund, it reflects the county's appropriation to the Medical Care Facility Fund.

672 – Agency on Aging

This Activity Number will appear in the General Fund. It will be used to record revenues and expenditures for operating any senior citizen programs, MCL 400.571 to MCL 400.576.

681 – Veterans' Burials

This Activity Number is found in the General Fund of a county. Its use is mandatory, MCL 35.801 to MCL 35.804. It reflects the statutory portion payable from the county's General Fund toward the burial of a veteran who was a resident of the county.

682 - Veterans' Counselor

This Activity Number is found in the General Fund of a county. Its use is mandatory in any county having a veterans' counselor. It reflects such expenditures as salaries and wages, travel expenditures, office supplies, materials, equipment, and other expenditures incurred by the officer in the performance of his/her duties.

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683 - Veterans' Trust Board

This Activity Number is found in the General Fund of a county. It is charged with such expenditures as salaries and wages, travel expenditures, supplies, materials, and equipment necessary for the board to perform its duties.

689 - Veterans' Relief

This Activity Number is found in the General Fund or in the Veterans' Relief Fund Number 293 of a county. Its use is mandatory in accordance with 1899 PA 214, MCL 35.21 to MCL 35.27. In the Veterans' Relief Fund, it is used to record money spent for such relief under the statutory provisions of MCL 35.21.

690 - Redevelopment and Housing

This Activity Number is normally found in the General Fund or in a separate Federal Project Fund of local units of government. It may be used by units engaged in redevelopment and housing projects which desire to include all costs of such project under a single activity.

692 - Public Housing

This Activity Number is found in the General Fund or in a separate Federal Project Fund of local units of government. Units engaged in public housing projects use this Activity Number for such expenditures as salaries and wages, supplies, consultant fees, legal fees, equipment, and all other costs incurred by a unit engaged in a public housing operation or project.

693 - Community Action Program

This Activity Number is found in the General Fund or in a special Federal Project Fund of local units of government. Its use is mandatory by any unit which conducts or participates in community action programs designed to provide economic opportunity within the unit. It includes such expenditures as salaries and wages of local unit personnel involved advertising expenditures, appropriations or contractual payments to local agencies assisting in such programs, supplies, materials, and other expenditures essential to programs aimed at stimulating economic opportunity within the unit.

694 - Community Development Block Grant (CDBG)

This Activity Number is found in the General Fund or in a special Federal Project Fund of local units of government. It is used to account for participation in the federal CDBG program. It includes such expenditures as salaries and wages of local unit personnel involved advertising expenditures, appropriations or contractual payments to local agencies assisting in such programs, supplies, materials, and other expenditures essential to programs aimed at benefiting economically disadvantaged individuals.

700 - Community and Economic Development Function (Control Activity Number)

The community and economic development function are comprised of Activity Numbers 701 through 749. This group of activities is directed towards economically developing the area encompassed by the local unit of government. The balance of 700 should at all times equal the total balance of Activity Number 701 through 749.

701 – Planning

This Activity Number is found in the General Fund and/or a separate planning fund of local units of government. Its use is mandatory by any unit having a planning department or commission. It reflects expenditures involved in planning such as industrial study and development projects, mapping projects, transportation studies, etc.

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702 – Zoning

This Activity Number is normally found in the General Fund of a local unit. Its use is mandatory by any unit having a zoning board or commission. It reflects such expenditures as salaries or per diem of board members, travel expenditures, zoning board of appeals expenditures, supplies, and other expenditures involved in the zoning of local unit property as residential, commercial, and industrial.

710 – Cooperative Extension

This Activity Number is found in the General Fund of counties. Its use is mandatory. It reflects expenditures such as salaries, travel, supplies, equipment, etc., necessary to provide programming focused on agriculture and natural resources; children, youth, and families; and community and economic development, including a soil testing service and 4H programs. Counties are served by Michigan State University (MSU) county extension agents.

711 – Register of Deeds

This Activity Number is found in the General Fund of county government. Its use is mandatory, MCL 53.89 to MCL 53.111. It reflects such expenditures as salaries, travel, supplies, equipment, etc., necessary to operate this office.

712 – Abstract Department

This Activity Number is found in the General Fund of counties. Its use is mandatory by any county operating an abstract office. It reflects such expenditures as salaries, travel, supplies, equipment, etc., necessary to operate the abstract office. It may also be used to separate fees generated by the department from other General Fund revenue.

713 – Surveyor

This Activity Number is found in the General Fund of counties. Its use is mandatory by any county having an elected county surveyor. It reflects such expenditures as salaries, travel, supplies, equipment, etc., necessary to operate the office of the county surveyor.

728 – Economic Development

This Activity Number is normally found in the General Fund of local units of government. Its use is mandatory by any unit having an economic development program or making appropriations to economic development agencies. It reflects such expenditures as appropriations to the local chamber of commerce, junior chamber of commerce, or other similar organizations promoting the economic development of a local unit. Where a local unit has its own economic development commission or office, this Activity Number will reflect all expenditures of the agency, including salaries and wages, travel, supplies, and other expenditures incurred by the commission or office.

730 – Home Demolition

This Activity Number is normally found in the General Fund of counties or larger cities. It reflects such expenditures as salaries, travel, supplies, equipment, etc., necessary for home demolitions.

731 - Home Renovation

This Activity Number is normally found in the General Fund of counties or larger cities. It reflects such expenditures as salaries, travel, supplies, equipment, etc., necessary for home renovations.

732 - Blight Removal

This Activity Number is normally found in the General Fund of a local unit. Cost of land acquisition, demolition of buildings, land and site improvements, plans, surveys, appraisals, and all other costs

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relating to the acquisition, rehabilitation, financing, and disposal of any project or any part of a project under the terms of 1945 PA 344.

750 - Recreation and Culture Function (Control Activity Number)

The recreation and culture function are comprised of Activity Numbers 751 through 849. This group of Activity Numbers provides accounts for recording revenues and expenditures incurred in park facilities, recreation programs, and cultural programs within a local unit. The balance of 750 should at all times equal the total balance of Activity Number 751 through 849.

751 - Parks and Recreation Department

This Activity Number is found in the General Fund or in the Park/Recreation Fund Number 208 or 508 of any local unit of government. It is for use by units which include all recreation and parks expenditures within this single activity. When used by a unit, it will reflect all expenditures of a park or recreation program including administration, park facilities, supervision, policing, lighting and maintenance of facilities, and any other parks or recreation activities. This Activity Number may also be used to separate revenue earned by the parks or recreation department from other General Fund revenues.

752 - Parks Administration

This Activity Number is normally found in a separate Park and Recreation Fund of a local unit; however, it may also be found in the General Fund (if a General Fund appropriation would be the sole revenue source). Its use is recommended by large units having a large park or recreation program. It reflects all expenditures applicable to the administration of a park or recreation program or department, such as salaries and wages, supplies, materials office equipment, etc.

756 - Recreation/Park Facilities

This Activity Number is normally found in the Park/Recreation Fund Number 208 or 508 of a local unit of government; however, it may also be found in the General Fund (if a General Fund appropriation would be the sole revenue source). Its use is recommended by large units having large facilities. It reflects all expenditures by a local unit for the acquisition and operation of facilities to provide such recreation programs for its residents as golf, playgrounds, swimming, tennis, etc.

760 - Parks Supervision

This Activity Number is normally found in a separate Park and Recreation Fund of a local unit; however, it may also be found in the General Fund (if a General Fund appropriation would be the sole revenue source). Its use is recommended by large units having a large parks department or operating a recreation program. It reflects such expenses as salaries and wages, supplies, materials, and equipment necessary to supervise park operation or recreation programs of a local unit.

764 - Parks Policing

This Activity Number is normally found in a separate Park and Recreation Fund of a local unit; however, it may also be found in the General Fund (if a General Fund appropriation would be the sole revenue source). Its use is recommended by large units having a large parks department or operating a recreation program. It reflects such expenses as salaries and wages, supplies, uniforms, materials, and equipment necessary to police park operations or recreation programs of a local unit.

767 - Parks Lighting

This Activity Number is normally found in a separate Park and Recreation Fund of a local unit; however, it may also be found in the General Fund (if a General Fund appropriation would be the sole revenue source). Its use is recommended by large units having a large parks department or operating a recreation program. It reflects all expenditures necessary to provide proper lighting of parks or

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recreation facilities, such as utility poles, light bulbs, payment of utility bills, and any other necessary supplies, materials or equipment related to the lighting of parks.

770 - Parks Maintenance

This Activity Number is normally found in a separate Park and Recreation Fund of a local unit; however, it may also be found in the General Fund (if a General Fund appropriation would be the sole revenue source). Its use is recommended by large units having a large parks department or operating a recreation program. It reflects such expenses as salaries and wages of custodians, maintenance supplies, maintenance equipment, and all other expenses necessary to properly maintain parks or recreation facilities.

790 - Library

This Activity Number is found in the General Fund or in the Library Fund Number 271 of local units of government. Its use is mandatory by any unit providing library service for its residents. In the General Fund, it may reflect all library expenditures. In the Library Fund, it will reflect such expenditures as salaries and wages of library personnel, travel expenditures, library supplies, bookmobile expenditures, branch library expenditures, the purchase of books and audiovisuals, and all other expenditures necessary to provide library services. This Activity Number may also be used to separate revenues derived from library operations from other revenues of the local unit.

791 - Library Board

This Activity Number is found in the General Fund or in the Library Fund Number 271 of local units of government. Its use is mandatory by any unit having an appointed or elected library board. It reflects such expenditures as salaries or per diem of board members, travel expenditures, and contractual payments for library services where the unit does not operate and maintain its own library.

803 - Historical Society, Commission or Program

This Activity Number is found in the General Fund or in the Historical Commission/Museum Fund Number 270 of local units of government. Its use is mandatory by any unit providing a historical society, commission, or program service for its residents. In the General Fund, it may reflect all historical society, commission, or program expenditures. In the Historical Commission/Museum Fund, it will reflect such expenditures as salaries and wages of historical commission personnel, travel expenditures, supplies, expenditures related to the education of the public in regard to the history of the local unit, and all other expenditures necessary to provide services.

804 - Museum

This Activity Number is found in the General Fund or in the Historical Commission/Museum Fund Number 270 of local units of government. Its use is mandatory by any unit providing a museum for its residents. In the General Fund, it may reflect all museum expenditures. In the Historical Commission/Museum Fund, it will reflect such expenditures as salaries and wages of museum personnel, travel expenditures, supplies, expenditures related to the acquisition and display of historical exhibits, and all other expenditures necessary to provide museum services.

805 - Auditorium-Civic Center

This Activity Number is found in the General Fund or in the local units of government Civic Auditorium Fund Number 593. Its use is mandatory by any unit providing a civic center or auditorium for its residents. In the General Fund, it may reflect all civic center/auditorium expenditures. In the Civic Auditorium Fund, it will reflect such expenditures as salaries and wages of civic center or auditorium personnel, travel expenditures, supplies, and all other expenditures necessary to provide civic center or auditorium services.

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850 through 899 - No Longer Used

Prior versions of the Chart of accounts (2002 and prior) used Activity Numbers 850 through 899 as an option to report other functions. In an attempt to bring uniformity in the reporting of the cost of activities, this Chart of Accounts has removed that option. As discussed above, all costs should generally be assigned to the activities that benefit from the costs (with the exception being those costs whose minimal size makes it cost-prohibitive to allocate - such as phone bills, etc.).

900 - Capital Outlay Function (Control Activity Number)

This Function Number is usually only found in Capital Project Funds and some Special Revenue Funds. It will also be found in the General Fund if the governing body wishes to account and budget for capital outlay separately. It reflects the capital outlay expenditures of the unit. The balance of 900 should at all times equal the total balance of Activity Number 901 through 904.

901 through 904 - Capital Outlay Detail

The local unit may assign these Activity Numbers for greater detail as needed. A local unit may point off these activities for management decisions purposes.

905 – Debt Service Function (Control Activities Number)

This Function Number is found in the General Fund or in some Special Revenue Funds, and Debt Service Funds of local units of government. Its use is mandatory by any unit having general obligation debt, whether long-term or short-term, whether bonded debt or otherwise. It reflects such payments as debt principal, interest on debt, paying agent fees, bond coupon fees, etc. For individual accounting, the unit may assign numbers as desired. The balance of 930 should at all times equal the total balance of Activity Number 906 through 929.

930 – Transfer In and Other Financing Sources Function (Control Activity Number)

This Activity Number is normally found in the General Fund of units but may also be found in other operating funds. Its use is mandatory for all units. Its purpose is to reflect transfers in of a fund. If individual detail is desired, the unit may use the following numbers as desired. The balance of 930 should at all times equal the total balance of Activity Number 931 through 964.

965 - Transfers Out and Other Financing Uses Function (Control Activity Number)

This Activity Number is normally found in the General Fund of units but may also be found in other operating funds. Its use is mandatory for all units. Its purpose is to reflect transfers out of (appropriations from) a fund. If individual detail is desired, the unit may use the following numbers as desired. The balance of 965 should at all times equal the total balance of Activity Number 966 through 999.

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Account Numbers

Balance Sheet/Statement of Net Position Accounts

001 - Cash - Checking

This account is used to record the amount of currency, checks, money orders, and bank drafts on hand or on deposit with an official or agent designated as custodian of cash and bank deposits (local unit treasurer).

This account is:

DEBITED	when cash is received.
CREDITED	when cash is disbursed.

002 - Cash - Savings

This account is used to record the amount of monies on deposit in savings accounts under the control of the official or agent designated as custodian.

This account is:

DEBITED	when money is deposited in a savings account.
CREDITED	when money is withdrawn from a savings account.

003 - Cash - Certificates of Deposit

This account is used to record the number of nonnegotiable (redemption terms that do not consider market rates) certificates of deposit held by the local unit treasurer.

This account is:

DEBITED	when certificates of deposit are purchased.
CREDITED	when certificates of deposit are cashed.

004 - Imprest (Petty) Cash

This account is used to record a sum of money either in the form of currency, a special bank deposit, or a separate bank account set aside for the purpose of making change or paying incidental expenses. It is used for expenses that, for practical reasons, cannot be paid in the regular manner. At certain intervals, the petty cash is replenished by a check drawn on the fund from which the petty cash expenses are payable. An itemized voucher for the amount of disbursements made from petty cash must support the replenishment check. The total of petty cash on hand and/or on deposit, plus un-replenished disbursements, must always equal the imprest cash account balance.

This account is:

DEBITED	with the amount in which the account is established or increased.
CREDITED	when the established account balance is decreased.

007 - Cash - Payroll Bank Account

This account is used to record an amount of cash in the form of a separate bank account used only for making payments for personnel services and payroll deductions. Usually, a fixed sum is deposited to this bank account in an amount sufficient to meet the requirements of the bank for carrying the account without service charges, and the local unit for making payments for personnel services between regular pay periods.

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The principal use of this account is for the deposit of the amount of the gross payroll, against which individual payroll checks and/or direct deposits and payroll deduction checks and/or direct deposits will be drawn. Individual payroll checks and/or direct deposits drawn on this account between regular payroll periods will be included on the next regular payroll voucher. By this method, the fixed sum deposited in the payroll bank account will be replenished each pay period.

This account is:

DEBITED when money is deposited in the payroll bank account.
CREDITED when money is disbursed from the payroll bank account.

016 - Deposits with Fiscal Agent

This account is used to record amounts of pension assets on deposit with a fiscal agent, OPEB funding, and deposits with bond trustees prior to payment.

This account is:

DEBITED when amounts of pension are deposited with a fiscal agent, and with investment earnings on deposit with the fiscal agent.
CREDITED when disbursements are made by the fiscal agent.

017 - Investments

This account is used to record the cost of short-term investments in government bonds, treasury bills, treasury notes, and money market certificates, and negotiable certificates of deposit. A negotiable certificate of deposit is a form of a participating interest-earning investment contract whose value generally is affected by market (interest rate) changes. A short-term investment is an investment having a maturity date of 1 year or less.

This account is:

DEBITED when investments are purchased.
CREDITED when investments are sold.

018 - Receivables

This account is used to record amounts owed to the local unit from any source.

This account is:

DEBITED when amounts owed to the local unit are determined but not immediately received.
CREDITED when amounts are received or written off by proper authority.

019 - Taxes Receivable

This account is used to record amounts of taxes levied and related charges which have become due but have not been collected.

This account is:

DEBITED when amounts owed to the local unit are determined but not immediately received.
CREDITED when amounts are received or written off by proper authority.

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020 – Taxes Receivable – Real Property – Current Levy

This account is used to record the portion of the real property taxes levied which have become due but have not been returned to the county treasurer as delinquent.

This account is:

DEBITED for the amount the current real property taxes levied on the day they become due and receivable.

CREDITED upon receipt of current real property taxes and with the amount transferred to Account 026 – Taxes Receivable – Delinquent – Real Property, at the time taxes become delinquent.

022 – Taxes Receivable – Personal Property – Current Levy

This account is used to record the portion of personal property taxes levied which have become due but have not become delinquent. For the current levy, this total may be combined with real taxes and recorded in Account 020 – Taxes Receivable – Real Property – Current Levy.

This account is:

DEBITED for the amount of the current personal property taxes levied on the day they become due and receivable.

CREDITED with the receipt of current personal property taxes and with the amount transferred to Account 028 – Taxes Receivable – Delinquent – Personal Property, at the time the taxes become delinquent.

026 – Taxes Receivable – Delinquent – Real Property

This account is used to record the amount of real property taxes remaining unpaid on and after the date they become delinquent (usually March 1). A detailed account by unit must be maintained for each year's levy.

This account is:

DEBITED when the amount of real property taxes is returned delinquent.

CREDITED upon receipt of delinquent real property taxes and when amounts are charged back to local units.

028 – Taxes Receivable – Delinquent – Personal Property

This account is used to record the amount of personal property taxes remaining unpaid on and after the date they become delinquent (usually March 1). A detailed account must be maintained for each year's levy.

This account is:

DEBITED when the amount of personal property taxes is returned delinquent.

CREDITED upon receipt of delinquent personal property taxes or when such taxes are written off by order of the circuit court.

030 – Interest and Penalties Receivable on Taxes

This account may be used to record the accrued interest and penalties on taxes receivable.

This account is:

DEBITED when the amount of interest and penalties is accrued on taxes receivable each month.

CREDITED when interest and penalties are collected.

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033 – Utility Bills Receivable

This account is used to record amounts owed to the local unit by users of utility services. Detailed subsidiary accounts must be maintained to record amounts due from individual users.

This account is:

DEBITED	when the amount of utility bills is due.
CREDITED	when payments are received, or adjustments are approved.

034 – Delinquent Utility Bills Receivable (on tax roll)

This account is used to record unpaid utility bills which have been placed on the tax roll in accordance with statutory provisions. A detailed subsidiary account for each resident must be maintained.

This account is:

DEBITED	when the amount of unpaid utility bills is placed on the tax roll.
CREDITED	when the amounts are collected or approved to be written off.

040 – Accounts Receivable (General – Not Governmental Units)

This account is used to record amounts owed to the local unit which are not provided for elsewhere in this manual. Detail by individual or organization is required.

This account is:

DEBITED	when the amounts owed are determined.
CREDITED	when payments are received, or when adjustments or write-offs are approved.

041 – Estimated Uncollectible Accounts Receivable (Credit)

This account is used to record that portion of accounts receivable which is estimated will never be collected.

This account is:

DEBITED	after approval had been obtained to record adjustments or to write off an account.
CREDITED	when the amounts of estimated uncollectible accounts receivable are determined and approved.

044 -Travel Advances Receivable

This account is used to record cash advances to officials and/or employees of the local unit to cover anticipated expenses while traveling in an official capacity for the local unit. Upon completion of the travel, this account must be reimbursed for the entire amount of the advance. Detail by individual employee is required.

This account is:

DEBITED	when the amounts are advanced to officials and/or employees.
CREDITED	when the amounts advanced are repaid.

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045 – Special Assessments Receivable – Current

This account may be used to record the uncollected portion of special assessments a government unit has levied. It represents the amount due within one year and not yet considered delinquent. Subsidiary accounts may be established for various types or various years of special assessments. Detail by special assessment districts and by individual property owners is required.

This account is:

DEBITED	for the amount of the current special assessment levy on the day it becomes due and receivable.
CREDITED	when the special assessments are collected or when the account balance is transferred to Account 047 – Special Assessments Receivable – Delinquent.

047 – Special Assessments Receivable – Delinquent

This account is used to record the balance of special assessments remaining unpaid on and after the date on which a penalty is effective. Detail by special assessment districts and by individual property owners is required.

This account is:

DEBITED	when the balance remaining in Account 045 – Special Assessments Receivable – Current, on the date a penalty for nonpayment is effective.
CREDITED	when the delinquent special assessments are collected.

049 – Special Assessments Receivable – Unavailable

This account may be used to record special assessments for which a roll has been prepared and confirmed, but which are not due. Detail by special assessment districts and by individual property owners is required.

This account is:

DEBITED	when the amount of a special assessment roll has been prepared and confirmed.
CREDITED	when the special assessment becomes due at which time this amount should be transferred to Account 045 – Special Assessments Receivable – Current.

056 – Interest Receivable

This account is used to accrue interest earned but not received as of the end of an accounting period.

This account is:

DEBITED	when the amount of interest earned is accrued.
CREDITED	when payments are received.

057 – Local Unit's Share of Assessment Improvement Costs Receivable

This account may be used to record the amount due from a local unit as its share of the cost of an improvement financed by special assessments.

This account is:

DEBITED	when the local unit's share of special assessment project costs are determined.
CREDITED	when the amounts are collected or when any decreases are approved.

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060 – Notes Receivable

This account may be used to record the amount due on any legal note that has been accepted by the local unit. It represents an unconditional written promise, signed by the maker, to pay a certain sum on demand or at a fixed or determinable future time either to the bearer or to the order of a person designated therein. Detail by individual note is required.

This account is:

DEBITED	when the amount of the notes become legal obligations.
CREDITED	when the payments are received.

061 – Loans Receivable

This account may be used to record the current amount due to the local unit on loans that have been made in accordance with statutory provisions. Detail by individual loan is required.

This account is:

DEBITED	when the amount of the loan becomes a legal obligation.
CREDITED	when payments are received.

062 – Leases Receivable (Current)

This account is used to record receivables for short-term leases. GASB 87 indicates that a short-term lease is a lease that, at the commencement of the lease term, has a maximum possible term under the lease contract of 12 months (or less), including any options to extend, regardless of their probability of being exercised. For a lease that is cancelable by either the lessee or the lessor, such as a rolling month-to-month lease or a year-to-year lease, the maximum possible term is the noncancelable period, including any notice periods. The lessee should recognize lease receivable if payments are made in advance. The lessor should recognize lease receivable for rent due if payments are to be received subsequent to the reporting period.

This account is:

DEBITED	when lease payments due within a year is determined or when the lease receivable amounts are transferred from Leases Receivable (Non-Current) account.
CREDITED	when lease payments are received by lessor or when the advances lease payments are recognized as leases outflows of resources by lessee.

064 – Land Contracts Receivable

This account may be used to record the current portion of land contracts due to the local unit.

This account is:

DEBITED	when the current amounts due on land contracts are determined.
CREDITED	when payments are received.

071 – Due from Cities

This account is used to record amounts due from cities. Detail by individual city is required. Account 084 – Due from Other Funds, should be used to record amounts due from other funds within the same city.

This account is:

DEBITED	when the amounts due the local unit from cities is determined.
CREDITED	when payments are received.

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072 - Due from Counties

This account is used to record amounts due from counties. Detail by each individual county is required. Account 084 - Due from Other Funds, should be used to record amounts due from other funds within the same county.

This account is:

DEBITED	when the amount due the local unit from counties is determined.
CREDITED	when payments are received.

073 - Due from Libraries

This account is used to record amounts due from libraries. Detail by individual library is required.

This account is:

DEBITED	when the amount due the local unit from libraries is determined.
CREDITED	when payments are received.

074 - Due from Road Commissions

This account is used to record amounts due from road commissions. Detail by individual road commission is required.

This account is:

DEBITED	when the amount due the local unit from road commissions is determined.
CREDITED	when payments are received.

075 - Due from Schools

This account is used to record amounts due from schools. Detail by individual school system is required.

This account is:

DEBITED	when the amount due the local unit from schools is determined.
CREDITED	when payments are received.

076 - Due from Townships (Except Road Agreements)

This account is used to record amounts due from townships for most purposes. Detail by individual townships is required. Account 084 – Due from Other Funds, should be used to record amounts due from other funds within the same township. County road commissions should use Account 080 – Due from Townships - Road Agreements, to record amounts due from townships for road agreements.

This account is:

DEBITED	when the amount due the local unit from townships is determined.
CREDITED	when payments are received.

077 - Due from Villages

This account is used to record amounts due from villages. Detail by individual village is required. Account 084 – Due from Other Funds, should be used to record amounts due from other funds within the same village.

This account is:

DEBITED	when the amount due the local unit from villages are determined.
CREDITED	when payments are received.

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078 - Due from State

This account is used to record amounts due from the State of Michigan.

This account is:

DEBITED	when the amount due the local unit from the state is determined.
CREDITED	when payments are received.

079 - Due from Federal Government

This account is used to record amounts due from the federal government.

This account is:

DEBITED	when the amount due the local unit from the federal government is determined.
CREDITED	when payments are received.

080 - Due from Townships (Road Agreements)

This account is used by county road commissions to record amounts due from townships for work performed on roads under agreement signed by the township and the road commission. A detailed subsidiary ledger that is maintained by the township is required.

This account is:

DEBITED	when the amounts are determined to be due on agreements.
CREDITED	when payments are received.

081 - Due from Other Units of Government

This account may be used to record amounts due from other units of government for which an account is not provided for elsewhere in this manual. Detail by individual governmental entity is required.

This account is:

DEBITED	when the amount due the local unit from other governmental entities are determined.
CREDITED	when payments are received.

083 - Due from Employees

This account may be used to record amounts due from local unit employees for reimbursable goods or services provided to or on behalf of the employees. Detail by individual employee is required.

This account is:

DEBITED	when the amounts due are determined.
CREDITED	when payments are received.

084 - Due from Other Funds

This account is used to record short-term amounts due from other funds within the local government unit. It represents amounts owed for goods and services rendered to a particular fund by another fund in the government reporting entity or for interfund loans that are due within one year. An offsetting liability must be recorded in the fund from which the payment is due in Account 214 - Due to Other Funds.

This account is:

DEBITED	when the amounts owed from other funds are determined.
CREDITED	when amounts are received from other funds.

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087 - Court Orders Receivable

This account is used to record amounts of unpaid fines, court costs, restitution, and any other court ordered payments. Subsidiary records or accounts must be kept for these court orders by case number and/or name.

This account is:

DEBITED when court orders are issued.

CREDITED when payments are received, or adjustments are approved.

088 - Service Fees Receivable

This account may be used to record amounts due to the local unit for fees for services for which an account is not provided for elsewhere in this manual.

This account is:

DEBITED when services are rendered.

CREDITED when payments are received.

088.1 - Forfeiture Certificate Recording Fees Receivable

This account is used to record forfeiture certificate recording fees due to the county in accordance with 1999 PA 123.

This account is:

DEBITED in the year the property is forfeited.

CREDITED when payments are received when the forfeited property is redeemed or sold.

101 - Inventory

This account is used to record the cost of materials, supplies, and/or surplus properties purchased in one accounting period for use in another accounting period or to reflect supplies and materials held in inventory until charged to a specific job, project, department, etc.

This account is:

DEBITED when materials, supplies and/or surplus properties are purchased, and with approved adjustments.

CREDITED as inventory is used and with approved adjustments.

109 - Inventory - Road Materials

This account is used to record the cost of road materials stockpiled in warehouses, pits or yards which are used for construction or maintenance of the county road system.

This account is:

DEBITED when road materials are produced or purchased, and with approved adjustments.

CREDITED when road materials are used from inventory and with approved adjustments.

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110 – Inventory – Equipment Materials and Parts

This account is used to record the cost of materials and parts on hand which are used for the repair, maintenance, and operation of equipment.

This account is:

DEBITED	when materials and parts are purchased and with approved adjustments.
CREDITED	when the cost of materials and parts are used from inventory and with approved adjustments.

123 – Prepaid Expenses (or Prepaid Expenditures)

This account is used to record charges entered in the accounts of the local unit for benefits or services not yet received. Examples of prepaid expenses are prepaid rent, prepaid interest, and unexpired insurance premiums.

This account is:

DEBITED	for prepaid expenses to be charged off in a subsequent accounting period.
CREDITED	as prepaid expenses are charged off to expenditure accounts in the accounting period to which the expenses pertain.

128 – Assets Held for Sale

This account is used to record the cost of assets that are being held for re-sale. When assets are acquired with the intent of reselling them, they should be reported as assets even though they may be capital in nature. However, the carrying value should not exceed the estimated sales proceeds, net of expenditures necessary to ready the asset for sale. An example of assets held for sale could houses purchased to be renovated and resold.

This account is:

DEBITED	for the cost of assets acquired with the intent to be re-sold.
CREDITED	as sales take place, or as the estimated future sales price drops below the current carrying value (net of costs of preparing for sale).

130 – Land

This account is used to record the cost of land purchased by the local unit. Land acquired by gift or grant should be recorded at acquisition value. Road commissions also use this account to record the acquisition cost of land for road purposes. The cost of land includes legal fees, land surface leveling, debris removal, and other costs necessary to place the land in service.

This account is:

DEBITED	for the cost or appraised value of lands acquired.
CREDITED	for the recorded value of any land sold or otherwise disposed of.

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131 – Land Improvements – Non-depreciating

This account is used by a county road commission to record the actual cost of land improvements from construction and/or reconstruction projects. This work includes excavation, ditching, grading (lane widened portion and/or elevation change only), tree removal, and sub-grade preparation of land in preparation for roadway.

This account is:

DEBITED	for the cost of land improvements by year.
CREDITED	for the value of land improvements when the roadway is abandoned or otherwise disposed of.

132 – Land Improvements – Depreciating

This account is used to record the cost of permanent improvements, other than buildings, which add value to the land. Examples are fences, sewers, sidewalks, pavements, retaining walls, and landscaping.

This account is:

DEBITED	for the cost or appraised value of land improvements acquired.
CREDITED	for the recorded value of any such assets sold or otherwise disposed of.

133 – Accumulated Depreciation – Land Improvements

This account is used to record the accumulation of periodic decreases in the estimated service life of land improvements due to wear and tear, deterioration, action of the physical elements, inadequacy, and obsolescence.

This account is:

DEBITED	for the amount of accumulated depreciation applicable to land improvements sold or otherwise disposed of.
CREDITED	either monthly or annually for the amount of decrease in estimated service life attributable to the current accounting period.

134 – Depletable Assets

This account is used to record the cost or acquisition value (if acquired by gift) of natural resources which diminish in value by the removal of their contents such as gravel pits, stone quarries, timber stands, brine wells, gas, and oil wells, etc.

This account is:

DEBITED	for the cost or appraised value of depletable assets acquired.
CREDITED	for the recorded value of such assets sold or otherwise disposed of.

135 – Accumulated Depletion – Depletable Assets

This account is used to record the accumulation of periodic credits made to record the removal of natural resources.

This account is:

DEBITED	for the amount of accumulated depletion applicable to depletable assets sold or otherwise disposed of.
CREDITED	either monthly or annually for the cost of natural resources removed during the accounting period.

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136 - Buildings, Building Additions, and Improvements

This account is used to record the cost or acquisition value (if acquired by gift) of permanent structures, additions, and improvements. It includes the cost of all fixtures attached to and forming a permanent part of such structures.

This account is:

DEBITED	for the cost or appraised value of such assets acquired.
CREDITED	for the recorded value of such assets sold or otherwise disposed of.

137 - Accumulated Depreciation - Buildings, Building Additions, and Improvements

This account is used to record the accumulation of periodic credits made to record the expiration of the estimated service life of buildings and improvements.

This account is:

DEBITED	for the amount of accumulated depreciation applicable to buildings sold or otherwise disposed of.
CREDITED	either monthly or annually with the amount of decrease in estimated service life attributable to that month or year.

138 - Road Equipment

This account is used to record the cost or acquisition value (if acquired by gift) of equipment of a more or less permanent nature used in road work such as motor graders, cranes, rollers, etc. If separate accounts are desired for unlicensed and licensed vehicles and equipment, use Account 138 – Road Equipment, for unlicensed; and Account 148 – Vehicles, for licensed.

This account is:

DEBITED	for the cost or estimated value of road equipment acquired.
CREDITED	for the recorded value of such equipment sold or otherwise disposed of.

139 - Accumulated Depreciation - Road Equipment

This account is used to record the accumulation of periodic credits made to record the expiration of the estimated service life of unlicensed road equipment.

This account is:

DEBITED	for the amount of accumulated depreciation applicable to such equipment sold or otherwise disposed of.
CREDITED	either monthly or annually for the amount of decrease in estimated service life attributable to that month or year.

140 - Shop Equipment

This account is used to record the cost or acquisition value (if acquired by gift) of machinery and equipment of a more or less permanent nature used in a repair and maintenance shop.

This account is:

DEBITED	for the cost or estimated value of shop equipment acquired.
CREDITED	for the recorded value of such equipment sold or otherwise disposed of.

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141 – Accumulated Depreciation – Shop Equipment

This account is used to record the accumulation of periodic credits made to record the expiration of the estimated service life of shop machinery and equipment.

This account is:

DEBITED	for the amount of accumulated depreciation applicable to such equipment sold or otherwise disposed of.
CREDITED	either monthly or annually for the amount of decrease in estimated service life attributable to that month or year.

142 – Engineering Equipment

This account is used to record the cost or acquisition value (if acquired by gift) of equipment of a more or less permanent nature used in the engineering department.

This account is:

DEBITED	for the cost or estimated value of engineering equipment acquired.
CREDITED	for the recorded value of such equipment sold or otherwise disposed of.

143 – Accumulated Depreciation – Engineering Equipment

This account is used to record the accumulation of periodic credits made to record the expiration of the estimated service life of engineering equipment.

This account is:

DEBITED	for the amount of accumulated depreciation applicable to such equipment sold or otherwise disposed of.
CREDITED	either monthly or annually for the amount of decrease in estimated service life attributable to that year or month.

144 – Yard and Storage Equipment

This account is used to record the cost or acquisition value (if acquired by gift) of equipment of a more or less permanent nature used for yard or storage purposes such as gasoline pumps and meters, fuel storage tanks, etc.

This account is:

DEBITED	for the cost or estimated value of yard and storage equipment acquired.
CREDITED	for the recorded value of such equipment sold or otherwise disposed of.

145 – Accumulated Depreciation – Yard and Storage Equipment

This account is used to record the accumulation of periodic credits made to record the expiration of the estimated service life of yard and storage equipment.

This account is:

DEBITED	for the amount of accumulated depreciation applicable to such equipment sold or otherwise disposed of.
CREDITED	either monthly or annually for the amount of decrease in estimated service life attributable to that year or month.

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146 – Office Equipment and Furniture

This account is used to record the cost or acquisition value (if acquired by gift) of office equipment and furniture of a more or less permanent nature.

This account is:

DEBITED for the cost or estimated value of office equipment and furniture acquired.
CREDITED for the recorded value of such equipment and furniture sold or otherwise disposed of.

147 – Accumulated Depreciation – Office Equipment and Furniture

This account is used to record the accumulation of periodic credits made to record the expiration of the estimated service life of office equipment and furniture.

This account is:

DEBITED for the amount of accumulated depreciation applicable to such equipment and furniture sold or otherwise disposed of.
CREDITED either monthly or annually for the amount of decrease in estimated service life attributable to that year or month.

148 – Vehicles

This account may be used to record the cost or acquisition value (if acquired by gift) of all vehicles and equipment that are required to have a license plate such as cars, trucks, etc.

This account is:

DEBITED for the cost or estimated value of vehicles and equipment acquired.
CREDITED for the recorded value of such vehicles and equipment sold or otherwise disposed of.

149 – Accumulated Depreciation – Vehicles

This account is used to record the accumulation of periodic credits made to record the expiration of the estimated service life of licensed vehicles and equipment.

This account is:

DEBITED for the amount of accumulated depreciation applicable to such vehicles and equipment sold or otherwise disposed of.
CREDITED either monthly or annually for the amount of decrease in estimated service life attributable to that year or month.

150 – Books & Related Materials

This account is used to record the cost or acquisition value (if acquired by gift) of books, publications, journals, and similar items if significant in value and with a useful life of more than one year.

This account is:

DEBITED for the cost or estimated value of books, publications, etc. acquired.
CREDITED for the recorded value of such assets sold or otherwise disposed of.

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151 - Accumulated Depreciation – Books & Related Materials

This account is used to record the accumulation of periodic credits made to record the expiration of the estimated service life of books and similar items recorded in Account 150 - Books.

This account is:

- DEBITED for the amount of accumulated depreciation applicable to such items sold or otherwise disposed of.
- CREDITED either monthly or annually for the amount of decrease in estimated service life attributable to that month or year.

152 - Water System

This account is used to record the cost of construction or acquisition of a water system. This account may be pointed off to separate the various elements of a water system such as water lines, water mains, pumping plant, water treatment plant, etc.

This account is:

- DEBITED for the cost of construction or acquisition of a water system.
- CREDITED for the recorded cost of a water system sold or otherwise disposed of.

153 - Accumulated Depreciation - Water System

This account is used to record the accumulation of periodic credits made to record the expiration of the estimated service life of a water system.

This account is:

- DEBITED for the amount of accumulated depreciation applicable to a water system sold or otherwise disposed of.
- CREDITED either monthly or annually for the amount of decrease in estimate service life attributable to that year or month.

154 - Sewer System

This account is used to record the cost of construction or acquisition of a sewer system. This account may be pointed off to separate the various elements of a sewer system such as sewer lines, interceptors, laterals, pumping stations, treatment plant, disposal plant, etc.

This account is:

- DEBITED for the cost of construction or acquisition of a sewer system.
- CREDITED or the recorded cost of a sewer system sold or otherwise disposed of.

155 - Accumulated Depreciation - Sewer System

This account is used to record the accumulation of periodic credits made to record the expiration of the estimated service life of a sewer system.

This account is:

- DEBITED for the amount of accumulated depreciation applicable to a sewer system sold or otherwise disposed of.
- CREDITED either monthly or annually for the amount of decrease in estimated service life attributable to that month or year.

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157 – Right of Way

This account is used to record easements related to right of ways. Right of way easements are considered intangible assets. A permanent right-of-way easement is an example of an intangible asset that should be considered to have an indefinite useful life. Intangible assets with indefinite useful lives should not be amortized.

This account is:

DEBITED	for the amount spent on the intangible asset.
CREDITED	when there is an impairment of the intangible asset.

158 – Construction in Progress

This account is used to record the cost of construction work undertaken but not yet completed. As projects are completed, the cost is transferred from this account to the applicable capital asset account.

This account is:

DEBITED	for costs of a construction project in progress at fiscal year-end.
CREDITED	for the cost of a project upon completion and transfer to the appropriate capital asset account.

159 – Subscription Asset

This account is used to record the initial value of the intangible right-to-use asset.

This account is:

DEBITED	at the commencement of the subscription term.
CREDITED	when subscription assets are amortized.

160 – Accumulated amortization – Subscription Asset

This account is used for accumulated amortization for subscription asset other than short-term subscription assets. A subscription asset should be amortized in a systematic and rational manner over the shorter of the subscription term or the useful life of the underlying IT assets. The amortization of the subscription asset should be reported as an outflow of resources (for example, amortization expense), which may be combined with depreciation expense related to other capital assets for financial reporting purposes. Amortization should begin at the commencement of the subscription term.

This account is:

DEBITED	for accumulated amortization applicable to a subscription asset is disposed of.
CREDITED	either monthly or annually for decrease in subscription assets.

161 through 176 – Open (May be used for other Capital Assets, Including Infrastructure, as needed)

These accounts may be used for infrastructure capital assets, intangible assets, and other capital assets not previously classified. Appropriate descriptive account titles should be used for these items. See the Uniform Accounting Procedures Manual for County Road Commissions for additional guidance.

180 through 194 – Other Non-Current Assets

These accruals may be used for assets that are not easily convertible to cash or not expected to become cash within the next year.

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180 – Investments of Surplus Funds

This account is used to record the cost of long-term investments of surplus funds under 1943 PA 20 (for the government's assets) and 1965 PA 314 (for pension and OPEB trust fund assets). This includes government bonds, treasury bills, treasury notes, municipal bonds, stocks, mortgages, land purchased for investment purposes, etc. A long-term investment is an investment having a maturity date of more than one year from the date of purchase.

This account is:

DEBITED for the cost of the investments purchased.

CREDITED when the investments are sold or otherwise disposed of.

181 – Investment in Joint Venture

This account is used to record a local unit's equity in a joint venture, in instances where there is an explicit, measurable right to the net resources of a joint venture (GASB Statement 14, Paragraph 72).

This account is:

DEBITED for the original investment in the joint venture, and for any subsequent income from the joint venture.

CREDITED for any losses from the joint venture.

182 – Lease Assets (Right of Use)

This account is used to record lease assets for leases other than short-term leases and contracts that transfer ownership defined by GASB 87. At the commencement of the lease term, a lessee should recognize a lease liability and an intangible right-to-use lease asset a lessee initially should measure the lease asset as the sum of the following:

- The amount of the initial measurement of the lease liability.
- Lease payments made to the lessor at or before the commencement of the lease term, less any lease incentives received from the lessor at or before the commencement of the lease term.
- Initial direct costs that are ancillary charges necessary to place the lease asset into service.

A lease asset should be amortized in a systematic and rational manner over the shorter of the lease term or the useful life of the underlying asset. The amortization of the lease asset should be reported as an outflow of resources (for example, amortization expense), which may be combined with depreciation expense related to other capital assets for financial reporting purposes. If a lease contains a purchase option that the lessee has determined is reasonably certain of being exercised, the lease asset should be amortized over the useful life of the underlying asset. In that circumstance, if the underlying asset is nondepreciable, such as land, the lease asset should not be amortized.

A lease asset generally should be adjusted if certain criteria changed. For detailed regulation, please refer to GASB 87 and GASB L20.127-131.

This account is:

DEBITED when lease assets need to be recognized

CREDITED when lease assets are amortized.

183 – Accumulated Amortization– Leases

This account is used to account for accumulated amortization for leases other than short-term leases such as account 182-Lease Assets and contracts that transfer ownership. A lease asset should be amortized in a systematic and rational manner over the shorter of the lease term or the useful life of the

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underlying asset. The amortization of the lease asset should be reported as an outflow of resources (for example, amortization expense), which may be combined with depreciation expense related to other capital assets for financial reporting purposes.

This account is:

DEBITED	for the amount of accumulated amortization applicable to a lease sold or otherwise disposed of.
CREDITED	either monthly or annually for the amount of decrease in lease assets.

187 – Long Term Contracts Receivable

This account is used to record that portion of a receivable from a contractual agreement which will not be realized within a one-year period.

This account is:

DEBITED	with amounts due on long-term contracts.
CREDITED	with amounts received or written off.

188 - Derivative Contracts

This account is used to record the fair market value of any derivatives contracts, in accordance with GASB Statement 53.

This account is:

DEBITED	when the fair value of the derivative is positive (i.e., the present value of the expected future inflows exceeds the present value of the expected future outflows), or the fair value has increased from its last measurement.
CREDITED	when the fair value of the derivative is negative (i.e., the present value of the expected future outflows exceeds the present value of the expected future inflows), or the fair value has decreased from its last measurement.

189 - Leases Receivable (Long-Term)

This account is used to record leases receivable for leases other than short-term leases and contracts that transfer ownership defined by GASB 87. At the commencement of the lease term, a lessor should recognize a lease receivable and a deferred inflow of resources. Any initial direct costs incurred by the lessor should be reported as outflows of resources (for example, expense) for the period. A lessor initially should measure the lease receivable at the present value of lease payments expected to be received during the lease term, reduced by any provision for estimated uncollectible amounts.

Measurement of the lease receivable should include the following, if required by a lease:

- a) Fixed payments
- b) Variable payments that depend on an index or a rate (such as the Consumer Price Index or a market interest rate), initially measured using the index or rate as of the commencement of the lease term.
- c) Variable payments that are fixed in substance.
- d) Residual value guarantee payments that are fixed in substance.
- e) Any lease incentives payable to the lessee.

In subsequent financial reporting periods, the lessor should calculate the amortization of the discount on the lease receivable and report that amount as an inflow of resources (for example, interest revenue) for the period. Any payments received should be allocated first to the accrued interest receivable and then to the lease receivable. The lessor should remeasure the lease receivable at subsequent financial

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reporting dates if certain criteria changed. For detailed regulation, please refer to GASB 87 and GASB L20.141-149.

This account is:

DEBITED for the amount of leases receivable that need to be recognized.

CREDITED for amounts of leases receivable are amortized.

190 - Net Pension Asset

This account is used to record the excess of net position in a pension system to the total pension liability. It should be measured as the portion of the actuarial present value of projected payments that is attributable to past periods of employee service, net of the pension plan's fiduciary net position.

This account is:

DEBITED when the portion of the actuarial present value of projected payments that is attributable to past periods of employee service is less than net of the pension plan's fiduciary net position.

CREDITED when the portion of the actuarial present value of projected payments that is attributable to past periods of employee service is greater than net of the pension plan's fiduciary net position.

191 - Net OPEB Asset

The net OPEB Asset is computed as the difference between the actuarial present value of projected benefit payments attributed to past periods of employee service and the OPEB plan's fiduciary net position.

This account is:

DEBITED when actuarial present value of projected benefit payments attributed to past periods of employee service is less than the OPEB plan's fiduciary net position.

CREDITED when actuarial present value of projected benefit payments attributed to past periods of employee service is greater than the OPEB plan's fiduciary net position.

192 - Unamortized Discounts on Bonds Sold by the Local Unit

This account is used to record the excess of the face value of bonds over the amount received from the sale which remains to be amortized over the remaining life of the bonds.

This account is:

DEBITED for the total amount of discounts allowed on bonds sold for less than face value.

CREDITED for equal amounts charged to interest expense over the life of the bonds, and for any balance remaining if the bonds are redeemed before the stated maturity dates.

193 - Long-Term Advances to Other Funds

This account may be used to record advances to other funds within the local unit where such advances are not due within a year. Examples are advances to a County Drain Revolving Fund for preliminary expenses, advances to a County 100% Tax Payment Fund, advances to an internal service fund, etc. Sub-accounts must be used where several funds are involved. An off-setting liability must be recorded in the fund receiving the advance.

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This account is:

DEBITED for amounts advanced to other funds.
CREDITED for the repayment of any portion of such advances.

194 - Long-Term Advances to Other Units of Government

This account is used to record advances to other units of government where such advances are not due within a year. An example is an advance to a building authority. Sub-accounts must be used where several units are involved.

NOTE: Legal advice should always be obtained before advances or loans are made to another unit of government.

This account is:

DEBITED for the amounts advanced by the local unit to another unit.
CREDITED for the repayment of any portion of such advances.

195 - Deferred Outflows

This account should be used to record amounts that are specifically defined by the GASB as meeting the definition of Deferred Outflow by GASB Statement 63, GASB Statement 65, GASB Statement 87, or any subsequent amendments. In general, this account applies to the recognition of liabilities that neither meet the criteria for expense recognition nor result in an asset. You can Point off each individual deferral in a separate sub-account if needed. At this point, the types of deferrals specified for this category include:

- The deferral of a loss on the refunding of a bond issue (where the amount transferred to the escrow agent exceeds the carrying value of the refunded debt).
- For leases other than short-term leases and contracts that transfer ownership defined by GASB 87. (see below).

This account is:

DEBITED for an equal amount recorded in a liability account, which meets the definition of a deferred outflow.
CREDITED for amounts reclassified to expense, as the expense recognition requirements have been met.

This account may also be used to record deferred outflows of resources for leases other than short term leases and contracts that transfer ownership defined by GASB 87. If prior to the expiration of the lease term a change to the provisions of a lease results from a debt refunding by the lessor, including an advance refunding, in which the perceived economic advantages of the refunding are passed through to the lessee, the change should be accounted for as follows:

- a. If a change to the provisions of a lease results from a debt refunding by the lessor, including an advance refunding that results in a defeasance of debt, the lessee should adjust the lease liability to the present value of the future lease payments under the revised lease using the effective interest rate applicable to the revised lease contract. The resulting difference should be reported as a deferred outflow of resources or a deferred inflow of resources. The deferred outflow of resources or the deferred inflow of resources should be recognized as an adjustment to an outflow of resources (for example, as an increase or decrease to interest expense) in a systematic and rational manner over the remaining life of the old debt or the life of the new debt, whichever is shorter.

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This account is:

DEBITED for amounts recognized as deferred outflow of resources for leases.

CREDITED for amounts reclassified to outflow of resources accounts.

201 - Vouchers Payable

This account may be used to record liabilities for materials and services evidenced by vouchers which have been pre-audited and signed by the proper authority approving the liability.

This account is:

DEBITED upon payment of vouchers.

CREDITED for amounts approved for payment.

202 - Accounts Payable

This account is used to record amounts on open account owing to private persons, firms, corporations, or other organizations for goods and services received by the local unit. (Use account 214 for amounts due to other funds of the same governmental unit or accounts 221 through 230 for amounts due to other governmental units.)

This account is:

DEBITED upon payment of these accounts.

CREDITED for amount of accounts payable approved for payment.

203 – Drain Orders Payable

This account is used by a county Drain Fund to record the amount of drain orders payable during the current fiscal year. Drain orders payable in a subsequent year or years are recorded as a deferred inflow Account 363.

This account is:

DEBITED upon payment of any drain orders previously credited to this account.

CREDITED at the beginning of the fiscal year with the amount of all drain orders due during the year, and with the issuance of other drain orders which become due and payable during the current year.

205 – Judgments Payable

This account may be used to record amounts payable by the local unit as a result of a court decision, including condemnation awards and payment for private property taken for public use.

This account is:

DEBITED upon payment of any portion of the judgment, or with any amount of the judgment ordered set aside by a higher court.

CREDITED for the total amount of any judgment against the local unit.

206 – Annuities Payable

This account is normally used by a local unit's Retirement Fund to record amounts due and payable to retirees or their survivors.

This account is:

DEBITED upon payment of the annuities.

CREDITED when annuities become due and payable.

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207 – Notes Payable (Current)

This account is used to record the portion of tax anticipation notes or other notes to be paid by the local unit during the current year. A note payable is an unconditional written promise signed by the maker (authorized local unit officials) to pay a certain sum of money on demand or at a fixed or determinable time either to the bearer or to the order of a person designated therein. The long-term portion of notes payable should be recorded in Account 307 – Notes Payable.

This account is:

DEBITED for payments made on such notes.

CREDITED for the number of notes to be paid during the current year.

208 - Leases Payable (Current)

This account is used to record liabilities for short-term lease. GASB 87 indicates that a short-term lease is a lease that, at the commencement of the lease term, has a maximum possible term under the lease contract of 12 months (or less), including any options to extend, regardless of their probability of being exercised. For a lease that is cancelable by either the lessee or the lessor, such as a rolling month-to-month lease or a year-to-year lease, the maximum possible term is the noncancelable period, including any notice periods. The lessor should recognize a liability if payments are received in advance. The lessee should recognize a liability for rent due if payments are to be made subsequent to the reporting period.

This account is:

DEBITED when the lease payment is made or recognize lease inflows for the advanced lease payments.

CREDITED for the lease payment to be made or the advance lease payments received, or for the amount transferred from 304 Leases Payable (Non-Current).

209 – Subscription Liability (Current)

This account is used to record short-term Subscription-based Information Technology Arrangements (SBITA). A short-term SBITA is a SBITA that, at the commencement of the subscription term, has a maximum possible term under the SBITA contract of 12 months (or less), including any options to extend, regardless of their probability of being exercised. For periods where the government and the SBITA vendor have an option to terminate the SBITA without permission from the other party (or if both parties have to agree to extend) are cancellable periods and should be excluded from the maximum possible term. For a SBITA that has cancellable periods, such as a rolling month-to-month SBITA or a year-to-year SBITA, the maximum possible term of that SBITA is the noncancelable period, including any notice periods. The lessee should recognize a liability if payments are to be made subsequent to the reporting period.

This account is:

DEBITED when the subscription payment is made.

CREDITED for the subscription payment to be made or the advance subscription payments received, or for the amount transferred from 309 Subscription Liability (Non-Current).

211 - Contracts Payable - Retained Percentage

This account is used to record the amount due on construction contracts which have been completed but on which part of the liability has not been paid pending final inspection or the lapse of a specified time period, or both. The unpaid amount is usually a stated percentage of the contract price.

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This account is:

DEBITED upon payment of such amount to the contractor.

CREDITED for the amount of retained percentage provided for in the contract.

213 - Land Contracts Payable - Current Portion

This account may be used to record the portion of land contracts due and payable during the current fiscal year.

This account is:

DEBITED or payments made.

CREDITED for the number of contracts payable during the current year.

214 - Due to Other Funds

This account is used to record short-term amounts due to another fund within the local government unit reporting entity. An offsetting receivable must be recorded in account 084 - Due from Other Funds, in the fund to which the payments are due. (See account 314 - Advances from Other Funds, for long-term obligations).

This account is:

DEBITED for payment of such amounts.

CREDITED for amounts due to other funds of the local unit.

221 - Due to Cities

This account is used to record amounts due to cities. Sub-accounts should be maintained for each individual city. A city should use account 214 - Due to Other Funds, to record amounts due to other funds within the same city.

This account is:

DEBITED for payments on amounts owed.

CREDITED for amounts owed to any city as debt is incurred.

222 - Due to Counties

This account is used to record amounts due to counties. Sub-accounts should be maintained for each individual county. A county should use account 214 - Due to Other Funds, to record amounts due to other funds within the same county.

This account is:

DEBITED for payments on amounts owed.

CREDITED for amounts owed to any county.

223 - Due to Libraries

This account is used to record amounts owed by a local unit to a public library. A local unit should use account 214 - Due to Other Funds, to record amounts due to its own Library Fund.

This account is:

DEBITED for payments on amounts owed.

CREDITED for amounts owed to libraries.

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224 – Due to Road Commissions

This account may be used to record amounts due to a county road commission for road construction, repair, or for other services rendered to the local unit by the county road commission.

This account is:

DEBITED for payment of amounts owed.

CREDITED for amounts owed to a road commission.

225 – Due to Schools

This account is used to record taxes collected by the local unit for schools within its area, amounts due the schools within its area, amounts due the schools for services rendered, or for materials purchased, etc. Sub-accounts should be maintained (see account 234 – Due to Intermediate School Districts).

This account is:

DEBITED for payment to schools of amounts owed.

CREDITED for amounts owed to any school.

226 – Due to Townships

This account is used to record amounts owed to townships for township taxes collected, services rendered by the townships, etc. Sub-accounts should be maintained for each individual township. A township should use account 214 – Due to Other Funds, to record amounts due to other funds within the same township.

This account is:

DEBITED for payments to townships of amounts owed.

CREDITED for amounts owed to townships.

227 - Due to Villages

This account is used to record amounts owed to villages for village taxes collected, services rendered by villages, etc. Sub-accounts should be maintained for each individual village. A village should use account 214 - Due to Other Funds, to record amounts due to other funds within the same village.

This account is:

DEBITED for payment to villages of amounts owed.

CREDITED for amounts owed to villages.

228 - Due to State of Michigan

This account is used to record amounts collected for and owed to the State of Michigan by a local unit of government. Detailed sub-accounts for the various statutory collections and remittances to the state must be maintained.

This account is:

DEBITED for all payments to the State of Michigan.

CREDITED for all amounts owed to the State of Michigan.

If additional sub-accounts are needed, please contact the Michigan Department of Treasury, Local Audit and Finance Division, P.O. Box 30728, Lansing, Michigan 48909-8228, or phone 517-335-7469.

The Michigan Department of Treasury's Receipts Processing Section requires all payments to be accompanied with the applicable form or remittance advice. Payments made without a Treasury form or remittance advice should include a detailed explanation of why the payment is being made.

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The following sub-account numbers must be used:	
01	State Education Tax (SET) (1993 PA 331) MCL 211.901
02	State Income Tax Withheld, Act 38 of 2011, MCL 206.703 and MCL 206.711
03	Open
04	Probate Judges' Salary Deduction
05	Notary Education and Training Fund, 2003 PA 238, MCL 55.273
06	Probate Court Shared Fees, MCL 600.877
07	Michigan Judges' Retirement (Entry Fee) MCL 600.880, 600.2529, 600.5756, 600.8371, 600.8381 and 600.8420. NOTE: You have the option to establish subsidiary accounts for separate accounting by circuit, district and probate courts for the amounts deposited by each court and subsequent payments for the State. See forms 295 and 57
08	Legislative Retirement (Share of Entry Fee) MCL 600.2529
09	Community Dispute Resolution Fund MCL 600.2529, 600.5756, 600.8371 and 600.8420
10	Court Equity Fund (State Cost) MCL 600.8381
11	Highway Safety Fund MCL 257.629e 712A.2 \$5.00
12	Inheritance Tax MCL 205.203
13	State Tax-Expense of Sale, MCL 211.59
14	State Institution MCL 14.131 and 205.13
15	Plat Fees, MCL 560.241
16	Pistol Permits, MCL 28.425b
17	Secret Marriages, MCL 551.202 and Delayed Births and Adoptions, MCL 333.2891
18	State Trunk Line Maintenance (MDOT Contracts)
19	Michigan Department of Transportation - Other Services
20	State Conservation Costs (Game and Fish), Fees and Liquidation Damages MCL 324.1609, MCL 324.40119, and MCL 324.48740
21	Circuit Court Commencement Fees, MCL 600.2529 (State's share of fees for various state funds)
22	Federal Surplus Property, 1961 PA 139, MCL 18.257
23	Sales Tax, MCL 205.52 and MCL 205.56
24	Boat Livery Tags, 1995 PA 57, MCL 324.44518
25	Late Filing Fees--Election Campaign Act, MCL 169.201 <i>et seq.</i>
26	Civil Fines (PA 58 of 1998) MCL 436.1703 (50% of underage civil liquor violation fine)
27	Unemployment Compensation, 1936 PA 1, Extra Session, MCL 421.13
28	Circuit Court Family Division Ordered Payments (State's share of Childcare Fund reimbursements, 1982 PA 398, MCL 712a.18(2) – this will be amended effective 10/1/21 (In the County Road Accounting Manual - MDOT - Contracted Projects)
29	DHS Maintenance of Effort, 1939 PA 280, MCL 400.109
30	Driver's License Reinstatement Fee, MCL 257.321a
31	Motor Fuel Taxes, 1959 PA 15, MCL 205.41
32	Driver's License Clearance Fee, MCL 257.321a
33	State License Fee (Health--PA 92 of 2000) MCL 289.3119 and MCL 289.4111
34	Fire Hazard and Prevention-Civil Fine, MCL 29.22
35	Open
36	Community Mental Health Fees--State Grant Money MCL 330.1226a
The following sub-account numbers must be used:	
37	Crime Victim Rights Fund, 1989 PA 196, MCL 780.905
38	Children's Trust Fund, MCL 408.685

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39	Probation Oversight Fees, 1989 PA 184, MCL 771.3c
40	State Survey and Remonumentation Fund, 1990 PA 346, MCL 600.2567a
41	Secondary Road Patrol and Training Fund (PA 163 of 1991) MCL 257.629e, 712A.2 \$10.00
42	State Court Fund, 1961 PA 236, MCL 600.151a, MCL 600.880, MCL 600.880a, MCL 880b, MCL 600.2529, MCL 600.2538, MCL 600.8420, MCL 600.8371, MCL 600.5756
43	Filiation Fee (PA 146 of 1993) MCL 722.717(8)
44	State Real Estate Transfer Tax, 1993 PA 330, MCL 207.521 to MCL 207.537
45	Forensic Fee (PA 35 of 1994) MCL 12.206
46	Trailer Coach Park Specific Tax, 1994 PA 365, MCL 125.1042
47	Convicted Drunk Driver Assessment, 1998 PA 345, MCL 769.1f - Due State Police
48	Convicted Drunk Driver Assessment, 1998 PA 345, MCL 769.1f - Due State DNR
49	Jail Reimbursement Program Fund-Civil Infraction MCL 769.35 \$5.00
50	Organized Retail Crime Act Reimbursement, 2012 PA 455, MCL 752.1084(4) – Due to State Police
51	Title Search Fee-Delinquent Property Tax Foreclosure, 1999 PA 123, MCL 211.78g (1)
52	DNR Inspection Fee-Delinquent Property Tax Foreclosure, 1999 PA 123
53	Publication/Notice Fee Associated with Forfeited Parcels
54	Open
55	DNA Assessment Due to State Police, MCL 28.176
56	Judicial Electronic Filing Fund, MCL 600.176
57	Juror Compensation Reimbursement Fund, MCL 600.8371
58	Civil Filing Fee Fund, MCL 600.171. This fund is required by 2003 PA 138. Use this account to make all deposits to the State of Michigan as defined in the act and the revised fee schedule issued by the State Court Administrator's Office.
59	Justice System Fund, MCL 600.181. This fund is required by 2003 PA 97. Use this account to make all deposits to the State of Michigan as defined in the act and the revised fee schedule issued by the State Court Administrator's Office.
60	Attorney General Operations Fund, MCL 600.2538 (4). This fund is required by 2003 PA 138 and used to account for deposits to the fund from the Friend of the Court (FOC) payments of support and maintenance fees. This amount represents \$.25 of the total \$3.50 monthly support payment collected by the FOC on each case.
61	Local Correction Officer's Training Fund, 2003 PA 124, MCL 801.4b
62	Homestead Property Tax Interest, 2003 PA 105
63	Sex Offender Registration Fund, 2004 PA 237, <i>Treasury Numbered Letter 2005-1</i>
64	Live Scan Finger Printing – Due to State Police
65	Abandoned Vehicle Fee
66	Driver License Clearance Fee, 2009 PA 194, MCL 257.321c - Due to Secretary of State
67	Open
68	Unemployment Lien Recording Fee
69	Open
70	Open
71	Local Indigent Defense Contribution/Reimbursement
72	Indigent Defense

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229 - Due to Federal Government

This account is used to record amounts collected for or owed to the federal government by the local unit. Detailed sub-accounts must be maintained, and the following sub-account numbers should be used:

- .01 - Federal Income Taxes Withheld
- .02 - Social Security Taxes
- .03 - Medicare Taxes

Additional sub-account numbers and titles may be assigned by local units as needed.

This account is:

DEBITED for all payments made to the federal government.
CREDITED for all amounts owed to the federal government.

230 - Due to Other Units of Government

This account may be used to record amounts collected for or owed to other units of government. Sub-accounts should be used for each separate unit of government.

This account is:

DEBITED for all payments to such units.
CREDITED for amounts owed to other units of government.

231 - Payroll Deductions Payable

This account is used to record amounts withheld from employees (other than social security and income taxes) for payments to other agencies. Examples are health and life insurance premiums, credit union deductions, etc. Sub-accounts should be used for each separate deduction.

This account is:

DEBITED for payments to the proper agencies.
CREDITED for amounts withheld from employees pay.

232 - Due to Employees

This account may be used to record amounts due to employees of the local unit. Examples are underpayment of salaries, excessive payroll withholding, etc.

This account is:

DEBITED for payments to employees of the amounts owed.
CREDITED for amounts owed by the local unit to its employees.

233 - Due to Former Employees

This account may be used to record severance pay, vacation pay, and other benefits due but not paid when employment was terminated. This account may also be used in a local unit retirement fund to record amounts due to members of the retirement system who have resigned or left the system prior to retirement. Sub-accounts should be used to record amounts due to each former employee.

This account is:

DEBITED for payments to former employees of the amounts owed.
CREDITED for amounts due to former employees.

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234 - Due to Intermediate School Districts

This account may be used to record taxes or other amounts collected for or owed to an intermediate school district. Sub-accounts should be used for each individual district.

This account is:

DEBITED for payments to intermediate school districts.
CREDITED for amounts due to intermediate school districts.

235 - Due to Community College

This account may be used to record taxes or other amounts collected for or owed to a community college. Sub-accounts should be used for each individual college.

This account is:

DEBITED for payments to community colleges of amounts owed.
CREDITED for amounts due to community colleges.

236 – Due to Special Education

This account is normally used by counties to record tax collections for special education programs. The Intermediate School District normally administers the special education programs within a county. This account may also be used to record any other amounts collected for or owed to a special education program.

This account is:

DEBITED for payments to intermediate school districts for amounts owed.
CREDITED for amounts owed for special education programs.

250 – Bonds Payable – Current

This account may be used to record the amount of bonds maturing during the current fiscal year. Sub-accounts should be used to record amounts due for each series.

This account is:

DEBITED upon payment of such bonds at maturity.
CREDITED at the beginning of the year with the face value of bonds maturing during the year. Note that an equal amount must be deducted from long-term bonds payable recorded in account 300 – Bonds Payable.

251 – Accrued Interest Payable

This account is used to accrue bond interest due in the current fiscal year.

This account is:

DEBITED upon payment of such interest when due.
CREDITED at the end of the fiscal year for the amount of interest expense accrued during the fiscal year but not paid as of the end of the year.

255 – Customer Deposits and Interest Payable

This account is normally used in an Enterprise Fund to record the liability created when a customer is required to pay a deposit before receiving services. This is also used to record the liability for interest on customers' deposits in those cases where an enterprise or utility has agreed to pay interest on such deposits. Sub-accounts must be maintained showing account activity for each customer.

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This account is:

DEBITED	when repayments of deposits and accrued interest are made to customers, or with adjustments such as application to outstanding balances due.
CREDITED	for deposits and accrued interest due to customers.

257 – Accrued Wages Payable

This account is used to record wages earned by employees but not due until a later date.

This account is:

DEBITED	upon payment or by reversing the entry.
CREDITED	for amounts of salaries and wages earned but not paid as of the end of an accounting period.

258 – Accrued Taxes Payable (Includes Payroll Taxes)

This account may be used to record the local unit's liability for taxes incurred but not due until a later date. An example is the local unit's matching portion of social security on an accrued payroll.

This account is:

DEBITED	upon payment or by reversing the entry.
CREDITED	monthly, or at the end of the fiscal year for amounts of accrued taxes.

260 – Accrued Vacation Payable

This account is used to record the liabilities for unused vacation.

In proprietary funds this account is:

DEBITED	upon payment of wages related to vacations.
CREDITED	as vacation is earned.

In governmental funds this account is:

DEBITED	upon payment of wages related to vacations.
CREDITED	with an estimate that can be determined using historical trends, budgeted amounts, and internal policies of the government. This estimate should agree with the current portion of compensated absences in the government-wide Statement of Net Position.

GASB Statement 34 requires local governments to report and disclose the portion of compensated absences that "is due within one year of the statement date." Compensated absences liabilities become due upon the occurrence of events such as resignations, retirements, and use of leave balances by employees. Because these occurrences and related dollar amounts generally cannot be determined reliably in advance, the portion of compensated absences due within one year should be estimated.

The compensated absence liability should include any salary-related payments for the employer share of Social Security and Medicare taxes and may include the employer's share of 401K/457 contributions.

NOTE: The local unit's liability for all compensated absences is required to be reported and disclosed, including the liability for personal leave, compensatory time, etc. Open account numbers may be assigned account names for each type of leave, or account 260 may be titled Compensated Absences Payable and used to record the liability for all the different kinds of leave.

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261 – Accrued Sick Leave Payable

In proprietary funds and in the government-wide financial statements, this account is used to record the accrued liability for sick leave (calculated in accordance with GASB Statement 101), on the accrual basis of accounting. “A liability should be accrued if: “The leave is attributable to services already rendered, the leave accumulates, and the leave is more likely than not to be used for time off or otherwise paid in cash or settled in noncash means” (GASB 101, ¶19).

Therefore, an accrual for earned sick leave should be made as sick leave is earned and made available to the employee, if it is more likely than not the benefit will be used by the employee. For example, a governmental entity could recognize whether sick leave would be more likely than not to be used if: it is expected the employee will use the leave for absences due to illness or other contingencies, such as medical appointments or as payment made at termination. Generally, a separate assessment should be made of amounts used for leave and amounts paid out at termination.

The compensated absence liability should include any salary-related payments for the employer share of Social Security and Medicare taxes and may include the employer’s share of 401K/457 contributions.

Note: Leave that is more likely than not to be settled through conversion to defined benefit postemployment benefits should not be recognized as a liability for compensated absences (GASB 101, ¶13).

This account is:

DEBITED	upon payment of wages related to sick leave.
CREDITED	when it is probable that the employer will compensate the employees for the benefits through cash payments conditioned on the employees’ termination or retirement.

265 – Bonds Payable (Cash Bonds, Appearance Bonds)

This account is used to record collections of cash bonds such as appearance bonds and bail bonds, the subsequent repayment of these bonds upon court order to the proper party or to the General Fund upon forfeiture. A detailed ledger must be maintained to record the receipt and disbursement of each bond.

This account is:

DEBITED	upon repayment of the bond or transferred to the General Fund upon forfeiture.
CREDITED	for all cash bonds received.

266 – Court Orders Payable

This account is used to record amounts received by the local unit, in accordance with a court order, for subsequent payment to recipients specified in the court order. A detailed ledger must be maintained showing the account activity for each case or court order.

This account is:

DEBITED	upon payment to the recipients specified in the court order.
CREDITED	for all court ordered amounts received.

267 – Due to Court Wards

This account is used to record all amounts collected for or otherwise due to individuals who are wards of the court. A detailed ledger must be maintained showing the account activity for each court ward.

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This account is:

DEBITED upon payment to court wards of amounts due.

CREDITED for all amounts collected for court wards and for any other amounts due to court wards.

268 – Unclaimed Money

This account is used to record unclaimed money in the possession of the local unit such as outstanding or unclaimed payroll checks and other checks, unclaimed meter deposits, other unclaimed trust, and agency money, etc. Unclaimed money must be reported to the State Treasurer annually. Unclaimed money is considered to be abandoned:

If there has been no owner-generated activity in the account for a specific amount of time as identified in the list of dormancy periods that can be found on treasury's unclaimed property website at www.michigan.gov/unclaimedproperty, and attempts to contact the owner fail. If these attempts are unsuccessful, the money is turned over to the State Treasurer where the owner or the owner's heirs may claim it.

The due date for the annual unclaimed property report (holder report) is July 1 for property reaching its dormancy period as of March 31.

This account is:

DEBITED for any amounts claimed by and paid to rightful owners and for any amounts paid to the state.

CREDITED for all amounts determined to be unclaimed.

269 – Garnishments Payable

This account is used to record amounts received or held by the local unit as a result of the garnishment of wages. These amounts are subsequently paid to parties specified in the garnishment order.

This account is:

DEBITED for payments to proper parties.

CREDITED for amounts of wage garnishments received or withheld from employees.

270 – Patients or Inmates Trust Money Payable

This account is used to record personal money being held for patients or inmates while they are lodged in a local unit facility (medical care facility, hospital, jail, etc.). Sub-accounts must be maintained showing account activity for each individual.

This account is:

DEBITED for payments made to, or on behalf of, such patients or inmates.

CREDITED for amounts received from, or on behalf of, patients or inmates.

271 – Restitutions Payable

This account is used to record amounts received by the local unit, usually in accordance with court orders, which are to be subsequently paid to injured parties as restitution as directed by the court orders. Subsidiary records must be maintained showing account activity for each case.

This account is:

DEBITED for payments to designated parties.

CREDITED for all restitution payments received.

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273 – Undistributed Receipts

This account may be used to record collections of money for which the proper account is not immediately identifiable. Examples are money received from the state or federal government which is to be distributed to other funds or other units at a later date. Cash disbursements are not to be made from this account. When the proper distribution is determined, amounts must be transferred from this account to the proper account(s).

This account is:

DEBITED upon reclassification to the proper account(s).
CREDITED upon the receipt of money, as described above.

274 – Undistributed Tax Collections

This account may be used as a holding account for various tax collections before analysis and distribution. Cash disbursements are not to be made from this account. When the proper distribution is determined, the amounts must be reclassified from this account to the proper liability account(s) from which disbursements are made.

This account is:

DEBITED upon reclassification to the proper liability account(s).
CREDITED upon the receipt of taxes for which distribution will be determined later.

275 – Due to Taxpayers (Tax Overpayments and Duplicate Payments)

This account is used to record amounts to be returned to persons or firms which overpaid their taxes.

This account is:

DEBITED upon the return or refund of such overpayments.
CREDITED with amounts of tax overpayments.

276 – Receipts Refundable

This account is used to record amounts to be returned to persons or firms that have made overpayments or duplicate payments, other than taxes, to the local unit. Use account 275 – Due to Taxpayers (Tax Overpayments and Duplicate Payments), for overpayments and duplicate payments of taxes.

This account is:

DEBITED upon return of the overpayments.
CREDITED for amounts of overpayments or duplicate payments received, as described above.

283 – Performance Deposits Payable

This account is used to record money deposited with the local unit by contractors, other firms, or individuals to guarantee the performance of a certain act or acts. Subsidiary records must be maintained showing account activity for each depositor.

This account is:

DEBITED for the return or other authorized use of such deposits.
CREDITED for the receipt of deposits described above.

286 – Due to Fiscal Agent

This account may be used to record amounts due to fiscal agents such as banks for servicing the local unit's maturing debt principal and interest payments.

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This account is:

DEBITED for payments to such fiscal agents.
CREDITED for amounts due but not paid to fiscal agents.

289 – Unamortized Premiums on Bonds Sold

This account is used to record the excess of proceeds received from the sale of bonds over and above the par value, which remains to be amortized over the remaining life of such bonds (this amount does not include accrued interest to the date of sale).

This account is:

DEBITED for the amount of the interest expense recognized over the life of the bonds, and with any balance remaining if bonds are redeemed before the stated maturity dates.
CREDITED upon receipt of the bond premiums, as described above.

300 – Bonds Payable

This account is used to record the face value of all long-term bonds which are issued and unpaid.

NOTE: That bonds maturing during the current fiscal year should be recorded in account 250 – Bonds Payable (Current). Sub-accounts must be maintained showing account activity for each bond issue.

This account is:

DEBITED for the amount of bonds retired or transferred to account 250 – Bonds Payable – Current.
CREDITED for the face amount of bonds issued.

304 – Leases Payable (Non-Current)

This account is used to record leases payable for leases other than short-term leases and contracts that transfer ownership defined by GASB 87. At the commencement of the lease term, a lessee should recognize a lease liability and an intangible right-to-use lease asset. A lessee initially should measure the lease liability at the present value of payments expected to be made during the lease term.

Measurement of the lease liability should include the following, if required by a lease:

- a) Fixed payments
- b) Variable payments that depend on an index or a rate (such as the Consumer Price Index or a market interest rate), initially measured using the index or rate as of the commencement of the lease term.
- c) Variable payments that are fixed in substance.
- d) Amounts that are reasonably certain of being required to be paid by the lessee under residual value guarantees.
- e) The exercise price of a purchase option if it is reasonably certain that the lessee will exercise that option.
- f) Payments for penalties for terminating the lease, if the lease term reflects the lessee exercising (1) an option to terminate the lease or (2) a fiscal funding or cancellation clause.
- g) Any lease incentives receivable from the lessor
- h) Any other payments that are reasonably certain of being required based on an assessment of all relevant factors.

In subsequent financial reporting periods, the lessee should calculate the amortization of the discount on the lease liability and report that amount as an outflow of resources (for example, interest expense) for the lease. Any payments made should be allocated first to the accrued interest liability and then to the lease liability.

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The lessee should remeasure the lease liability at subsequent financial reporting dates if certain criteria changed. For detailed regulation, please refer to GASB 87 and GASB L20.117-126.

This account is:

DEBITED as lease payments are made or for amounts transferred to account 208 – Leases Payable (Current).
CREDITED for the amount of long-term lease payments.

307 - Notes Payable

This account is used to record all notes of a long-term nature (over one year) owed by the local unit. The current portion of notes payable may be recorded in account 207 - Notes Payable (Current). Detail for each issue of notes is required.

This account is:

DEBITED upon payment of such notes and for amounts transferred to account 207 – Notes Payable (Current).
CREDITED for the face amounts of long-term notes.

309 – Subscription Liability (Non-Current)

This account is used to record subscription liability for SBITA other than short-term SBITA. A local unit initially should measure the subscription liability at the present value of subscription payments expected to be made during the subscription term. Measurement of the subscription liability should include the following, if required by a SBITA:

- a. Fixed payments
- b. Variable payments that depend on an index or a rate (such as the Consumer Price Index or a market interest rate), measured using the index or rate as of the commencement of the subscription term
- c. Variable payments that are fixed in substance, as discussed in paragraph 17
- d. Payments for penalties for terminating the SBITA, if the subscription term reflects the government exercising (1) an option to terminate the SBITA or (2) a fiscal funding or cancellation clause
- e. Any subscription contract incentives receivable from the SBITA vendor
- f. Any other payments to the SBITA vendor associated with the SBITA contract that are reasonably certain of being required based on an assessment of all relevant factors.

As the government makes payments, they reduce the subscription liability and recognize interest expense. The subscription liability must be amortized using the interest method.

This account is:

DEBITED as subscription payments are made or for amounts transferred to account 209 – Subscription Payable (Current).
CREDITED for the amount of long-term subscription payments.

314 - Advances from Other Funds

This account is used to record amounts owed to other funds of the same local government reporting entity for amounts payable in years subsequent to the current year. Examples are long-term loans, advances for services to be performed in the future, and similar items.

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This account is:

DEBITED for all repayments of advances or other redemption of this long-term debt.
CREDITED upon the incurrence of a long-term obligation to another fund.

328 - Advances from State

This account may be used to record amounts owed by a local unit to the State of Michigan where such amounts are due in years subsequent to the current fiscal year. Detailed sub-accounts should be maintained if more than one advance is received.

This account is:

DEBITED for any subsequent decreases (repayments) of the advance amounts.
CREDITED for amounts of advances received and for any subsequent increases.

329 - Advances from Federal Government

This account may be used to record amounts owed by a local unit to the federal government where such amounts are due in years subsequent to the current fiscal year. Detailed sub-accounts should be maintained if more than one advance is received.

This account is:

DEBITED for any subsequent decreases (repayments) of the advance amounts.
CREDITED for amounts of advances received and for any subsequent increases.

330 - Advances from Local Units of Government

This account may be used to record amounts owed by a local unit of government to another local unit where such amounts are due in years subsequent to the current fiscal year. Account 314 - Advances from Other Funds, should be used by a local unit to record long-term obligations between its own funds.

This account is:

DEBITED for any subsequent decreases (repayments) of the advance amounts.
CREDITED for amounts of advances received and for any subsequent increases.

333 – Advances – Special Assessment Districts

This account may be used to record proceeds received from bond issues to finance primary and local road construction and improvements in special assessment districts, and advances or prepayments received from individuals and local units in these districts to finance this work. Subsidiary accounts must be maintained for this account.

This account is:

DEBITED as work on the district project progresses with offsets credited to revenue account
CREDITED for the amounts of bond proceeds and advances received.

334 – Net Pension Liability

This account will be used to record the shortfall of net position in a pension system to the total pension liability and should be measured as the portion of the actuarial present value of projected payments that is attributable to past periods of employee service, net of the pension plan's fiduciary net position.

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This account is:

DEBITED	when the portion of the actuarial present value of projected payments that is attributable to past periods of employee service is less than net of the pension plan's fiduciary net position.
CREDITED	when the portion of the actuarial present value of projected payments that is attributable to past periods of employee service is greater than net of the pension plan's fiduciary net position.

335 – Net OPEB Liability

This account is used to record the amount of a local government's Net Other Post-Employment Benefits (OPEB) Obligation, under GASB Statement 75. This account is found in the government-wide and proprietary fund financial statements.

This account is:

DEBITED	when actuarial present value of projected benefit payments attributed to past periods of employee service is less than the OPEB plan's fiduciary net position.
CREDITED	when actuarial present value of projected benefit payments attributed to past periods of employee service is greater than the OPEB plan's fiduciary net position.

339 – Unearned Revenues

This account should be used to record amounts for which asset recognition criteria have been met (such as cash that has been received, or amounts that are receivable), but for which it has not met the revenue recognition requirements and the deferral meets the definition of a liability. (Note that for certain specific situations where the deferral does not meet the definition of a liability, GASB Statement 65 requires the use of account 360, Deferred Inflows). Under the modified accrual basis of accounting, Unearned Revenue would include government-mandated or voluntary nonexchange revenue that is received before the eligibility requirements are met (excluding time requirements – those with only time requirements are to be reported as deferred inflows). It would also include exchange or exchange-like revenues for which the services or goods have not yet been exchanged. This account should be pointed off for individual types of revenue such as recreation programs, advance grant programs, etc.

This account is:

DEBITED	for amounts reclassified to revenue accounts, as the exchange takes place, or as the eligibility requirements have been met.
CREDITED	for an equal amount recorded in cash or a receivable account by a local unit which meets the definition of a liability.

343 – Accrued Vacation and Sick Leave Payable

This account is used in the government-wide financial statements to record the dollar value of the employees accrued vacation and sick leave as of the last day of the fiscal year (calculated in accordance with GASB Statement 16), less the amount recorded as a current year liability in account 260 – Accrued Vacation Payable, and account 261 – Accrued Sick Leave Payable.

This account is:

DEBITED	for the difference if the amount calculated at year-end is less.
CREDITED	at the end of the current fiscal year for the difference between the amount recorded in the account from the previous year and the amount calculated at the end of the current fiscal year if the ending amount is greater.

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360 – Deferred Inflows

This account should be used to record amounts that are specifically defined by the GASB as meeting the definition of Deferred Inflow by GASB 63, GASB 65, or any subsequent amendments. In general, this account applies to assets (cash or receivables) that do not meet the criteria for revenue recognition, and that also do not meet the definition of a liability. You can point off each individual deferral in a separate sub-account if needed.

At this point, the types of deferrals specified for this category include:

- any modified accrual funds that need to defer revenue solely because it is not available (not collected within their period of availability, generally 30-60 days).
- property taxes or other imposed nonexchange revenue that are receivable (or received) before the period the resources may be used.
- government-mandated or voluntary nonexchange revenue that is awaiting only their time requirements before revenue recognition is appropriate; and
- sale of future revenues.
- deferred inflows of resources for leases other than short-term leases and contracts that transfer ownership defined by GASB 87 (see below),

This account should be pointed off for individual types of revenue such as property taxes, special assessments, etc.

This account is:

DEBITED	for amounts reclassified to revenue accounts, as the revenue recognition requirements have been met.
CREDITED	for an equal amount recorded in cash or a receivable account by a local unit which meets the definition of a deferred inflow.

- a) This account may also be used to record deferred inflows of resources for leases other than short-term leases and contracts that transfer ownership defined by GASB 87. At the commencement of the lease term, a lessor should recognize a lease receivable and a deferred inflow of resources. A lessor initially should measure the deferred inflow of resources as follows:
The amount of the initial measurement of the lease receivable.
- b) Lease payments received from the lessee at or before the commencement of the lease term that relate to future periods (for example, the final month's rent), less any lease paid to, or on behalf of, the lessee at or before the commencement of the lease term.

A lessor subsequently should recognize the deferred inflow of resources as inflows of resources (for example, revenue) in a systematic and rational manner over the term of the lease. The deferred inflow of resources generally should be adjusted by the same amount as any change resulting from the remeasurement of the lease receivable. For detailed regulation, please refer to GASB 87 and GASB Codification Section L20.

This account is:

DEBITED	for amounts reclassified to inflow of resources accounts.
CREDITED	for amounts recognized as deferred inflow of resources for leases.

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363 –Drain Orders – Deferred

This account is used only in the Drain Fund of counties and its balance reflects drain orders payable for years subsequent to the current fiscal year. A detailed subsidiary ledger should be maintained showing liability by year for each drain order.

This account is:

DEBITED at the beginning of each year for the amount of drain orders becoming due during the current year. Note that the amount due within one year is credited to account 203 – Drain Orders Payable.

This account is:

DEBITED for the amounts decreased in this account.

CREDITED for the amount of all drain orders issued which become due and payable in years subsequent to the current fiscal year.

370 through 374 – Non-spendable Fund Balance

These accounts are used in governmental funds to record the portion of fund balance that is not in spendable form (that is, the portion that results from assets that are not spendable – prepaids, inventory, long-term advances to other funds, or other receivables whose collection is not likely in the next year).

These accounts are:

DEBITED to record the decrease in the account.

CREDITED to record the increase in the account.

375 through 379 – Restricted Fund Balance

These accounts are used in governmental funds to record the portion of fund balance that is legally restricted as to the purposes for which it may be used. Often a fund's entire fund balance will be restricted, but sometimes, such as in the General Fund, only a portion will be restricted. These accounts should be pointed off with individual restrictions into separate sub-accounts.

These accounts are:

DEBITED to record the decrease in the account.

CREDITED to record the increase in the account.

380 through 384 – Committed Fund Balance

These accounts are used in governmental funds to record the portion of fund balance that is constrained by formal actions of the local unit's highest level of decision-making authority as to the purposes for which it may be used. Sometimes a fund's entire fund balance will be committed, but more often only a portion will be committed, so this may take additional analysis. These accounts should be pointed off with individual commitments into separate sub-accounts.

These accounts are:

DEBITED to record the decrease in the account.

CREDITED to record the increase in the account.

385 through 389 – Assigned Fund Balance

These accounts are used in governmental funds to record the portion of fund balance that is constrained by the government's intent to be used for specific purposes (but are neither restricted nor committed). Sometimes a fund's entire fund balance will be assigned, but more often only a portion will be, so this

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may take additional analysis. These accounts should be pointed off with individual assignments into separate sub-accounts.

These accounts are:

DEBITED to record the decrease in the account.

CREDITED to record the increase in the account.

390 – Unassigned Fund Balance

Unassigned fund balance is the residual classification for the general fund. This classification represents fund balance that has not been assigned to other funds and that has not been restricted, committed, or assigned to specific purposes within the general fund. The general fund should be the only fund that reports a positive unassigned fund balance amount. In other governmental funds, if expenditures incurred for specific purposes exceeded the amounts restricted, committed, or assigned to those purposes, it may be necessary to report a negative unassigned fund balance [GASBS 54, ¶17].

These accounts are:

DEBITED to record the decrease in the account.

CREDITED to record the increase in the account.

391 - Net Position (Net) Invested in Capital Assets

This account is used to record the net equity in capital assets of the local unit. It represents the component of the difference between assets and liabilities of proprietary funds that consists of capital assets less both accumulated depreciation and the outstanding balance of debt (e.g., bonds, mortgages, notes) that is directly attributable to the acquisition, construction, or improvement of those assets.

This account is:

DEBITED with the recorded value of capital assets sold or otherwise disposed of.

CREDITED at year end or monthly with the cost of capital assets acquired during the year.

392 through 398 - Net Position, Restricted

This account is used in a proprietary fund to record the component of the difference between assets and liabilities that consists of assets with constraints placed on their use by either external parties (e.g., creditors or grantors) or through constitutional provisions or enabling legislation.

This account is:

DEBITED with any reductions of restricted net position.

CREDITED with the required amount of restricted net position.

399 - Net Position, Unrestricted

This account is used to record the accumulated earnings of the fund which are not designated for a specific purpose or purposes. It represents the difference between the assets and liabilities that is not reported as net position, invested in capital assets, net of related debt or restricted net position.

This account is:

DEBITED at the end of the year, with excess of expenses over for the fiscal period, or with any appropriation from unrestricted net position to a specified reserve account.

CREDITED at year end, with the excess of revenues over expenses for the fiscal year.

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Revenue and Other Financing Source Accounts

Revenues represent net increases in governmental fund type current assets from other than expenditure refund, operating transfers-in and proceeds from the sale of bonds. Revenue is recognized in governmental funds when it becomes both measurable and available to finance expenditures of the fiscal period. Revenue Accounts 401 through 699 are included in this category.

It is recommended that the local units assign detail numbers to the various types of revenue that are received. The account numbers must be assigned by source as outlined in the revenue account number index. Revenue must be budgeted by source in accordance with the source groups indicated in this manual.:

400 - Revenue (Control)

This is a control account which must appear in the general ledger of each fund of local units in which revenues are reported. Its balance must at all times equal the combined total of Revenue Accounts 401 through 699.

This account is:

DEBITED	for any decrease and this account number is closed to fund balance or another surplus account.
CREDITED	for total revenues received by a fund.

401 - Taxes (Sub-Control)

Taxes are reported as GENERAL REVENUE on the government-wide statement of activities. The use of this account number is mandatory as a control account for various tax revenues. Its balance must be at all times equal to the combined totals of revenue accounts 402 through 449. This account number is a source control for revenue used for financial reporting purposes. It is also available for use in fiduciary activities. Taxes collected on behalf of another local unit should be recorded within the account that most appropriately describes the collection.

This account is:

DEBITED	for with any decrease and when the account number is closed to fund balance or another surplus account.
CREDITED	for the amount of total revenue reported in account numbers 402 through 449.

402 through 449

Most local units will use more than the control account for taxes. It is recommended that detail accounts be maintained. Revenue accounts 402-449 may be used for taxes such as Property Taxes, Delinquent Property Taxes, Payment in Lieu of Tax, Income Tax, etc. When detail tax accounts are used, the detailed account numbers provided in the Table of Accounts in this manual should be used. These Account Numbers are used for compiling data statewide. Some payments from the state for certain types of property tax adjustment will be coded with these Account Numbers. It should also be noted that Account Number 427 is intended to be used for a community-wide special assessment (such as 1951 PA 33, assessment for police and fire protection). In instances where every property owner in the local unit is paying the assessment, it takes on the characteristics of a tax and should be reported as such. GASB Statement 34, Paragraph 47(c) requires such an assessment to be reported as General Revenue and reporting it as a tax will do so (whereas special assessments are always reported as Program Revenue).

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450 – Special Assessments (Sub-Control)

Special assessments are reported as PROGRAM REVENUE on the government-wide statement of activities. Operating special assessments which are levied much like a tax for governmental services (such as police and fire levies) are reported as GENERAL REVENUE on the statement of activities. Operating special assessments to provide services to recipients (such as street lighting and rubbish collection) are PROGRAM REVENUE on the statement of activities. This Account Number is used as a control account for the special assessment revenues. Its balance must be at all times equal to the combined totals of Revenue Accounts 451 through 474. This Account Number is a source control for revenue used for financial reporting purposes.

This account is:

DEBITED	for with any decrease and when the Account Number is closed to fund balance or another surplus account.
CREDITED	for the amount of total revenue reported in Account Numbers 451 through 474.

451 through 474

The local unit should assign special assessments to Account Numbers 451 through 474. They may be used for individual special assessments (both service type assessments and capital type assessments).

475 - Licenses and Permits (Sub-Control)

Licenses and Permits are reported as PROGRAM REVENUE – this is a general revenue on the government-wide statement of activities. This Account Number is used as a control account for license and permit fees collected by local units. The balance in this account must at all times equal the combined totals of Account Numbers 476 through 500 (when these accounts are used to designate specific licenses and permits). This Account Number is a source control for revenue used for financial statement reporting purposes.

This account is:

DEBITED	for any decrease and when this Account Number is closed to fund balance or another surplus account.
CREDITED	for all business and non-business license and permit fees collected by the local unit.

476 through 500

Revenue accounts 476-489 may be used for business licenses and permits such as Alcoholic Beverages, Health, Police, Public Utilities, Professional and Occupational, Amusements, Cable TV, etc. Revenue accounts 490-498 may be used for non-business licenses and permits such as Building Permits, Marriage Licenses, Sidewalk Permits, etc.

501 - Federal Grants (Sub-Control)

Program specific grants and contributions (operating and capital) are reported as PROGRAM REVENUE on the government-wide statement of activities. Multi-purpose grants that do not provide for specific identification of the programs and amounts should be reported as GENERAL REVENUE on the government-wide statement of activities. This Account Number should be used as a control account for federal grants received by the unit. Each type of federal grant should be recorded in a separate revenue account number as indicated in this Chart of Accounts. Open accounts are also available for local units to record other federal grants that are not indicated specifically in this Chart of Accounts. The balance in this account must at all times equal the combined totals of Account Numbers 502 through 538 if

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detailed accounts are used. This Account Number is a source control for revenue used for financial statement reporting purposes.

This account is:

DEBITED for any decrease and when the Account Number is closed to fund balance or another surplus account.

CREDITED for all federal grants received by a local unit.

539 - State Grants (Sub-Control)

Program specific grants and contributions (operating and capital) are reported as PROGRAM REVENUE on the government-wide statement of activities. Multi-purpose grants that do not provide for specific identification of the programs and amounts should be reported as GENERAL REVENUE on the government-wide statement of activities (i.e., State Revenue Sharing). This Account Number should be used as a control account for state grants received by the local unit. Each type of grant should be recorded in separate revenue account number as indicated in this Chart of Accounts. Open accounts are also available for local units to record other state grants that are not indicated specifically in this Chart of Accounts. The balance in this account must at all times equal the combined totals of Account Numbers 540 through 579, if detailed accounts are used. This Account Number is a source control for revenue used for financial statement reporting purposes.

This account is:

DEBITED for any decrease and when the Account Number is closed to fund balance or another surplus account.

CREDITED for all state grants received by a local unit.

580 – Local Unit Contributions (Sub-Control)

Contributions from Local Units are reported as PROGRAM REVENUE on the government-wide statement of activities. This Account should be used as a control account for contributions from other local units received by the local unit. The local unit may record all of its contribution in this one account or may record them separately if they wish. The balance in this account must at all times equal the combined totals of Account Numbers 581 through 599 if detailed accounts are used. This Account Number is a source control for revenue used for financial statement reporting purposes.

581 through 599

The local unit should assign Account Numbers 581 through 596 for various contributions from other local units. These revenues will primarily be found in authorities and joint operations where more than one local unit contributes to the operations of an agency. Examples include Joint Fire Authorities, Transit Authorities, District Health, and Mental Health agencies, etc.

This account is:

DEBITED for any decrease and when the Account Number is closed to fund balance or another surplus account.

CREDITED for all local unit contributions received by a local unit.

600 - Charges for Services (Sub-Control)

Charges for Services are reported as PROGRAM REVENUE on the government-wide statement of activities. This Account Number should be used as a control account for charges for services provided by the local unit. The balance must at all times equal the combined totals of Account Numbers 601 through

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654 when these accounts are used to designate specific charges. This Account Number is a source control for revenue used for financial statement reporting purposes.

This account is:

DEBITED for any decrease and when the Account Number is close to fund balance or another surplus account.

CREDITED for all charges for services provided by the local units.

601 through 606 - Court Related Charges

These accounts may be used for court related charges such as Court Costs, Court Bond Cost (from the Trust and Custodial Fund to the General Fund), Court Reinstatement, etc.

607 through 625 - Fees

These accounts may be used for fees set by statute, charter, or ordinance such as Real Estate Transfer Tax, Register of Deeds Recording Fees, Treasurer and Clerk Fees, Court Fees, Dismissal and Other Fees (by court order, Probation Oversight Fees, etc.).

626 through 641 - Services Rendered

These accounts may be used for charges for services rendered such as Copies, Road Oiling, Fire Runs, Cemetery Grave Openings, Prisoner Board, Rubbish Collection, Weed Removal, etc.

642 through 647 - Sales

These accounts may be used for sales such as Cemetery Lot Sale, Printed Materials (such as ordinance books), Confiscated Property, Scrap and Salvage Sales, etc.

651 through 654 – Use and Admission Fees

These accounts may be used for charges for services rendered such as fees paid to a local unit to use an athletic facility.

655 – Fines and Forfeits (Sub-Control)

Fines and Forfeitures are reported as PROGRAM REVENUE on the government-wide statement of activities. This account is a source control for revenue used for financial statement reporting purposes. The account is used to record revenues derived by the local unit from fines and forfeitures. Fines include dollar amounts assessed as ordinance or law violations such as parking fines, penal fines for state law violations, dog damages, library book fines, etc. Forfeitures are revenues from deposits which accrue to the local unit because of non-compliance or other default on the part of the depositor. This includes such items as guaranteed deposits, nomination filing fees, appearance or bail bonds, and similar deposits. All such fines and forfeitures may be credited to this Account Number or detail accounts may be established by utilizing Account Numbers 656 through 663. The balance must at all times equal the combined totals of Account Numbers 656 through 663 when these accounts are used to designate specific charges.

This account is:

DEBITED for any decrease and when the Account Number is closed to fund balance or another surplus account.

CREDITED upon the receipt of fines and forfeitures, as described above.

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664 – Interest and Rents (Sub-Control)

Interest and Rentals are usually reported as GENERAL REVENUE on the government-wide statement of activities. Earnings on endowments or permanent fund investments are Program Revenues if restricted to a program specifically identified in the endowment or permanent fund agreement. Interest earned (when allowed and restricted by law to the specific program) on state or federal grants is Program Revenue.

This account is a source control for revenue used for financial statement reporting purposes. It is used to record interest, dividends, rents, and royalties earned or received on investments, certificates of deposits, or rental of surplus property. It does not include interest on delinquent taxes which should be recorded in Account Number 445 Penalties and Interest on Taxes. All interest and rents may be credited to this Account Number or detail accounts may be established by utilizing Account Numbers 665 through 671. The balance must at all times equal the combined totals of Account Numbers 665 through 671 when these accounts are used to designate specific charges. Account numbers 665, 666, and 669 may also be used in fiduciary as well as other activities.

This account is:

DEBITED	for any decrease and when the Account Number is closed to fund balance or another surplus account.
CREDITED	upon the receipt of interest and dividend earnings.

672 – Other Revenue (Sub-Control)

Other Revenue is usually reported as GENERAL REVENUE on the government-wide statement of activities. This account is a source control for revenue used for financial statement reporting purposes. This account is used to record all other revenue collected by the local unit that cannot be classified in any other account. This would include refunds, rebates, private donations, etc. All other revenue may be credited to this account number or detail accounts may be established by utilizing Account Numbers 673 through 689. The balance must at all times equal the combined totals of Account numbers 673 through 689 when these accounts are used to designate specific charges. Account number 674 may also be used in fiduciary activities as well as other activities.

The gain or loss on the sale of assets is normally reported as General Revenue on the statement of activities unless the sale meets the criteria of a Special Item.

This account is:

DEBITED	for any decrease and when the Account Number is closed to fund balance or another surplus account.
CREDITED	upon the receipt of other revenue.

685- Opioid Settlement Revenues

This Account Number is used to record revenues received related to the opioid settlement. Interest on opioid settlement revenues should be recorded in one of the interest account numbers.

686- Miscellaneous Other Additions (Fiduciary Activities)

This Account Number is used to record additions for fiduciary activities that are not classified in other types of additions.

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690 – Other Financing Sources (Sub-Control)

This Account Number is used to record non-revenue items such as proceeds from the sales of bonds or notes, insurance recoveries, “operating transfers in,” etc. Account Numbers 691 through 699 may be used to record the various types of non-revenue items separately. The balance must at all times equal the combined totals of Account Numbers 691 through 699 when these accounts are used to designate specific charges.

Bond or Insurance Recoveries should be reported on the government-wide statement of activities as General Revenue or separately as an extraordinary item if the recovery considered both unusual and infrequent in occurrence.

Proceeds received as another financing source from the sale of capitals would not be reported on the statement of activities. The gain or loss (difference between proceeds received for the assets and net book value of the assets) from the sale of assets is normally reported as general revenue on the statement of activities unless the sale meets the criteria of a Special Item.

Bond and note proceeds should be eliminated on the statement of activities. Transfers In should be reported separately on the statement of activities.

This account is:

DEBITED for any decrease and when the Account Number is closed.

CREDITED for any increase in this account.

691 – Other Financing Sources – Lease Financing

This Account number is used to record lease financing for leases other than other than short-term leases and contracts that transfer ownership defined by GASB 87. If a lease is expected to be paid from general government resources, the lease should be accounted for and reported on a basis consistent with governmental fund accounting principles. An expenditure and other financing source should be reported in the period the lease is initially recognized by lessees. The other financing source should be measured as provided for Lease Payable (Non-Current). Subsequent governmental fund lease payments should be accounted for consistent with principles for debt service payments on long-term debt.

This account is:

DEBITED for any decrease and when this balance of this account is closed to fund balance.

CREDITED for the lease financing amounts that need to be recognized.

693 – Sales of Capital Assets (governmental funds)

This Account Number is used to record the proceeds of sales of capital assets in governmental funds.

This account is:

DEBITED for any decrease and when the Account Number is closed.

CREDITED for any increase in this account.

694 – Other Financing Sources - SBITA

This account number is used to record the other financing source related to a SBITA. If a SBITA is expected to be paid from general government resources, the SBITA should be accounted for and reported on a basis consistent with governmental fund accounting principles.

An expenditure and other financing source should be reported in the period the subscription asset is initially recognized. The expenditure and other financing source should be reported in the period the

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subscription is initially recognized by local unit. Subsequent governmental fund subscription payments should be accounted for consistent with principles for debt service payments on long-term debt.

This account is:

DEBITED for any decrease and when this balance of this account is closed to fund balance.

CREDITED for the SBITA amounts that need to be recognized.

696 – Proceeds from Sale of Bonds/Notes

This Account Number is used to record the proceeds of bonds or notes sold.

This account is:

DEBITED for any decrease and when the Account Number is closed.

CREDITED for any increase in this account.

697 – Premium on Bonds or Notes

This Account Number is used to record premiums received from the issuance of bonds or notes.

This account is:

DEBITED for any decrease and when the Account Number is closed.

CREDITED for any increase in this account.

698 – Bond or Insurance Recoveries

This Account number is used to record recoveries from bonds or insurance. In governmental fund financial statements, restoration or replacement of an impaired capital asset should be reported as a separate transaction from the associated insurance recovery. A bond or insurance recovery should be reported as extraordinary if it is unusual in nature and infrequent in occurrence.

This account is:

DEBITED for any decrease and when the Account Number is closed.

CREDITED for any increase in this account.

699 - Interfund Transfers In

Note that only Account Number 699 should be used for “operating transfers in.” The Activity Number assigned to each transfer will identify the fund that the transfer came from.

This account is:

DEBITED for any decrease and when the Account Number is closed.

CREDITED for any increase in this account.

Expenditure/Expense and Other Financing Use Accounts

Expenditures/Expense represent a net decrease in financial resources and are recorded when a related liability is incurred. Account Numbers for expenditures/expenses classification are by object class according to the types of items purchased or services obtained. These accounts are for personnel services, supplies, other services and charges, capital outlay, debt service, other financing uses, and special and extraordinary items. These expenditure/expense accounts will be summarized by activity or department for budgetary purposes as pointed out previously in the activity section of this manual.

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700 – Expenditures/Expenses (Control)

The use of this Account Number is mandatory for all funds which have expenditures/expenses. The balance of the account must at all times equal the combined totals of expenditure/expense Account Numbers 701 through 999. The account is normally posted monthly from the disbursements journal and appears on trial balances prepared during the year.

This account is:

DEBITED	for all charges made to detailed expenditure/expense accounts.
CREDITED	for any decrease and when the Account Number is closed to fund balance or another surplus account.

701 - Personnel Services (Sub-Control)

This Account Number may be found in any fund of local units. It may be used to record expenditures/expenses of a fund for salaries and wages, the local unit's portion of social security, the local unit's retirement contribution, and other employee fringe benefits (hospitalization insurance, employee life insurance). If a unit desires, it may use Account Numbers 702 through 725 to designate specific types of personnel services in which case Account Number 701 should be used as a sub-control account. The balance of this account must at all times equal the combined totals of Account Numbers 702 through 725.

This account is:

DEBITED	for all charges for personnel services paid from a fund.
CREDITED	for any decrease and when the account is closed to fund balance or another surplus account.

726 – Supplies (Sub-Control)

This Account Number may be found in any fund of local units. The account is used to record all expenditures/expenses incurred by a fund for office supplies, operating supplies, medical supplies, repair, and maintenance supplies, etc. If a unit desires, it may use Account Numbers 727 through 799 to designate specific types of supplies in which case this account is used as a sub-control account for all such supplies. The balance in this account must at all times equal the combined totals of Account Numbers 727 through 799.

This account is:

DEBITED	for all expenditures/expenses of a fund for supplies.
CREDITED	for any decrease and when the Account Number is closed to fund balance or another surplus account.

800 – Other Services and Charges (Sub-Control)

This Account Number may be found in any fund of local units. It may be used to record expenditures/expenses incurred by a fund for such services and charges as professional and contractual services, state institution charges, veterans' burial, hospitalization, health services, welfare services, communications, transportation, retirement benefits, community promotion, printing and publishing, public utilities, repairs and maintenance, rentals, aid to other governments, and other miscellaneous charges. If a unit desires, it may use Account Numbers 801 through 969 to designate specific types of services and charges within this category in which case this account will be used as a sub-control account for such charges. The balance in this account must at all times equal the combined totals of Account Numbers 801 through 969.

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This account is:

DEBITED for all expenditures/expenses described above.

CREDITED for any decreases and when the Account Number is closed to fund balance or another surplus account.

970 – Capital Outlay (Sub-Control)

This Account Number is used in governmental funds of local units. This account is used to record expenditures incurred by the local unit for the acquisition of capital assets. Such purchases are recorded at cost and recorded in the appropriate capital asset fund or general ledger account either monthly or at the end of the year (unless reclassified to an Enterprise or Internal Service Fund). A unit can record all capital outlay expenditures within this account, or it may account separately for various types of capital outlay expenditures by utilizing Account Numbers 971 through 989. The balance of this account must at all times equal the combined totals of Account Numbers 971 through 989 if separate accounting is maintained.

NOTE: Capital outlay expenditures for General Capital Assets are normally charged to the fund and activity to which they apply.

This account is:

DEBITED for all fund expenditures for capital outlay.

CREDITED for any decreases and when the Account Number is closed to fund balance or another surplus account.

990 - Debt Service (Sub-Control)

This Account Number is normally found in the General fund, Debt Service funds, and other funds which do not service its own long-term debt. It is recommended that this account be used only as a sub-control account and that various types of debt such as principal, interest, paying agent fees, etc., be accounted for separately by utilizing Account Numbers 991 through 994. 991 and 992 -should be used for principal amounts. 993 and 994 should be used for interest expenses These accounts are also available for lease related payments. The balance of this account must at all times equal the combined totals of Account Numbers 991 through 994 if separate accounting is maintained.

This account is:

DEBITED for all debt payments of the particular fund.

CREDITED for any adjustments and when the account is closed to fund balance or another surplus account.

995 - Interfund Transfers Out

This Account Number is used to record the transfer of equity to another fund within the local unit.

This account is:

DEBITED for any decrease and when the account is closed to fund balance or another surplus account.

CREDITED for amounts transferred out.

996 - Discount on Bonds or Notes

This Account Number is used to record discounts on bonds or notes.

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This account is:

DEBITED	for discount amounts that should be recorded when bonds or notes are sold at a discount.
CREDITED	For the interest expenses recognized over the life of the bonds or notes.

997 - Transfer to Escrow for Bond Refunding

This Account Number is used to record transfers to escrow accounts for the purpose of bond refunding.

This account is:

DEBITED	for any decrease and when the account is closed to fund balance or another surplus account.
CREDITED	for amounts transferred out.

999 - Unusual or Infrequent Items

GASB 103 Statement describes unusual or infrequent items as transactions and other events that are either unusual in nature or infrequent in occurrence. Furthermore, governments are required to display the inflows and outflows related to each unusual or infrequent item separately as the last presented flow(s) of resources prior to the net change in resource flows in the government-wide, governmental fund, and proprietary fund statements of resource flows.

This account is:

DEBITED	for expenditures/expenses occurred for an unusual or infrequent item.
CREDITED	for any decrease and when the account is closed to fund balance or another surplus account.